

# OTC MARKETS GROUP INC.

A Delaware Corporation

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New York, NY 10282

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Federal EIN: 13-3941069  
NAICS: 523210  
SIC Code: 6289

## 2019 Annual Report

For the period ended December 31, 2019

### ISSUER'S EQUITY SECURITIES

#### COMMON STOCK

Class A Common Stock  
\$0.01 Par Value Per Share  
14,000,000 Shares Authorized  
11,654,139 Shares Outstanding as of February 29, 2020  
**OTCQX: OTCM**

OTC Markets Group Inc. is responsible for the content of this Annual Report. The securities described in this document are not registered with, and the information contained in this report has not been filed with, or approved by, the U.S. Securities and Exchange Commission.

Dear Shareholders,

At OTC Markets Group, we are guided by our mission – to create better informed and more efficient financial markets. This drives our commitment to serve our community of broker-dealers, public companies, and investors; to enhance the utility of our services; and to advocate for additional recognition for our OTCQX and OTCQB markets. The markets we operate facilitate shareholder liquidity and the capital formation process for a wide range of businesses. We apply a disclosure-based philosophy and implement data-driven standards that incentivize transparency while reducing the compliance burden on issuers. Collectively, these principles underscore our belief that market participants should decide the merits of an investment and that being public shouldn't be painful.



In 2019, we invested in our technology platform – positioning us to enhance our offerings to issuers and our market data products. We added headcount, upgraded our data centers and moved to state-of-the-art facilities in New York's financial district. These one-time and ongoing investments will support our business going forward and for the long-term.

We benefited from our prior investments to strengthen relationships around the globe, which helped gain traction for our premium OTCQX market. We added securities and solidified our geographic footprint – adding more than 300 issuers from 16 of the world's leading stock exchanges. With 38 countries now represented on our markets, we are well-positioned to leverage our London sales office to connect with companies of all sizes. We continue to support ongoing initiatives with local exchanges seeking to offer their companies a more efficient U.S. capital market solution.

Our markets serve a diverse community of broker-dealers, and we continue to invest in tools that support various business models. In what remains a competitive market, we prioritize projects that deliver the most efficient and liquid trading markets, including enhancing functionality for OTC Link ATS subscribers and growing our OTC Link ECN subscriber base through expanded connectivity.

We have also made substantial progress with pertinent rule filings that shape the framework of our financial markets. We submitted a series of comment letters on Rule 15c2-11, the rule that governs a broker-dealer's ability to quote on our markets, and we advanced the narrative related to the SEC's Concept Release on Harmonization of Securities Offering Exemptions. Market transparency, access to capital, and efficient disclosure that allows investors and brokers to make better decisions remain paramount to the prosperity of the public markets.

Our ongoing public advocacy efforts have also paved the way for the ESOP Fairness Act. This legislation would put hundreds of qualified companies, including community banks traded on the OTCQX market, on par with exchange listed companies – allowing them to fully access the benefits of public company ESOPs.

Investments in our core business lines continue to yield positive results. For example, through our recently acquired Virtual Investor Conferences business, we provided more than 200 issuers with an online platform that allowed them to reach tens of thousands of investors.

With respect to the rising importance of online capital raising tools and private capital, we announced an alliance with North Capital Investment Technologies. Through this strategic initiative, we provide companies on our market with access to a technology platform that streamlines the online capital raising process across a range of offering types. This past year, we also enhanced our market data product suite with the introduction of Canari, a new compliance data offering, and the acquisition of Qaravan, a provider of enhanced bank analytics.

Our new corporate headquarters provides a venue for our corporate clients to connect with their investors worldwide, elevating the value of our corporate services offerings. We invite you to visit us while you are in New York.

As always, I encourage you to review the OTC Markets Group 2019 Annual Report which provides a broader overview of our performance and metrics related to our operating strategy.

We will continue to embrace the opportunities of tomorrow, with a focus on facilitating our customers' success. I am grateful for the opportunity to lead this company, and I am excited for what we have yet to achieve. On behalf of the entire team, I value your partnership and thank you for the trust you place in OTC Markets Group.

Sincerely,



R. Cromwell Coulson  
President, CEO and Director  
OTC Markets Group

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# **OTC MARKETS GROUP INC.**

**A Delaware Corporation**

## **ANNUAL REPORT**

### **Cautionary Note Regarding Forward-Looking Statements**

Information set forth in this 2019 Annual Report (the “Annual Report”) contains forward-looking statements, which involve a number of risks and uncertainties that could cause our actual results to differ materially from those reflected in the forward-looking statements. Forward-looking statements can be identified by use of the words “expect,” “project,” “may,” “might,” “potential,” and similar terms. OTC Markets Group Inc. (“OTC Markets Group,” “we” or the “Company”) cautions readers that any forward-looking information is not a guarantee of future performance and that actual results could differ materially from those contained in the forward-looking information. Forward-looking statements involve a number of risks, uncertainties or other factors beyond OTC Markets Group’s control. These factors include, but are not limited to, our ability to implement our strategic initiatives, economic, political and market conditions and price fluctuations, government and industry regulation, U.S. and global competition, and other factors. We undertake no obligation to revise or publicly release the results of any revision to these forward-looking statements. Given these risks and uncertainties, readers are cautioned not to place undue reliance on such forward-looking statements. We undertake no obligation to update any forward-looking statement, whether as a result of new information, future events or otherwise.

### **Part A. General Company Information**

The name of the issuer is OTC Markets Group Inc.

There have been no changes in control of the Company since 1997. OTC Markets Group is currently conducting operations and it is not now, nor has it at any time been, a “shell company” as that term is defined in the OTCQX U.S. Disclosure Guidelines or Rule 405 under the Securities Act of 1933, as amended (the “Securities Act”).

On April 15, 2010, the Company formed a wholly owned subsidiary, Pink Link ATS LLC, a Delaware limited liability company that subsequently changed its name to OTC Link LLC. On March 5, 2012, OTC Link LLC became a broker-dealer member of the Financial Industry Regulatory Authority, Inc. (“FINRA”), on June 1, 2012 it began operating a Securities and Exchange Commission (“SEC”) registered Alternative Trading System (“ATS”) known as OTC Link ATS and in December 2017, began operating a second ATS known as OTC Link ECN.

On October 31, 2018, the Company formed a wholly owned subsidiary known as OTC Markets Group International Ltd, incorporated with the Registrar of Companies for England and Wales.

On February 6, 2019, we announced the acquisition of Qaravan Inc., a Delaware limited liability company.

The Company does not have any parents, subsidiaries or affiliated companies except for OTC Link LLC, OTC Markets Group International Ltd and Qaravan Inc. Neither we nor any of our predecessors have been in bankruptcy, receivership, or any similar proceeding.

Our fiscal year ends on December 31.

The address of the issuer is: **300 Vesey Street, 12<sup>th</sup> Floor  
New York, NY 10282**

The telephone and facsimile are: **Telephone: (212) 896-4400  
Facsimile: (212) 868-3848**

The issuer's website: **OTC Markets Group's corporate website, [www.otcmarkets.com](http://www.otcmarkets.com), contains general information about us and our products and services. We also maintain [www.otciq.com](http://www.otciq.com), [www.otcdealer.com](http://www.otcdealer.com), [www.qaravan.com](http://www.qaravan.com), [www.virtualinvestorconferences.com](http://www.virtualinvestorconferences.com), [www.lifesciencesinvestorforum.com](http://www.lifesciencesinvestorforum.com) and [www.lifescienceinvestorforum.com](http://www.lifescienceinvestorforum.com). The information contained on such websites shall not be deemed incorporated by reference herein.**

Investor relations contact: **Bea Ordonez, Chief Financial Officer  
300 Vesey Street, 12<sup>th</sup> Floor  
New York, NY 10282  
Telephone: (212) 220-2215  
[ir@otcmarkets.com](mailto:ir@otcmarkets.com)**

The name and address of the transfer agent is: **Continental Stock Transfer & Trust Company  
1 State Street, 30<sup>th</sup> Floor  
New York, NY 10004  
(212) 509-4000**

Continental Stock Transfer & Trust Company is registered under the Securities Exchange Act of 1934 (the "Exchange Act") and regulated by the SEC.

## **Part B. Share Structure**

### **The Exact Title and Class of Securities Outstanding**

As of December 31, 2019, OTC Markets Group had one class of securities outstanding, Class A Common Stock. None of OTC Markets Group's Common Stock has been registered under the Securities Act or qualified under any state securities laws, and we have no current plans to register or qualify any of our securities. There were no preferred shares authorized or outstanding as at December 31, 2019.

The trading symbol for OTC Markets Group's Class A Common Stock assigned by FINRA is "OTCM".

The CUSIP number for our Class A Common Stock is 67106F108.

Our Class A Common Stock has been qualified for the OTCQX U.S. Premier® market since March 11, 2010. Our securities are not, and have never been, listed on a national securities exchange, and have been quoted solely on OTC Link ATS and its predecessor system since the commencement of their public trading.

## Par or Stated Value and Description of the Security

OTC Markets Group's Class A Common Stock has a par value of \$0.01 per share.

Each holder of shares of Common Stock is entitled to one vote for each share of Common Stock held on all matters submitted to a vote of stockholders of OTC Markets Group. The holders of Common Stock vote together as a single class. Holders of Common Stock are not entitled to any preemptive rights.

Holders of our Class A Common Stock, including unvested restricted stock, are entitled to receive such dividends and other distributions as may be authorized and declared by the Board of Directors from time to time ("Dividend Rights"). Upon the voluntary or involuntary liquidation, dissolution, or winding up of OTC Markets Group, holders of Class A Common Stock are entitled to a *pro rata* share of the net assets of OTC Markets Group available for distribution in proportion to the number of shares of Class A Common Stock held by each stockholder.

OTC Markets Group has not authorized any class of preferred stock.

In our Certificate of Incorporation, we elect the application of Section 203 of the Delaware General Corporation Law, or DGCL. Section 203 of the DGCL prohibits persons deemed "interested stockholders" from engaging in a "business combination" with a Delaware corporation for three years following the date these persons become interested stockholders unless the business combination is, or the transaction in which the person became an interested stockholder was approved by the Board of Directors, or another prescribed exception applies. Generally, an "interested stockholder" is a person who, together with affiliates and associates, owns, or within three years prior to the determination of interested stockholder status did own, 15% or more of a corporation's voting stock. Generally, a "business combination" includes a merger, asset or stock sale, or other transaction resulting in a financial benefit to the interested stockholder. The existence of this provision may have an anti-takeover effect with respect to transactions not approved in advance by our Board of Directors.

Our Certificate of Incorporation also provides that the Board of Directors may not authorize any "business combination" with a "related person" unless it (i) meets the "Fair Price" provision, which seeks to ensure that stockholders receive the highest possible price in the event of a business combination, as that provision is described in Article 10 of our Certificate of Incorporation or (ii) is approved by a majority of the outstanding shares of stock entitled to vote.

## The Number of Shares or Total Amount of the Securities Outstanding for Each Class of Securities Authorized

As of December 31, 2019, the Company is authorized to issue 14,000,000 shares of Class A Common Stock of \$0.01 par value.

The following tables show the amount of the securities outstanding for our Class A Common Stock as of:

|                                                                   | December 31, |            |
|-------------------------------------------------------------------|--------------|------------|
|                                                                   | 2019         | 2018       |
| Number of shares authorized                                       | 14,000,000   | 14,000,000 |
| Number of shares outstanding                                      | 11,655,326   | 11,548,956 |
| Number of shares freely tradable (public float) <sup>(1)(2)</sup> | 7,278,067    | 7,087,244  |
| Total number of holders of record                                 | 190          | 185        |

As of December 31, 2019, there are 1,768 non-objecting beneficial shareholders owning at least 100 shares of the Company's Class A Common Stock.

Notes:

- (1) The number of shares freely tradable may include shares held by shareholders owning 10% or more of our Class A Common Stock. These shareholders may be considered “affiliates” within the meaning of Rule 144, and their shares may be “control shares” subject to the volume and manner of sale restrictions under Rule 144.
- (2) Our officers and directors hold approximately 4.3 million shares of our Class A common stock, which may be “control shares” subject to the volume and manner of sale restrictions under Rule 144. These shares are excluded from the number of shares freely tradable.

## Issuer Purchases of Equity Securities

On March 4, 2020, the Board of Directors refreshed the Company’s stock repurchase program, giving the Company authorization to repurchase up to 300,000 shares of the Company’s Class A Common Stock. The Company is authorized to purchase shares from time to time on the open market and through block trades, in accordance with the safe harbor provision of Rule 10b-18 under the Exchange Act.

The following table shows purchases made by the Company of our Class A Common Stock during the years ended December 31, 2019 and 2018:

| Date                    | Number of Shares Purchased | Average Price Paid Per Share | Number of Shares Purchased as Part of Announced Repurchase Plan | Total Amount (in thousands) | Number of Shares Remaining To Be Purchased Under Announced Plan |
|-------------------------|----------------------------|------------------------------|-----------------------------------------------------------------|-----------------------------|-----------------------------------------------------------------|
| <b>2018</b>             |                            |                              |                                                                 |                             |                                                                 |
| Feb 2018                | 40,125                     | \$ 25.99                     | 40,125                                                          | \$ 1,042                    | 219,818                                                         |
| Mar 2018 <sup>(1)</sup> | 200                        | 25.98                        | 200                                                             | 5                           | 300,000                                                         |
| Total                   | <u>40,325</u>              |                              | <u>40,325</u>                                                   | <u>\$ 1,047</u>             |                                                                 |
| <b>2019</b>             |                            |                              |                                                                 |                             |                                                                 |
| Feb 2019                | 46,711                     | \$ 29.75                     | 46,711                                                          | \$ 1,390                    | 219,818                                                         |
| Mar 2019 <sup>(1)</sup> | -                          | -                            | -                                                               | -                           | 300,000                                                         |
| Total                   | <u>46,711</u>              |                              | <u>46,711</u>                                                   | <u>\$ 1,390</u>             |                                                                 |

Note: (1) In March 2018 and 2019, the Board of Directors refreshed the Company’s stock repurchase program, authorizing the Company to repurchase up to 300,000 shares of the Class A Common Stock.

## Summary of Stock Option Activity

The Company grants stock options to new, full-time employees as of the last date of their first month of employment, with the strike price set at the closing price on the day prior to the grant date. Stock options granted vest in equal installments, annually, over 5 years.

The following table contains a summary of all stock option activity during 2019 and 2018:

| (in thousands, except W/A exercise price) | Stock options | Weighted-average exercise price |
|-------------------------------------------|---------------|---------------------------------|
| Outstanding, January 1, 2018              | 708           | \$ 14.46                        |
| Granted                                   | 119           | 28.17                           |
| Exercised                                 | (119)         | 10.88                           |
| Forfeited                                 | (27)          | 19.04                           |
| Outstanding, January 1, 2019              | 681           | \$ 17.31                        |
| Granted                                   | 151           | 32.14                           |
| Exercised                                 | (126)         | 13.79                           |
| Forfeited                                 | (44)          | 20.15                           |
| Outstanding, December 31, 2019            | 662           | \$ 21.17                        |



## Summary of Restricted Stock Award Activity

The Company grants to certain employees shares of its Class A Common Stock subject to the terms of Restricted Stock Agreements (“RS Agreements”) between the Company and each employee. Stock granted subject to RS Agreements is included in our calculation of shares outstanding, and holders of such stock have voting and Dividend Rights and are included in our calculation of holders of record.

The following table contains a summary of all activity relating to stock granted subject to RS Agreements during 2019 and 2018:

| (in thousands, except W/A fair value) | Restricted stock | Weighted-average fair value |
|---------------------------------------|------------------|-----------------------------|
| Outstanding, January 1, 2018          | 289              | \$ 16.15                    |
| Granted                               | 100              | 26.17                       |
| Vested                                | (101)            | 14.51                       |
| Forfeited                             | (6)              | 22.43                       |
| Outstanding, January 1, 2019          | 282              | \$ 20.15                    |
| Granted                               | 105              | 30.04                       |
| Vested                                | (99)             | 17.91                       |
| Forfeited                             | (12)             | 23.14                       |
| Outstanding, December 31, 2019        | 276              | \$ 24.57                    |

## Public Trading of Class A Common Stock

The following table sets forth for the periods indicated the high and low reported sales prices per share for our Class A Common Stock:

|                | High     | Low      |
|----------------|----------|----------|
| <b>2018</b>    |          |          |
| First Quarter  | \$ 29.84 | \$ 23.80 |
| Second Quarter | 29.19    | 26.12    |
| Third Quarter  | 30.48    | 27.75    |
| Fourth Quarter | 32.97    | 27.02    |
| <b>2019</b>    |          |          |
| First Quarter  | \$ 39.95 | \$ 28.99 |
| Second Quarter | 36.98    | 29.55    |
| Third Quarter  | 37.95    | 31.12    |
| Fourth Quarter | 37.00    | 32.04    |

## Dividends

During 2019 and 2018, our Board of Directors authorized and approved the following cash dividends:

| Declaration Date | Dividend Per Common Share | Record Date        | Total Amount (in thousands) | Payment Date       |
|------------------|---------------------------|--------------------|-----------------------------|--------------------|
| <b>2018</b>      |                           |                    |                             |                    |
| March 06, 2018   | \$ 0.14                   | March 20, 2018     | \$ 1,611                    | March 29, 2018     |
| May 08, 2018     | 0.14                      | June 14, 2018      | 1,614                       | June 28, 2018      |
| August 14, 2018  | 0.15                      | September 12, 2018 | 1,732                       | September 26, 2018 |
| November 7, 2018 | 0.65                      | November 21, 2018  | 7,506                       | December 5, 2018   |
| November 7, 2018 | 0.15                      | December 6, 2018   | 1,732                       | December 20, 2018  |
| Total            | <u>\$ 1.23</u>            |                    | <u>\$ 14,195</u>            |                    |
| <b>2019</b>      |                           |                    |                             |                    |
| March 06, 2019   | \$ 0.15                   | March 18, 2019     | \$ 1,743                    | March 28, 2019     |
| May 08, 2019     | 0.15                      | June 13, 2019      | 1,746                       | June 27, 2019      |
| August 06, 2019  | 0.15                      | September 12, 2019 | 1,747                       | September 26, 2019 |
| November 4, 2019 | 0.65                      | November 20, 2019  | 7,575                       | December 4, 2019   |
| November 4, 2019 | 0.15                      | December 5, 2019   | 1,749                       | December 19, 2019  |
| Total            | <u>\$ 1.25</u>            |                    | <u>\$ 14,560</u>            |                    |

The declaration of dividends by OTC Markets Group is subject to the discretion of our Board of Directors. Our Board of Directors will take into account such matters as general business conditions, our financial results, capital requirements, contractual, legal and regulatory restrictions on the payment of dividends and such other factors as our Board of Directors may deem relevant.

## Part C. Business Information

### Overview

Our mission is to create better informed and more efficient financial markets.

We operate three business lines:

- OTC Link LLC is a FINRA member broker-dealer that operates two SEC registered ATSS.
- Market Data Licensing distributes market data and financial information.
- Corporate Services operates the OTCQX and OTCQB markets and offers issuers disclosure and regulatory compliance products.

We facilitate transparent trading by connecting brokers, organizing markets and incentivizing disclosure. We distribute market data that informs investment decisions, enables the efficient pricing of risk, and assists regulated entities in meeting their compliance obligations. We provide the benefits of public trading to a wide spectrum of U.S. and global companies.

## **Products and Services**

Each of our three business lines is described in detail below.

### ***OTC Link***

Our wholly owned subsidiary, OTC Link LLC, a FINRA member broker-dealer, operates OTC Link ATS and OTC Link ECN, both SEC registered ATSS. Accordingly, OTC Link LLC, OTC Link ATS and OTC Link ECN are subject to the direct regulatory oversight of the SEC and FINRA.

OTC Link ATS offers our broker-dealer subscribers a fully-attributable, network-based model for quoting and facilitating transactions in OTC equity securities and serves a diverse community of FINRA member broker-dealers that operate as market makers, agency brokers and ATSS, including Electronic Communication Networks (“ECNs”). OTC Link ATS provides a suite of quotation and trade-messaging services offering broker-dealers control of trades and choice of counterparties so they can efficiently provide best execution, attract order flow, and comply with FINRA and SEC regulations. Unlike traditional exchanges and matching engines, OTC Link ATS is not an intermediary. Rather, OTC Link ATS operates an interdealer quotation system (“IDQS”) and delivers trade messages electronically, allowing subscribers to execute or negotiate bilateral trades with known counterparties.

Existing OTC Link ATS quoting and trade messaging functionality allows us to provide an “Expert Market”. The Expert Market is designed to serve price discovery and best execution needs for institutional and professional investors in securities that are restricted from public quoting or not otherwise suitable for non-professional, retail investors. Quotes in Expert Market securities are not distributed to the general public via our website or market data feeds. Only FINRA member broker-dealers and certain “professional” investors are able to view quotes in Expert Market securities.

OTC Link ECN functions as a matching engine and router for certain OTC securities. OTC Link ECN complements OTC Link ATS by providing FINRA registered broker-dealer subscribers with anonymous order matching functionality. OTC Link ECN acts as an agency intermediary in relation to all transactions executed on the ECN’s platform. When orders do not match internally on OTC Link ECN’s matching engine, they are routed to an IDQS where they may appear as quotes using the market participant identifier “OTCX”. Pursuant to applicable FINRA rules, OTC Link ECN submits trade reports to FINRA’s OTC Reporting Facility. All transactions executed on OTC Link ECN are cleared and settled pursuant to a clearing agreement with Apex Clearing Corporation.

As of December 31, 2019, 87 broker-dealers subscribe to our OTC Link ATS and 53 broker-dealers connect to our OTC Link ECN, as compared to 91 and 41 subscribers, respectively, as of December 31, 2018. Our OTC Link business made up approximately 19% of our gross revenues in each of the years ended December 31, 2019 and 2018.

### ***Market Data Licensing***

OTC Markets Group provides our subscribers with access to extensive market data and financial information. Due to the role OTC Link ATS plays in the trading process, and our interaction with issuers, we generate a significant amount of market data and information about companies. Our market data consists of real-time, delayed and end-of-day quotation and trading data, as well as security master data, company reference data and compliance data for OTCQX, OTCQB, and Pink securities.

We offer a suite of market data licenses, priced per enterprise or per user, through direct connectivity and third-party market data redistributors and Order Management Systems (“OMS”). Depending on the license type, subscribers may distribute the market data on an internal-only basis, redistribute to clients or redistribute to the public. We generate a majority of our market data revenues from sales through market data redistributors, and certain of our market data licensing agreements include redistribution fees and rebates. As of each of December 31, 2019 and December 31, 2018, 59 and 55 market data distributors respectively, were disseminating our market data to subscribers.

We also charge for the display of advertisements on [www.otcmarkets.com](http://www.otcmarkets.com).

Our Market Data Licensing business line made up approximately 39% of our gross revenues in each of the years ended December 31, 2019 and 2018.

### **Corporate Services**

Our Corporate Services business line includes the OTCQX Best Market, the OTCQB Venture Market and the Pink Open Market, and our suite of disclosure and information services.

The OTCQX Best Market provides efficient public trading without the complexity and cost of a national securities exchange listing.

To join OTCQX, companies must meet minimum financial, disclosure and qualitative standards, pay annual fees, and meet the requirements set out in our OTCQX Rules on an ongoing basis. Companies pay a one-time application fee and annual fees upon renewal.

The OTCQX market is divided into OTCQX U.S. and OTCQX International. OTCQX for Banks, an expansion of the OTCQX market for U.S. companies, is specifically aimed at meeting the needs of community and regional banks. The OTCQX International market is targeted towards (i) large global companies that meet the listing standards of a qualified non-U.S. stock exchange in their primary market and do not see value in meeting multiple regulatory, compliance, disclosure, and accounting standards, and (ii) global emerging growth companies that are listed on a qualified non-U.S. stock exchange and may be working towards a U.S. exchange listing, but are not yet ready to deploy the management resources necessary to handle the operational complexity and cost burdens.

As of December 31, 2019, 442 companies were traded on the OTCQX market, comprised of 164 OTCQX U.S. companies and 278 OTCQX International companies, as compared to 152 OTCQX U.S. companies and 257 OTCQX International companies as of December 31, 2018.

The OTCQB Venture Market provides public trading for developing and venture-stage companies and applies standards that promote price transparency and facilitate public disclosure. OTCQB is also open to international companies that trade in the U.S. in reliance on one of various available exemptions from SEC registration and to domestic companies that meet our Alternative Reporting Standard and the applicable OTCQB standards.

There were 907 companies traded on the OTCQB market as of December 31, 2019, of which more than 400 were international companies, as compared to 934 companies as of December 31, 2018.

Securities traded on OTC Link ATS that do not meet the standards of, or choose not to apply for, the OTCQX Best Market or the OTCQB Venture Market are traded on the Pink Open Market. Companies on the Pink market are categorized as “Pink Current Information,” “Pink Limited Information” or “Pink No Information” based on the sufficiency and timeliness of the information they provide to investors. Pink companies can subscribe to our OTC Disclosure & News Service® to make current information available to their investors on our website and through our distribution channels.

Companies whose stock is the subject of a public interest concern are flagged “Caveat Emptor,” or buyer beware.

Our Corporate Services business made up approximately 42% of our gross revenues in each of the years ended December 31, 2019 and 2018.

## Key Metrics

The table below presents key metrics for our business lines for the years ended December 31, 2019, 2018 and 2017.

|                                                       | December 31,   |                |                |
|-------------------------------------------------------|----------------|----------------|----------------|
|                                                       | 2019           | 2018           | 2017           |
| <b>OTC Link</b>                                       |                |                |                |
| Number of active ATS subscribers <sup>(1)</sup>       | 87             | 91             | 94             |
| Number of ECN subscribers <sup>(1)</sup>              | 53             | 41             | -              |
| New Form 211 filings                                  | 319            | 393            | 414            |
| <i>Number of securities quoted: <sup>(1)</sup></i>    |                |                |                |
| OTCQX                                                 | 489            | 464            | 425            |
| OTCQB                                                 | 959            | 993            | 998            |
| Pink                                                  | 9,307          | 9,008          | 8,934          |
| Total                                                 | 10,755         | 10,465         | 10,357         |
| <i>Dollar volume traded (in thousands):</i>           |                |                |                |
| OTCQX                                                 | \$ 57,971,220  | \$ 63,202,047  | \$ 55,890,931  |
| OTCQB                                                 | 24,774,483     | 24,845,633     | 22,695,978     |
| Pink                                                  | 246,429,161    | 287,122,972    | 168,092,551    |
| Total                                                 | \$ 329,174,864 | \$ 375,170,651 | \$ 246,679,460 |
| <i>Dollar volume per security (in thousands):</i>     |                |                |                |
| OTCQX                                                 | \$ 118,551     | \$ 136,211     | \$ 131,508     |
| OTCQB                                                 | 25,834         | 25,021         | 22,741         |
| Pink                                                  | \$ 26,478      | \$ 31,874      | \$ 18,815      |
| <b>Corporate Services</b>                             |                |                |                |
| Graduates to a national securities exchange           | 57             | 70             | 61             |
| <i>Number of corporate clients <sup>(1)/(2)</sup></i> |                |                |                |
| OTCQX                                                 | 442            | 409            | 366            |
| OTCQB                                                 | 907            | 934            | 938            |
| Pink                                                  | 736            | 741            | 755            |
| Total                                                 | 2,085          | 2,084          | 2,059          |
| <b>Market Data Licensing</b>                          |                |                |                |
| Market data professional users <sup>(1)</sup>         | 22,426         | 21,487         | 20,390         |
| Market data non-professional users <sup>(1)</sup>     | 12,882         | 14,763         | 14,801         |
| Market data compliance file users <sup>(1)</sup>      | 41             | 28             | 19             |

(1) Figures presented are at period end.

(2) Figures presented represent the number of companies subscribing to our services

## **Recent Business Developments**

### **Strategic Alliance with North Capital Investment Technology Inc.**

In October 2019, we announced a strategic alliance with North Capital Investment Technology Inc. (“North Capital”) to provide companies with access to a technology platform that will enable them to cost effectively raise capital online, as further described in *Trends in our Business*, below.

Through this alliance, we are providing companies trading on the OTCQX and OTCQB markets with access to a technology solution that will allow them to conduct and manage their securities offerings online. By integrating North Capital’s product offering with our otcmarkets.com website, issuers are able to leverage the millions of page views our website receives to access a wider audience of potential investors. For Jumpstart Our Business Startups Act (JOBS Act) offerings where general solicitation is permitted, the platform can be integrated into the company’s corporate website, social channels and email campaigns. The technology can also be deployed in tandem with traditional offerings underwritten by investment banks.

It is not yet possible to determine the extent to which our strategic alliance with North Capital will affect our financial results, but revenues directly derived from this initiative are not expected to be material.

### **Launch of OTCQX Cannabis Index**

In April 2019, we announced the launch of the OTCQX Cannabis Index, a new performance benchmark for cannabis companies trading on the OTCQX market.

The OTCQX Cannabis Index is designed to highlight for investors the diversity of cannabis companies that meet the financial, disclosure and corporate governance standards required to trade on the OTCQX market. To be eligible for the OTCQX Cannabis Index, a company’s securities must be traded on OTCQX, be identified as having operations in the cannabis space, and meet a minimum liquidity screen.

As of March 1, 2020, roughly 68 cannabis-related securities trade on the OTCQX Market. Thirty of these securities comprise the OTCQX Cannabis Index.

### **Virtual Investor Conferences® Business**

In January 2019, we announced our acquisition from PR Newswire Association LLC of assets related to the Virtual Investor Conferences business, an online investor conference platform. During 2019, we have devoted resources to the integration of this service offering into our existing Corporate Services business line.

During the twelve months ended December 31, 2019, we hosted 18 Virtual Investor Conferences events, with 213 companies participating, reaching more than 14,000 investors, including a Depositary Receipts Virtual Investor Conference in partnership with Deutsche Bank, a resource company event, an OTCQX community banks event and a cannabis sector event. In the short term, we do not expect that our acquisition of the Virtual Investor Conferences business will have a material impact on our financial results, however, we expect the Virtual Investor Conferences business to be accretive to earnings over the longer term.

## **Launch of Canari® Compliance Tool**

In April 2019, we launched Canari, a web-based tool designed to provide users with a comprehensive view of quantitative compliance data for OTCQX, OTCQB, Pink, Grey Market securities (those without a public quote) and certain exchange listed securities. The Canari user interface allows subscribers to access risk scoring metrics, comprehensive analytics and other key data points. Through this product, we have been able to further extend the reach of our suite of Compliance Analytics products. We have devoted significant resources to growing our subscriber base in this area and believe we have captured much of the total addressable market.

As of March 1, 2020, 42 subscribers use our suite of compliance and compliance analytics products, including Canari, to enhance and automate their compliance processes in the OTC and the small-cap exchange listed space.

## **London Office**

On October 31, 2018, OTC Markets Group International Ltd, a wholly owned subsidiary of OTC Markets Group Inc., was incorporated with the Registrar of Companies for England and Wales. In January 2019, we opened a small London office housing one employee to support our international OTCQX and OTCQB sales efforts. During the twelve months ended December 31, 2019, we have focused our efforts on solidifying our relationships with local advisors and intermediaries and on building a sales pipeline of global issuers. We saw modest sales from our London office during the twelve months ended December 31, 2019. The expenses associated with our overseas presence were not material. However, it is not possible to determine the longer-term impact of this initiative on our overall financial results.

## **Acquisition of Qaravan® Inc.**

On February 6, 2019, we announced the acquisition of Qaravan Inc., a provider of web-based software and risk and performance analytics to banking and finance industry professionals. The Qaravan suite of products provides a portfolio of research, reporting, metrics and analytics that are relevant across the entire banking ecosystem.

In May 2019, we launched our Qaravan CECL Solution, a turnkey approach for banks to efficiently collect and analyze data related to a firm's assessment of their Current Expected Credit Losses ("CECL"). The CECL solution collects data, generates reports and documents analyses and assumptions that align with and assist firms in their adoption of the Financial Accounting Standards Board's ("FASB") new CECL accounting standard. Our Qaravan CECL software module is tailored to meet the needs of the more than 5,000 U.S. regional and community banks seeking a streamlined approach to compliance with the FASB's standard and evolving regulatory guidance. In October 2019, FASB voted to approve a delay to the effective date for adoption of the guidance for smaller reporting companies, as defined by the SEC, and all non-public entities to January 2023. The new FASB guidance became effective for large accelerated filers, as defined by the SEC, in respect of accounting periods beginning on or after December 15, 2019.

In October 2019, we incorporated U.S. Bank Call Report data gathered through our Qaravan business into our corporate website. This data set provides critical financial and operating information on the more than 550 U.S. community banks that trade on the OTCQX, OTCQB, and Pink markets as well as exchange listed banks. In February 2020, we added corporate structure data for U.S. bank holding companies to our website, further enriching our data set in this important sector and creating additional transparency for investors. In the short term, we do not anticipate that the acquisition of Qaravan and the launch of the Qaravan CECL solution will have a material impact on our financial results.

## **Recent Regulatory Developments Impacting our Business**

### **SEC Proposed Rule and Concept Release on Exchange Act Rule 15c2-11**

On September 25, 2019, the SEC published a Proposed Rule and Concept Release on Publication or Submission of Quotations without Specified Information (the “Proposed Rule”). The Proposed Rule would amend Rule 15c2-11 under the Exchange Act (“Rule 15c2-11”), which governs the publication of quotes in interdealer quotation systems such as our OTC Link ATS.

The Proposed Rule would require, among other things, that current information about a company be publicly available in order for that company to become, or remain, the subject of broker-dealer quotes on OTC Link ATS. The Proposed Rule recognizes the OTC Markets Group disclosure standards and designations of those companies that provide current information to the public. As such, the Proposed Rule would largely allow companies to become or remain quoted based on meeting our current information standards and would permit broker-dealers to rely on those designations in submitting quotations on OTC Link ATS. This would, for the first time, give us the ability to bring certain securities onto our markets without relying on a third-party reviewing information and filing a Form 211 with FINRA.

Companies that do not make current information available, such as those we designate as Pink No Information, as well as certain shell companies, would no longer be available for public broker-dealer quotations on OTC Link ATS. Unsolicited quotations in companies that do not make current information available would continue to be permitted, provided they are from investors not affiliated with the company. The Proposed Rule also introduces several new exceptions to the information requirements of Rule 15c2-11, including for the securities of certain issuers with higher capitalizations and those that have been the subject of underwritten offerings.

We submitted comments on the Proposed Rule on November 25, 2019 and December 30, 2019, outlining our response to the Rule Proposal. Specifically, our comments support the Proposal’s recognition of our market standards and processes, and otherwise focus on improving Rule 15c2-11 in the following areas:

- Modernize the standard of review with respect to the current information requirements under Rule 15c2-11.
- Streamline FINRA’s role in the administration of Rule 15c2-11.
- Recognize a regulated marketplace, such as our Expert Market, for broker-dealers and (non-retail) professional investors to achieve best execution and meet other regulatory requirements in securities that no longer qualify for public quotations.
- Impose additional disclosure requirements and trading restrictions on insiders and affiliates, particularly with respect to “No Information” and shell companies.
- Adopt technical amendments, including issuing additional regulatory guidance and simplifying Rule 15c2-11, in order to improve market efficiency and support capital formation.

In the event that the SEC adopts a final rule based on the Proposed Rule, we would expect that our financial results would be impacted, however it is not yet possible to determine the materiality of such an impact.

### **Blue Sky Secondary Trading Exemptions for OTCQX and OTCQB**

As of March 1, 2020, our OTCQX and OTCQB markets are exempt from state Blue Sky laws regarding secondary trading in thirty-six states – Alaska, Arkansas, Colorado, Connecticut, Delaware, Georgia, Hawaii, Idaho (OTCQX only), Indiana, Iowa, Kansas (OTCQX only),



Kentucky, Louisiana, Maine, Michigan, Minnesota, Mississippi, Missouri, Nebraska, New Jersey, New Mexico, North Dakota, Ohio, Oklahoma, Oregon, Pennsylvania, Rhode Island, South Dakota, Tennessee, Texas, Utah, Vermont (OTCQX only), Washington, West Virginia, Wisconsin and Wyoming. State Blue Sky laws generally help investors make informed decisions by mandating that companies disclose accurate and current information when offering or marketing securities. In February 2020, the Virginia legislature passed a bill that would provide a pathway for the OTCQX market to attain exempt status.

In connection with this initiative, in July 2018 the North American Securities Administrators Association (“NASAA”), the national organization of state securities regulators, announced a proposed model rule that would recognize OTC Markets Group as a “securities manual” with respect to securities on the OTCQX and OTCQB markets. If adopted by NASAA, the proposed model rule could lead to additional states recognizing these markets.

We believe recognition of our markets by state regulators and the resulting Blue Sky exemptions will make OTCQX and OTCQB more attractive to current and prospective companies. However, the potential impact of this initiative on our financial results is indirect, and therefore difficult to determine.

### **ESOP Fairness Act**

On February 11, 2020, the ESOP Fairness Act was introduced by bi-partisan co-sponsors in the House and Senate. Employee Stock Ownership Plans (“ESOPs”) give company employees a greater opportunity to take an ownership stake, which aids employee retention and promotes small company growth. Current IRS regulations impose additional requirements on non-exchange listed companies that seek to offer an ESOP. We have long advocated for modernization of the rules regarding ESOPs. The ESOP Fairness Act would put qualified companies that meet established financial standards, such as those traded on the OTCQX Best Market, on par with exchange listed companies by allowing them to fully access the benefits of public company ESOPs.

We intend to support the bill as it awaits further consideration by the House and Senate. The progress of the bill and the potential that it is ultimately enacted into law will determine the extent to which the ESOP Fairness Act will impact our financial results.

### **SEC Concept Release on Harmonization of Securities Offering Exemptions**

On June 18, 2019, the SEC published a Concept Release on Harmonization of Securities Offering Exemptions (the “Concept Release”), seeking comments on various registration exemptions under the Securities Act and other federal securities laws concerning capital formation, including rules governing secondary trading. We submitted comments to the SEC regarding the Concept Release on September 24, 2019. Our comment letter suggests a number of modernizations to public secondary market regulation and the exempt offering framework, including proposals designed to support small company capital formation, fix regulatory operational issues within the public secondary markets, and enhance the disclosure required of company insiders, affiliates and other powerful market participants. The Concept Release has resulted in an SEC proposal regarding the definition of an “Accredited Investor,” and additional SEC proposals may follow. The potential impact, if any, on our financial results of any SEC rulemaking that may result from the Concept Release is uncertain at this time.

### **Consolidated Audit Trail**

In 2016, the SEC approved a National Market System (NMS) plan to create a comprehensive database of trading activity, or consolidated audit trail (“CAT”), for regulatory market surveillance purposes. Under the CAT plan, self-regulatory organizations (SROs) and FINRA member

broker-dealers (such as OTC Link LLC) are required to report information to, and fund the operation of, the CAT. As of March 1, 2020, the operating committee for the CAT plan has adopted certain technical specifications and timeliness for compliance but has not yet established the funding requirements for the CAT. The initial phase of CAT reporting obligations related to OTC equity securities is scheduled to begin on April 20, 2020. OTC Link LLC and its broker-dealer subscribers will have reporting responsibilities as of that date.

The applicable CAT reporting requirements will result in increased compliance and technology costs, which are likely to be material. However, it is not possible at this time to determine the potential impact on our financial results.

### **Thinly Traded Securities**

On October 17, 2019, the SEC issued a Policy Statement on Market Structure Innovation for Thinly Traded Securities (the “Policy Statement”), seeking proposals to improve secondary market trading for smaller companies with less actively traded securities, including proposals to suspend or terminate unlisted trading privileges (“UTP”) for these companies and consolidate all trading onto a single exchange. UTP permits securities listed on a national securities exchange to be traded on other exchanges. Suspending UTP, or regulatory recognition of a single venue for small company trading, could negatively impact our corporate services business. On February 5, 2020, Nasdaq, Inc. submitted a proposal in response to the SEC’s Policy Statement, proposing a set of rules for thinly traded securities that would, among other things, suspend UTP (the “Nasdaq Proposal”). If the SEC were to approve the Nasdaq Proposal, it is possible that Nasdaq could increase its efforts to compete for listings of certain companies currently traded on our OTCQX and OTCQB markets.

The SEC has not yet commented on the Nasdaq Proposal, or proposed any formal rulemaking with respect to thinly traded securities and, as such, we are not able to determine the potential impact of this Policy Statement or the Nasdaq Proposal on our financial results.

## **Other Business and Regulatory Information**

### **Technology**

Our IT infrastructure is the foundation of our internal and customer facing applications and ensures their reliability, high-availability and scalability.

We consistently roll out new business functionality while simultaneously focusing on improving the scalability and stability of our systems. We achieved 100% uptime of our core systems from 2015 through 2019. Capital expenditures during the past several years have been concentrated on the enhancement of our primary and secondary data centers and increased network resiliency and security. During 2019, we undertook a significant update of the infrastructure at our primary and secondary data centers. We will continue to invest in building out our systems, monitoring capabilities and support services to meet the functionality and reliability needs of our subscribers.

### **The Nature and Extent of the Issuer’s Facilities**

OTC Markets Group’s corporate headquarters is located on the 12<sup>th</sup> floor at 300 Vesey Street, New York, NY 10282, and is composed of approximately 33,000 square feet of leased office, conference, meeting, and reception space. The Company’s sublease agreement was entered into effective October 19, 2018 and the Company occupied the space during the first quarter of 2019. The term of the sublease is through December 30, 2031. The annual rental expense under the lease is approximately \$1.8 million.

We maintain an office in Washington, D.C., consisting of approximately 4,000 square feet of general office space, located at NW 100 M Street, Washington, D.C. 20003. The lease expires in June 2021 and annual rent expense is approximately \$203 thousand.

In connection with our London office opened in January 2019, we rent a single WeWork office space located at 30 Stamford Street, London SE1 9PY on a month-to-month basis. We also contract with SunGard Availability Services, in Carlstadt, New Jersey and Philadelphia, Pennsylvania, for hosting and networking services in respect of our primary and secondary data centers, including production, back-up and disaster recovery sites, and internet and telecommunications services.

### **Legal Proceedings**

There are no current, past, pending, or threatened legal proceedings or administrative actions either by or against us that could have a material effect on our business, financial condition, or operations. We are not a party to any past or pending trading suspensions by a securities regulator.

### **Contracts**

Exhibits 3 and 4 to this Annual Report provide a list of contracts important to our business, divided into two categories: material contracts and customer contracts. Negotiated material contracts include R. Cromwell Coulson's employment agreement, Change in Control agreements with certain senior executive officers and real estate leases on commercial office space used in our business. We use standardized customer contracts in each of our three business lines.

### **Regulation**

Our wholly owned subsidiary, OTC Link LLC, is a FINRA member broker-dealer. OTC Link LLC operates two SEC registered ATSS, OTC Link ATS and OTC Link ECN. OTC Link LLC, OTC Link ATS and OTC Link ECN are therefore subject to regulation and periodic examinations by the SEC and FINRA.

OTC Link ATS meets the definition of an SCI Entity under the SEC's Regulation Systems Compliance and Integrity ("Regulation SCI") and is required to, among other things, provide notices and reports to the SEC regarding certain disruptions and material changes in its systems, conduct regular system testing and reviews, and maintain certain books and records. OTC Link ATS and OTC Link ECN are also each required to comply with the applicable regulatory obligations under Regulation ATS and will have CAT reporting responsibilities beginning on April 20, 2020.

FINRA member broker-dealers publish quotes and transmit trade messages on OTC Link ATS. OTC Link ATS is not a reporting party to any trade executions that may result from these trade messages. All subscribers to OTC Link ATS are FINRA member broker-dealers, subject to all applicable FINRA rules, including the firm quote rule (FINRA Rule 5220).

OTC Link ECN provides its subscribers with matching engine and order routing functionality and is subject to FINRA and SEC rules applicable to that market model.

OTC Markets Group, and our markets generally, are not national securities exchanges. Our markets provide an alternative to national securities exchange listing for companies that either choose not to be listed on a U.S. national securities exchange or do not meet the relevant listing requirements. Our non-exchange status enables us to offer certain financial information, technology and market services that are competitive with the services offered by national securities exchanges with less complexity and lower costs, but it also inhibits our ability to provide certain other services.

It is our policy to share information about ourselves and our markets proactively with regulators, and to provide records promptly in response to regulatory requests. OTC Markets Group requires each company displaying information on the OTC Disclosure & News Service to agree in writing that OTC Markets Group may provide the relevant authorities with information provided by the company and the identity of those authorized to submit information on the company's behalf.

OTC Markets Group does not have regulatory enforcement authority over companies whose securities trade on our markets and such companies are not required by U.S. securities laws to provide us with financial information or other disclosure for their securities to be traded by broker-dealers on our markets.

### **The Need for any Governmental Approval of the Company's Products and Services and the Status of such Approvals**

We believe all of the products and services we offer through OTC Link LLC comply with applicable FINRA and SEC rules.

Since 2013, the SEC has taken the position that it considers the OTCQX and OTCQB markets to be "established public markets" for the purposes of establishing a public market price when registering securities for resale in equity line financings on SEC Forms S-1 or S-3. As a result, companies may use their OTCQX or OTCQB market trading to complete an equity line financing registration statement.

Securities on our OTCQX and OTCQB markets are exempt from secondary trading laws by securities regulators in 36 states and 33 states, respectively (see *Blue Sky Secondary Trading Exemptions for OTCQX and OTCQB*, above). States have granted this status via no-action letters, administrative orders, rule changes, legislative amendments and under existing exemptions. The recognition of our markets for this purpose, including NASAA's announcement of a proposed model rule, is primarily based on the free, public, online availability of current corporate disclosure from OTCQX and OTCQB companies and is conditioned upon the continued availability of that disclosure. We expect OTCQX and OTCQB to be recognized by additional states during 2020.

### **Competition**

#### *OTC Link*

The market for trading services in the U.S. is intensely competitive. Changes in the regulatory landscape over the past several years have contributed to an increase in the number of trading platforms in the equities markets, including numerous national securities exchanges, regional markets, ATSS and ECNs. A continued increase in new entrants and products to the market or in price competition could result in a decline in our trading activity, thereby adversely affecting our operating results.

We compete with national securities exchanges such as Nasdaq and NYSE because a portion of the companies traded on OTC Link ATS may also qualify for a national securities exchange listing. Current law prevents national securities exchanges from listing or facilitating trading in non-SEC registered securities. OTC Link ATS and OTC Link ECN would face increased competition from national securities exchanges if those laws were to change. OTC Link ATS and OTC Link ECN may also face competition if national securities exchanges are permitted to operate specialized markets for thinly traded securities, as has recently been proposed by Nasdaq (see *Recent Regulatory Developments Impacting our Business*, above).

Global OTC, an ATS operated by a subsidiary of the NYSE Group Inc., operates an automatic execution venue for certain OTC equity securities. Global OTC ATS and its predecessors had

traditionally been quoting subscribers of OTC Link ATS. In 2017, Global OTC ATS ceased publishing quotes in OTC Link ATS to operate its own IDQS in competition with OTC Link ATS. The loss of Global OTC ATS as a quoting subscriber and their position as a competitor has had a de minimis impact on OTC Link revenues. We launched our OTC Link ECN in December 2017, offering anonymous order matching and routing services to subscribers and have continued to gain traction with this offering. During the twelve months ended December 31, 2019, we added 12 subscribers to the platform and grew the number of transactions on the platform to an average of approximately 3,400 trades per day from an average of approximately 2,000 trades per day during the twelve months ended December 31, 2018.

#### *Market Data Licensing*

A decline in trading on our OTC Link ATS caused by competition or otherwise, as well as other economic conditions adversely affecting our OTC Link ATS, OTC Link ATS subscribers or market data subscribers, may result in a reduction in demand for our market data products. If competition in the OTC trading market results in fragmentation of the existing market for quoting and trading OTC equity securities, the value of our market data products, and corresponding demand for those products, may be reduced. The market data business is highly dependent on rapidly changing technology and is characterized by intense price competition. Many of our competitors have greater financial and other resources than we do. These market data providers may offer more competitive pricing and deploy new products to our detriment. Competition for our market data products may arise from, among other things, market data generated by a competing ATS or FINRA providing quote data for securities on our markets through a regulatory data feed or other mechanism.

#### *Corporate Services*

Our Corporate Services business line competes with national securities exchanges such as Nasdaq and NYSE and with global exchanges such as LSE's AIM and Canada's TSX's Venture Exchange. We face competition because certain companies that join our OTCQX or OTCQB markets may also qualify for a national securities exchange listing. Similar to OTC Link, our Corporate Services business line benefits from current law that prevents a national securities exchange from listing the securities of non-SEC registered companies.

It is possible that the national securities exchanges or competing ATSs could alter their business models to attempt to compete with our corporate services. New entrants may, among other things, respond more quickly to competitive pressures, develop and deploy products and services more efficiently or adapt more successfully to changes in technologies and customer requirements. If we are unable to compete successfully in terms of our product offerings or pricing, our business, financial condition and results of operations could be materially adversely affected.

#### **Dependence on One or a Few Major Customers**

OTC Markets Group's three business lines provide diverse products and services. The varied nature of our revenue streams generally prevents us from having material reliance on a small number of major customers. However, our Market Data Licensing business utilizes third party data redistributors to bring our data to end users, and these end users are somewhat concentrated with certain major redistribution partners. In each of 2019 and 2018, redistribution of our market data licenses through the three largest of our redistributors accounted for 15% of our gross revenues.

A majority of our OTC Link and Market Data Licensing customers are financial institutions. We are subject to reliance on a decreasing number of major customers as financial institutions are acquired, merge, restructure and dissolve. If relationships with our largest distribution partners

or a substantial number of our financial institution customers, including our OTC Link ATS broker-dealer subscribers, are terminated, not renewed, or renegotiated on terms less favorable to us, our business could be adversely affected.

## **Employees**

As of December 31, 2019 and 2018, OTC Markets Group had a total of 99 and 93 employees, respectively, all of whom are full-time employees. Employees support one of our three business lines, or our Information Technology, Marketing, or Finance/Corporate Administration support units.

## **Trademarks, Licenses, Franchises, Concessions, Royalty Agreements, or Labor Contracts**

To protect our intellectual property rights, we rely on a combination of trademark and copyright laws, trade secret protections, confidentiality agreements, and other contractual arrangements with our clients, strategic partners, and others.

We own or have licensed rights to trade names, trademarks, domain names, and service marks that we use in conjunction with our operations and services. We have registered many of our most important trademarks. Our primary trademarks and trade names include “OTCQX,” “OTCQB,” “OTC Link,” and “Pink”. As of December 31, 2019, we had 33 registered trademarks, 1 pending trademark and 1 pending patent. We maintain copyright protection in our branded materials.

## **Risk Factors**

*OTC Markets Group evaluates the key enterprise risks it faces on an ongoing basis. The list of key enterprise risks and uncertainties that follows is not exhaustive. Additional risks and uncertainties not presently known to us or that we currently believe to be immaterial may adversely affect our business now or in the future.*

### ***Risks Relating to our Business***

#### **Regulatory changes could have a material adverse effect on our business.**

The securities markets have faced increasing governmental and public scrutiny and significant regulatory changes over the past several years (see *Recent Regulatory Developments Impacting our Business*, above). It is difficult to predict the exact nature of potential changes in the regulatory environment or to predict the resulting impact on our business. The SEC regulates us directly, and exercises regulatory authority over issuers, broker-dealers and other participants in the public markets. Our ability to comply with applicable rules and regulations depends on, among other things, our ability to establish and maintain appropriate systems and procedures, as well as our ability to attract and retain qualified personnel.

While we are not a national securities exchange, we offer certain services that are competitive with the services offered by national securities exchanges (see *Competition*, above).

Companies for which our Corporate Services products are suitable include SEC registered companies and those that choose to deregister with the SEC. Any regulatory change that would encourage or require more companies to undertake SEC registration may reduce the demand for our OTCQX and OTCQB markets. In October 2019, the SEC issued a Policy Statement seeking proposals from national exchanges to improve secondary market trading for thinly traded securities. In February 2020, Nasdaq responded with a proposal that would limit trading for certain thinly traded securities to one exchange (see *Recent Regulatory Developments Impacting our Business*, above). If Nasdaq or other national securities exchanges are permitted

to organize specialized venture exchanges or other exchange-based smaller company markets, companies could seek to list their securities on those markets and broker-dealers could seek to quote on those markets, rather than on our OTCQX and OTCQB markets.

The SEC's proposed amendments to Exchange Act Rule 15c2-11 may, if adopted as proposed, significantly reduce the number of securities trading on our markets, which may negatively impact our revenue and may cause some broker-dealers to cease quoting on our markets (see *Recent Regulatory Developments Impacting our Business*, above).

**OTC Link LLC is subject to FINRA and SEC oversight. The regulatory framework under which we operate, and new regulatory requirements or new interpretations of existing requirements, could require substantial time and resources for compliance, which could make it difficult and costly for us to operate our business.**

Our wholly owned subsidiary, OTC Link LLC operates two SEC registered ATSs, OTC Link ATS and OTC Link ECN. Regulation of OTC Link ATS, and its designation as an SCI entity under Regulation SCI, increases the amount of regulatory scrutiny we are subjected to and the related costs. While not an SCI entity, OTC Link ECN is subject to FINRA and SEC oversight and may qualify as an SCI entity at some point in the future. Regulation SCI requires certain critical market participants, including OTC Link ATS, to maintain comprehensive policies and procedures in relation to their systems and technology. OTC Link LLC and our broker-dealer subscribers are also required to report to the CAT (see *Recent Regulatory Developments Impacting our Business*, above).

The ongoing burdens associated with Regulation SCI and CAT compliance could negatively impact our business by increasing our operational expenses and our regulatory risk. Further, the SEC and/or FINRA could impose additional transactional or other fees which could increase our operating costs or otherwise negatively impact our business.

Regulatory compliance requires substantial time and resources, which make it costlier to operate our OTC Link business. OTC Link LLC is also subject to periodic examinations by the SEC and FINRA, which may result in monetary or other penalties, including possible revocation of ATS licenses. The proposed amendments to Rule 15c2-11 may also subject us to additional regulatory oversight by FINRA and the SEC, which could further increase our operating costs and the possibility of other penalties. Regulatory requirements may make the development and introduction of new products and services more costly and time-consuming, or possibly limit or prohibit such initiatives altogether.

OTC Link ATS relies on certain trade reporting exemptions under the FINRA Rules. Limitations to the nature or extent of this exemptive relief, including with respect to our CAT reporting obligations, may have a negative impact on our business.

OTC Link LLC is subject to regulatory requirements intended to ensure its general financial soundness and liquidity, including certain minimum capital requirements.

**Cyber attacks or other security incidents could harm our business.**

The fast and secure transmission of information over public and other networks is a critical element of our operations and is the subject of significant regulatory scrutiny. Our computer systems, networks and those of our third-party service providers may be vulnerable to security breaches, hacking, human error, denial-of-service attacks, sabotage, terrorism, computer viruses and other security problems. Some of these threats include attacks from foreign agents or insiders. Individuals could wrongfully access and use our information or our subscribers' or users' information, or cause interruptions or malfunctions in our operations. Although we have implemented security measures, our security and the security of our third-party providers may

prove to be inadequate. Any system breach may go undetected for an extended period of time. Maintaining and enhancing these measures also represents additional cost, which reduces our operating margin. If our systems fail to perform or if there are security breaches, any such failures or breaches could, among other things, damage our reputation and/or cause a loss of business, trading, revenues, and lead to lawsuits and regulatory actions including fines, any of which could adversely affect our business, financial condition and operating results.

As cyber security threats continue to evolve and increase in frequency, and as the regulatory environment related to information security, data collection and use, and privacy becomes increasingly rigorous, we may be required to devote significant additional resources to modify and enhance our security controls and to identify and remediate security vulnerabilities, which could adversely impact our business. We also expend time and resources guarding against and monitoring for cybersecurity threats and incidents involving our third-party vendors, which, if they were to occur, could adversely impact our business.

**Our compliance and risk management methods, as well as our fulfillment of our regulatory obligations, might not be effective, which could lead to enforcement actions by our regulators.**

Our ability to comply with complex and changing laws and regulations is largely dependent on our establishing and maintaining compliance and reporting systems that can quickly adapt and respond, as well as our ability to attract and retain qualified compliance and other risk management personnel. While we have policies and procedures to identify, monitor and manage our risks and regulatory obligations, if we fail to comply with any applicable regulations or specific regulatory requests, regulators could take a variety of actions, including imposing fines, issuing cease and desist orders, or prohibiting us from engaging in certain aspects of our businesses, that could impair our ability to conduct our business and have adverse consequences for our business, financial condition and operating results.

**OTC Link ATS subscribers are highly regulated and the regulatory framework under which they operate, and new regulatory requirements or new interpretations of existing requirements, could require substantial time and resources for compliance, which could make it difficult and costly for them to operate.**

Our subscribers operate in a highly regulated environment. The SEC, FINRA, or other regulatory authorities could extend the scope of Regulation SCI to include our broker-dealer subscribers, or could impose significant CAT reporting requirements with respect to OTC equity securities that could adversely affect the ability of our subscribers to use our services or result in reduced demand for our services. Recent regulatory scrutiny has led clearing firms and other third-party service providers on which certain subscribers rely to develop policies limiting those subscribers' ability to interact with low-priced OTC securities, including restrictions on clearing, depositing or facilitating customer transactions in such securities. Continued regulatory focus on low-priced securities, including additional compliance obligations related to the SEC's proposed amendments to Rule 15c2-11, could adversely affect the ability of our subscribers to use our services, result in reduced demand for our services, or cause certain market participants to cease operating in our markets.

**System limitations and failures, including failures elsewhere in the financial service industry, could harm our business.**

Our business depends on the continuing operation of our information technology and communications systems. If these systems cannot accommodate user demand or otherwise fail to perform, we could experience disruptions in service, slower response times, and delays in the introduction of new or updated products and services. Interruptions in service and delays could



reduce revenues and profits, lead to regulatory action including fines, and result in damage to our reputation. We have experienced systems failures in the past, and systems failures may occur in the future. Failures could be caused by, among other things, failures at third-party vendors on which we rely, hardware or software malfunctions or defects, unusually heavy use of our systems, insufficient capacity or network bandwidth, power or telecommunications failures, natural disasters, human error, targeted attacks and computer viruses. Any interruption in the third-party services on which we rely could be disruptive to our business and to our ability to continue to operate.

We currently maintain and expect to continue to maintain multiple computer facilities and systems that are designed to provide redundancy and backup. However, such systems and facilities may prove inadequate. The steps we have taken to increase the reliability and redundancy of our systems are expensive, reduce our operating margin and may not be successful in reducing the frequency or duration of unscheduled downtime.

We have programs in place to identify, monitor and minimize our exposure to vulnerabilities that could contribute to system failures, however we cannot guarantee that such failures will not occur in the future.

In recent years, technology-related failures have impacted several prominent securities industry participants. If broker-dealer subscribers to OTC Link undergo significant systems failures, they may cease to operate or cease to use our services. Further, those failures, or failures in other areas of the U.S. or global trading markets, may erode investor confidence in the securities trading industry, which could adversely affect our business, financial condition and operating results.

**The success of our business depends on our ability to keep up with the significant and rapid technological and other changes that affect our industry.**

Our future success will depend on our ability to adapt to changing technologies, to conform our products and services to evolving industry and regulatory standards and to improve the performance and reliability of our services. Although our investments in technology are carefully scrutinized for value to the enterprise, there can be no assurance that we will generate an acceptable or any return on such investments. Our business would also be negatively affected by the failure of new products or upgrades to function as expected or at all, or by the failure of new products or upgrades with significant associated cost to generate an appropriate risk adjusted return.

Keeping pace with increasing technological requirements involves significant use of resources, and we cannot be sure that we will succeed in making these improvements in a timely manner or at all. If we are unable to anticipate and respond to the demand for new services and products in a cost-effective way, we may be unable to compete effectively, which could adversely affect our business, financial condition, and operating results.

**Our industry is highly competitive.**

We face formidable competition in every aspect of our business. We compete in a variety of ways with other market participants, including national securities exchanges, other SEC registered ATSS, and other financial technology firms providing market data and data analytics products. There is the possibility that new national securities exchanges, ATSS, other trading platforms or market data providers could emerge that would further increase competition in our industry.

The leading global stock exchanges have highly developed and successful listing products and premium fee structures that can fund substantial advertising, marketing and sales efforts. There

is the possibility that national securities exchanges or ATSS could create listing venues, such as specialized venture exchanges, that compete directly with our OTCQX and OTCQB markets. If we fail to compete successfully with existing or new market participants, our business, financial condition, and operating results may be adversely affected. For additional information on the competitive environment in which we operate (see *Competition*, above).

**Challenging economic and geopolitical conditions may impact our business, financial condition and operating results.**

Our business performance is impacted by a number of factors, including general economic conditions, financial market activity and other factors that are generally out of our control. For example, the global COVID-19 or coronavirus outbreak has negatively affected global economic conditions and securities markets. A weakening of global or national economic conditions, as a result of the coronavirus outbreak or otherwise, would likely negatively impact the ability of our customers and other counterparties to meet their obligations to us. Poor economic conditions could result in, among other things, declines in trading activity, or a reduction in demand for our market data and corporate services products.

Reduced levels of trading activity in our markets may affect customer demand for our corporate services and market data and may adversely impact transaction-based revenues. It is likely that a general decline in trading volumes would adversely affect our broker-dealer subscribers, which may adversely affect our business, financial condition and operating results. In addition, revenues from our trading services and market data businesses may decline due to continued business consolidation and further declines in headcount within the financial services industry.

We have operations in the UK, and while these operations are very limited in scope and not material to our overall business, the overall impact of United Kingdom's exit from the European Union may create economic uncertainty on a global scale, which may adversely impact the activities of our customers and could adversely affect our business, financial condition, and operating results.

**Our failure to attract and retain key personnel may adversely affect our ability to conduct our business.**

Our success depends, in large part, upon our ability to attract and retain highly qualified personnel, which is and will be dependent on a number of factors, including market conditions and compensation offered by our competitors. Moreover, there can be no assurance that we will be able to retain our current employees. There is substantial competition for qualified and capable technologists and financial services professionals, which may make it difficult for us to retain qualified employees. We may have to incur costs to retain or replace senior executive officers or other key employees, and our ability to execute our business strategy could be impaired if we are unable to replace such persons in a timely manner. We have entered into Change in Control Agreements with certain senior executive officers, but that may not be sufficient to retain those employees.

We are highly dependent on the continued services of R. Cromwell Coulson, our Chief Executive Officer, and other executive officers and key employees who possess extensive knowledge and technology skills. We maintain a "key person" life insurance policy on Mr. Coulson in the amount of \$5 million, but the loss of the services of Mr. Coulson or other key employees could have a material adverse effect on our business, financial condition, and operating results.

**Many OTCQX and OTCQB companies operate in Canada, are concentrated in specific industries in Canada and may be subject to economic factors in Canada that may cause them to no longer meet the OTCQX Rules and the OTCQB Standards, or to choose to withdraw from OTCQX or OTCQB.**

A significant number of our OTCQX and OTCQB companies are based in Canada and many of those companies are engaged in the mining and cannabis sectors. A downturn in these sectors or in the general Canadian economy may adversely affect the operating results of those companies, causing them to no longer meet the OTCQX rules and OTCQB standards or to choose to withdraw in order to reduce costs. In prior years, downturns in certain industries have adversely affected our OTCQX market. The voluntary or involuntary withdrawal from OTCQX or OTCQB by these companies could adversely affect our OTCQX and OTCQB brands as well as our financial position and results of operations.

Canada, and certain U.S. states and jurisdictions have passed laws permitting the sale and distribution of cannabis-based products and services, however the U.S. federal government has not passed any such laws. Any regulatory or criminal action brought by the U.S. federal government or any U.S. state, or the repeal of any current cannabis legalization in Canada or any U.S. state, could have an adverse effect on our OTCQX and OTCQB markets and our business more generally, financial condition and operating results.

**The OTCQX, OTCQB and Pink markets are not national securities exchanges and this may limit the pool of available investors for these securities.**

Some investors may only invest in securities listed on a national securities exchange. Our OTCQX market offers many services comparable to a national securities exchange, however, under current regulations, national securities exchanges have the ability to offer certain advantages to listed securities. For example, securities listed on a national securities exchange are exempt from state Blue Sky laws covering the offer or sale of securities within each state. National securities exchange listing status also confers margin eligibility to certain securities and potentially allows for their inclusion in certain exchange-traded funds and indices. Recent regulatory scrutiny has impacted investors' ability to deposit and clear low-priced securities and may discourage participation in the OTC market. While we have made significant progress in achieving state Blue Sky and other recognition for our premium markets, remaining differences between our markets and the national securities exchanges, perceived or actual, may act as a barrier to certain companies electing to have their securities traded on the OTCQX, OTCQB or Pink markets.

**We are subject to reliance on a decreasing number of major customers as financial institutions are acquired, merge, restructure, and dissolve.**

A majority of our OTC Link and Market Data Licensing subscribers are financial institutions. Over the past decade, including over the past 12 months, the number of financial institutions operating businesses that may consume our services has decreased, causing our subscriber base to shrink. If this trend continues, it could cause our subscriber base to further contract and adversely affect our operating results and financial position. Our relationships with our largest distribution partners or a substantial number of our financial institution customers may terminate, not renew, or be renegotiated on terms less favorable to us, resulting in adverse effects on our business.

**The adoption of new technologies, including the automation of trading, may impact our business model.**

The automation of trading has resulted in a reduction in the number of broker-dealers and users of our OTC Dealer® application and other services provided by OTC Link ATS as well as in a

reduction in the potential pool of users of our market data. Trading automation is expected to continue, and revenue growth in our OTC Link business line, may depend on the success of our OTC Link ECN and our ability to innovate in line with new technologies to introduce new services, which may not be successful.

**We are exposed to credit risk from third parties.**

We are exposed to credit risk from third parties. These parties may default on their obligations to us due to bankruptcy, lack of liquidity, or other reasons. Our subscribers are generally financial institutions whose ability to satisfy their contractual obligations may be negatively impacted by, among other things, slow or stagnant financial growth. Credit losses could adversely affect our financial position and results of operations.

**If we are not able to maintain and further enhance OTC Markets Group's reputation and brand, our ability to expand our business will be impaired and our business and operating results will be harmed.**

We believe that our brand identity has significantly contributed to the success of our business. We also believe that maintaining and enhancing the "OTC Markets Group" brand as an innovative provider of financial information and technology services is critical to expanding our business. Maintaining and enhancing our brands may require us to make substantial investments and these investments may not be successful. If we fail to promote and maintain our brands, or if we incur excessive expenses in this effort, our business, operating results, and financial condition will be materially and adversely affected.

Our reputation could be harmed by, among other things, issues related to technology-related failures, misconduct or fraudulent activity by current or past employees, companies traded on our OTCQX and OTCQB markets, OTCQX Sponsors, any inaccuracy of our financial statements or other public disclosure and any failure to comply with regulatory requirements or negative public statements by regulators, including further regulatory scrutiny on low-priced securities.

Damage to our reputation could harm our business in many ways, including reducing investor demand for OTC securities, causing broker-dealers to discontinue their use of OTC Link, causing companies not to choose to trade their securities on, or to remove their securities from, OTCQX or OTCQB, causing current or potential customers to refrain from purchasing market data and causing regulators to scrutinize or impose additional regulations on our operations. Any of these events could adversely affect our business, financial condition and operating results.

**The occurrence or perception of unauthorized disclosure of confidential information could harm our business.**

In the course of our business, we receive, process, transmit and store certain confidential information. Our treatment of such information is subject to legal and regulatory restrictions, including the European Union's General Data Protection Regulation (GDPR) and recently adopted privacy laws in the U.S., such as the California Consumer Privacy Act (CCPA). Compliance with data privacy laws and regulations may require changes to the way we collect, process and protect personal information, which may cause us to incur additional costs. While we take measures to protect against unauthorized access to confidential information, these measures may prove inadequate. Our failure to adequately protect confidential and personal information may subject us to contractual liability and damages, regulatory actions including fines, loss of business and harm to our reputation. The occurrence of these events, or the mere perception of the breach of confidence on our part, could have an adverse effect on our business.

**Our intellectual property rights are valuable and any failure to protect our intellectual property rights, or allegations that we have infringed the intellectual property rights of others, could adversely affect our business, financial condition, and operating results.**

Our trademarks, trade secrets, copyrights, pending patents and all of our other intellectual property rights are important assets. Our intellectual property rights are subject to a combination of trademark laws, copyright laws, patent laws, trade secret protection, confidentiality agreements, and other contractual arrangements with our affiliates, subscribers, vendors and others. Failure to protect our intellectual property adequately could harm our reputation and affect our ability to compete effectively. Further, defending our intellectual property rights, or third-party intellectual property claims against us, may require significant financial and other resources, limit our ability to use certain intellectual property, or require us to purchase licenses from third parties.

We vigorously defend our rights to own and license the use of market data. However, any change in existing law that would place in question our intellectual property rights in our market data would have a material adverse effect on this aspect of our business.

**Any infringement by us on intellectual property rights of others could result in litigation and could have a material adverse effect on our operations.**

Our competitors, as well as others, have obtained, or may obtain, patents or may otherwise hold intellectual property rights that are related to our technology or the types of products and services we offer or plan to offer. We may not be aware of all intellectual property that may pose a risk of infringement by our products, services or technologies. In addition, some patent applications in the U.S. are confidential until a patent is issued, and therefore we cannot evaluate the extent to which our products and services may be covered or asserted to be covered in pending patent applications. Thus, we cannot be sure that our products and services do not infringe on the rights of others or that others will not make claims of infringement against us. Claims of infringement are not uncommon in our industry, and even if we believe that such claims are without merit, they can be time-consuming and costly to defend and divert management resources and attention. If one or more of our products, services or technologies were determined to infringe a patent or other intellectual property right held by another party, we may be required to pay damages, stop using, developing or marketing those products, services or technologies, obtain a license from the holders of the patents or intellectual property right or redesign those products, services or technologies to avoid infringing the patent or intellectual property right. If we were required to stop using, developing or marketing certain products, our business, financial condition and operating results could be materially harmed. Moreover, if we were unable to obtain required licenses, we may not be able to redesign our products, services or technologies to avoid infringement, which could materially adversely affect our business, financial condition and operating results.

**Our operating results may fluctuate, which makes our results difficult to predict and could cause our results to fall short of expectations.**

Our operating results may fluctuate as a result of a number of factors, many of which are outside of our control, including economic and political market conditions, natural disasters, pandemics, terrorism, war or other catastrophes, broad macro-economic trends, seasonal fluctuations, price performance and volatility in the stock market, the level and volatility of interest rates, changes in government monetary or tax policy or other legislative and regulatory changes. For example, the global COVID-19 or coronavirus outbreak has negatively affected global economic conditions and securities markets. A weakening of global or national economic conditions, as a result of the coronavirus outbreak or otherwise, would likely negatively impact our operating results. For these reasons, comparing our operating results on a period-to-period

basis may not be meaningful, and our past results should not be relied on as an indication of future performance.

**We may need additional funds to maintain and grow our business, which may not be readily available.**

We depend on the availability of adequate capital to maintain and develop our business. Although we believe that we can meet our current capital requirements from internally generated funds, cash on hand and available borrowings, there are no assurances that additional capital will not be required in the future. If we do not achieve our expected operating results, we may need to reallocate our cash resources. Our failure to fund our capital or credit requirements could have an adverse effect on our business, financial condition, and operating results.

We have no outstanding borrowings under our \$1.5 million line of credit with JPMorgan Chase Bank, N.A. ("JPMorgan Chase") (see *Liquidity and Capital Resources*, below). In the event that we draw funds on our line of credit, or choose to enter into and draw from additional credit agreements for the purpose of making acquisitions or otherwise, we would be subject to restrictive covenants that could, among other things, restrict our ability to grant liens, incur additional indebtedness, pay dividends, sell assets, and make certain payments. Our failure to meet any of the covenants could result in an event of default. If an event of default were to occur, and we were unable to receive a waiver of default, our lenders could increase our borrowing costs, restrict our ability to obtain additional borrowings, accelerate all amounts outstanding, or enforce their interest against all collateral pledged.

If the capital and credit markets experience volatility, for example, as a result of the planned phase out of the London Interbank Overnight Rate ("LIBOR"), access to additional capital or credit may not be available on terms acceptable to us or at all.

**We may not be successful in executing on our strategies to support our growth through acquisitions, other investments or strategic alliances.**

As we continue to seek strategic growth opportunities, there can be no assurance that we will be able to identify suitable investments or candidates for acquisition at acceptable prices. There may be integration risks or other risks resulting from acquired businesses.

Our ability to achieve the expected returns from acquisitions and alliances depends on many factors, including our ability to effectively integrate the technology, sales, administrative functions and personnel into our core business lines and the ability to cross-sell new products and services to our existing customers. We cannot guarantee that businesses we acquire will perform at the levels anticipated. Further, many of the other potential acquirers of assets in our industry have far greater financial resources than we have, and we cannot be sure that we will be able to complete any future transactions on terms favorable to us.

Additionally, past and future acquisitions may subject us to unanticipated risks or liabilities, may require significant resources such as the time and attention of our management team and other key employees, or may otherwise disrupt our existing operations. Growth, such as the addition of new clients, technology and personnel, puts demands on our resources, including our internal systems and infrastructure. These needs may result in increased costs that could negatively impact results of operations.

**We are not subject to SEC reporting requirements, which may negatively impact our ability to raise capital.**

None of our common stock has been registered with the SEC under the Securities Act or the Exchange Act or qualified under any state securities laws. This limits our ability to raise capital

under certain circumstances. For example, certain investors will not invest in unregistered securities, including in private offerings of securities issued by public companies that do not provide investors with registration rights.

We avail ourselves of Blue Sky secondary trading exemptions through our inclusion on the OTCQX market, and other applicable exemptions and filings; however not all states recognize these exemptions and there are states in which we have not qualified for an exemption or filing.

If we were to decide to issue securities in a registered public offering, we would be required to register our securities under the Exchange Act and, among other things, comply with SEC reporting requirements, which would increase our ongoing costs of operations.

***Risks Relating to an Investment in OTC Markets Group's Common Stock***

**If a more active, liquid trading market for our common stock does not develop, stockholders may be unable to sell their shares quickly or at all.**

Historically, our shares have been thinly traded. Prices of thinly traded securities tend to be more volatile than those traded more actively because just a few trades may affect the market price substantially. Stockholders may not be able to sell their shares quickly or at all, or obtain an expected price, and it may be especially difficult to sell shares during a slow period in the financial markets.

**The market price and trading volume of OTC Markets Group's common stock may be volatile, and stockholders could lose some or all of their investment.**

A variety of market and industry factors may affect the market price of our common stock, regardless of our actual operating performance. This market volatility, as well as other factors including, but not limited to, quarterly variations in our financial results, results that fail to meet investor or analyst expectations, departures of key personnel, liquidation by significant shareholders, our inability to continue to pay quarterly dividends or year-end special dividends, changes to the regulatory environment in which we operate, developments in the competitive landscape, technology failures or changes in the macro economic environment more generally, could adversely affect the market price of our common stock.

**Decisions to declare future dividends on our common stock will be at the discretion of our Board of Directors based upon a review of relevant considerations. Accordingly, there can be no guarantee that we will pay future dividends to our stockholders.**

The declaration of dividends by OTC Markets Group is subject to the discretion of our Board of Directors. Our Board of Directors will take into account such matters as general business conditions, our financial results, capital requirements, contractual, legal and regulatory restrictions on the payment of dividends and such other factors as our Board of Directors may deem relevant. Based on an evaluation of these factors, the Board of Directors may determine not to declare future dividends at all or to declare future dividends at a reduced amount. Accordingly, there can be no assurance that we will pay future dividends to our stockholders.

**Charges to earnings resulting from acquisition, integration and restructuring costs may adversely affect the market value of our common stock.**

Our financial results could be adversely affected by the amount of additional amortization or depreciation expense incurred over the useful economic life of assets acquired, by any impairment charges that may be required to be recorded and by the amount of any additional costs from integrating or restructuring the operations of any businesses acquired. This could, in turn, adversely affect the market price of our common stock.

**Our Chief Executive Officer holds 30% of our issued and outstanding common stock.**

As of December 31, 2019, our Chief Executive Officer, R. Cromwell Coulson, owned 30.0% of the voting power of our outstanding common stock. This gives Mr. Coulson significant influence over all matters requiring stockholder approval, including the election of directors and significant corporate transactions, such as a merger or other sale of the Company or our assets, and he will have such influence for the foreseeable future. This concentrated control may limit the ability of other stockholders to influence corporate matters, and as a result we may take actions that our other stockholders do not view as beneficial. Consequently, the market price of our common stock could be adversely affected.

**Provisions of our certificate of incorporation and by-laws, certain agreements with management and provisions of Delaware law could delay or prevent a change in control of the Company and entrench current management.**

Our organizational documents contain provisions that may be deemed to have an anti-takeover effect and may delay, deter, or prevent a change of control, such as a takeover proposal that might result in a premium over the market price for our common stock. Additionally, certain of these provisions make it more difficult to bring about a change in the composition of our Board of Directors, which could result in entrenchment of current management.

Our certificate of incorporation and by-laws:

- authorize our Board of Directors to elect directors to fill a vacancy created by the expansion of the Board of Directors or the resignation, death or removal of a director, which prevents stockholders from being able to fill vacancies on our Board of Directors;
- require supermajority stockholder approval to remove directors;
- do not permit stockholders to act by written consent or to call special meetings; and,
- authorize the Board of Directors, in the event of a tender or other offer for our shares, to advise stockholders not to accept the offer, to create a preferred stock rights agreement and to obtain a more favorable offer from another individual or entity.

Our certificate of incorporation elects the application of Section 203 of the Delaware General Corporation Law, or DGCL. Under Section 203 of the DGCL, a corporation may not engage in a business combination with any holder of 15% or more of its capital stock unless the holder has held the stock for three years or, among other things, the Board of Directors has approved the transaction. Our Board of Directors could rely on Delaware law to prevent or delay an acquisition of the Company (see *Share Structure*, above).

We have entered into Change in Control agreements with certain senior executive officers, which may have the effect of discouraging potential acquirers of our business or reduce the price they are willing to pay common shareholders in connection with an acquisition.



## 2020 Outlook

*This section is comprised primarily of forward-looking statements (see Cautionary Note Regarding Forward-Looking Statements, above).*

During 2020, the Company expects to focus on 1) initiatives aimed at driving sustainable revenue growth, including continued efforts designed to gain market share via our OTC Link ECN; product development, marketing and selling efforts focused on growing the number of issuers on our markets, and in particular the number of international issuers and community banks, and on providing additional services to those issuers and product development and selling efforts in our market data business designed to both grow and enhance our suite of products and expand the number of enterprise level users of those products 2) further developing and enhancing our scalable infrastructure that positions us to meet our regulatory obligations and to continue to develop cost effective technology enabled solutions; 3) building upon the significant progress made in gaining regulatory recognition for our markets by advocating for and helping drive further changes that create better informed financial markets that can more efficiently serve the needs of issuers, investors and other participants and 4) continuing our corporate development efforts to source and evaluate potential acquisitions and other strategic transactions with a view to growing and diversifying our product suite and subscriber base.

In December 2017, we launched our OTC Link ECN. Leveraging our broker-dealer network model, OTC Link ECN provides FINRA registered broker-dealer subscribers with anonymous order matching and order routing functionality. This provides additional and complementary functionality to our existing subscribers, including the opportunity to trade anonymously and the benefits of a maker-taker pricing model. Our OTC Link ECN positioned us to attract new subscribers and allows us to provide a unique offering in the market. Since inception, we have added 53 subscribers to the ECN platform. For the year ended December 31, 2019, we generated \$1.5 million in revenues from our OTC Link ECN, up from \$869 thousand for the prior fiscal year. We intend to continue to focus our efforts on adding subscribers, attracting additional flow and building out enhanced functionality, and we expect to continue to gain market share. However, the total addressable market is relatively limited, and we expect that in order to capture additional market share we may choose to compete more aggressively on pricing.

In January 2019, we opened a small London office housing one employee to support our international OTCQX and OTCQB sales efforts. During the twelve months ended December 31, 2019, we have focused our efforts on solidifying our relationships with local advisors and intermediaries and on building a sales pipeline of global issuers. We saw modest sales from our London office during the twelve months ended December 31, 2019. More generally, we added 69 global issuers to our OTCQX market and 108 global issuers to our OTCQB market. In the longer term, we believe that we can grow the number of international issuers on our markets and intend to devote marketing, PR and sales resources to doing so.

Our goal is to continue to make our corporate clients more successful by providing an efficient and cost effective secondary market that facilitates price discovery as well as a technology focused platform and innovative solutions that allow them to provide timely, high quality disclosure to their investors and stakeholders. In January 2019, we announced the acquisition of certain assets related to the Virtual Investor Conferences business. During 2019, we hosted 18 events, with 213 companies participating, reaching more than 14 thousand investors. During 2020, we hope to grow the revenues generated by our Virtual Investor Conferences business through continued sales efforts and by partnering with intermediaries and other financial institutions.

In February 2019, we announced the acquisition of Qaravan Inc., a provider of innovative software and risk and performance analytics tailored to the banking and finance industry. This acquisition provides us with the opportunity to offer additional tools and functionality that further support the public and private banking industry, while also enhancing our suite of market data services by providing us with a robust, qualitative set of banking data. During 2019, we launched or enhanced a number of our market data offerings, including our Qaravan CECL product and our Canari Compliance Tool. We also added U.S. Bank Call Report and bank holding company data to our website and (see *Recent Business Developments*, above) and introduced a number of other data products that streamline and automate compliance processes in the OTC space. We intend to continue to develop and enhance our market data offerings and, more specifically, in 2020, we plan to grow our market data compliance offerings.

OTC Link ATS is subject to the requirements of Regulation SCI, which are in line with our priority to develop and maintain reliable core systems, processes and data for our subscribers. We will continue to invest in our platform, infrastructure and people in order to ensure we have reliable and compliant systems, policies and procedures, and to allow us to further expand our network. During 2019, we made significant investments in our core infrastructure, upgrading and enhancing the infrastructure at our primary and back up data centers. Additionally, we made significant investments in cloud-based infrastructure and in developing the internal expertise necessary to leverage this important technology. We expect that future investments with respect to our Regulation SCI compliance will be material to our financial results. Similarly, we expect that the CAT reporting responsibilities of OTC Link ATS and OTC Link ECN (see *Recent Regulatory Developments Impacting our Business*, above), scheduled to begin in April 2020 with additional requirements to be phased in over the next several years, will require investments and resources that are likely to be material to our financial results.

We believe that the significant regulatory recognitions achieved to date have marked important milestones in establishing our data-driven market standards as a strong and accepted baseline for corporate governance, investor engagement, disclosure and transparency. As of March 1, 2020, our OTCQX and OTCQB markets are exempt from secondary trading regulations in thirty-six and thirty-three states, respectively (see *Recent Regulatory Developments*, above). During 2020, we intend to continue our efforts to gain additional regulatory recognition for our OTCQX and OTCQB markets in respect of state Blue Sky laws. We have made some progress in advancing the ESOP Fairness Act, legislation that would ease restrictions on OTC issuers wishing to offer their employees access to an Employee Stock Option Plan or ESOP (see *Recent Regulatory Developments*, above), and are also advocating for changes to certain federal regulations concerning margin eligibility.

In September 2019, the SEC published a Proposed Rule that would amend Rule 15c2-11, which governs the publication of quotes in interdealer quotation systems such as our OTC Link ATS (see *Recent Regulatory Developments*, above). The Proposed Rule would require, among other things, that current information about a company be publicly available in order for that company to become, or remain, the subject of broker-dealer quotes on OTC Link ATS.

In November and December 2019, we submitted comments on the Proposed Rule, as discussed in more detail in the *Recent Regulatory Developments*, above. In 2020 we will devote significant resources to continuing to advocate for changes that drive increased market efficiency and position us to better serve the needs of issuers, investors and other market participants. In the event that the SEC adopts a final rule based on the Proposed Rule, we would expect that our financial results would be impacted. Certain aspects of the Proposed Rule amendments could result in additional revenue opportunities, while other of the amendments could result in a reduction in the number of securities quoted on our markets

which could negatively impact our trading revenues. However, it is not yet possible to determine the materiality of such an impact.

In addition to the objectives discussed above, all of which focus on delivering organic revenue growth, during 2020, we will continue to explore strategic capital allocation opportunities including targeted acquisitions and other transactions. In early 2019, we announced two such acquisitions both of which were made with a view to expanding our technology enabled product suite and providing additional utility to our customers. We intend to continue to focus our efforts on identifying and executing on similar strategic opportunities.

## **PART D. Management Structure and Financial Information**

### **The name of the Chief Executive Officer, members of the Board of Directors, as well as control persons**

#### **A. Officers and Directors**

**R. Cromwell Coulson**, President and Chief Executive Officer; Director

R. Cromwell Coulson is President, CEO and a Director of OTC Markets Group since 1997. Mr. Coulson is responsible for the Company's overall growth and strategic direction and has led the transformation of the company into an operator of regulated financial markets for U.S. and global companies. Prior to OTC Markets Group, he was a trader and portfolio manager at Carr Securities Corporation, an institutional broker-dealer and market maker. He received his BBA from Southern Methodist University in 1989 and holds an OPM from Harvard Business School. Mr. Coulson is 53 years of age.

**Matthew Fuchs**, Executive Vice President, Market Data

Matthew Fuchs leads the product development, distribution and sales of market data at OTC Markets Group. He is responsible for overseeing the launch of new products and enhancements to existing market data tools that help financial institutions more efficiently trade and analyze OTCQX, OTCQB, Pink and Grey market securities. Prior to joining OTC Markets Group, he served in a number of financial technology roles at the National Research Exchange, Bearing Point and Arthur Andersen. Mr. Fuchs received a BA from Columbia University. Mr. Fuchs is 44 years of age.

**Lisabeth Heese**, Executive Vice President, Issuer and Information Services

Lisabeth (Liz) Heese joined OTC Markets Group in 2004 as the Director of Issuer and Information Services. Since then, she has built a team responsible for collecting and maintaining corporate and securities data for over 10,000 companies; development, sales and support of company-related products and services; and monitoring company compliance with OTC Markets Group's policies and procedures. Prior to joining OTC Markets Group, Ms. Heese spent 11 years at Nasdaq, serving as a Product Manager in the Trading and Market Services Division for what is currently the FINRA OTC Bulletin Board. Ms. Heese received a BA from American University. Ms. Heese is 50 years of age.

**Michael Modeski**, President, OTC Link LLC

Michael Modeski joined OTC Markets Group in 2011. Mr. Modeski has over 20 years of experience in the financial markets, with a focus on the OTC markets. Previously, Mr. Modeski served as the Director of Broker-Dealer Execution Services and Sales at Citigroup as the Director of Execution Services at Lava Technology, a division of Citigroup. Before working at Citigroup, he was the Director of OTC Equities at FINRA, and held several management positions at Pershing. Mr. Modeski was President of the Security Traders Association of New

York (STANY) from 2016 to 2017. He received a BS in Finance from Lehigh University. He holds various FINRA securities licenses, including the Series 24. Mr. Modeski is 48 years of age.

**Beatrice Ordonez**, Chief Financial Officer

Beatrice (Bea) Ordonez joined OTC Markets Group in 2015 as Chief Financial Officer. Ms. Ordonez has more than 20 years of experience in the financial services industry. Prior to joining OTC Markets Group, she served for 13 years as Chief Operations Officer and Managing Director at Convergenx Group, a global brokerage and trading-related services provider. Prior to this, she served as Chief Financial Officer at G-Trade Services, a broker-dealer then owned by Credit Lyonnais Securities Asia, providing global execution and clearing services. Earlier in her career, Ms. Ordonez worked at Marsh & McLennan and held tax consultant roles at both Price Waterhouse (now PWC) and Arthur Andersen. She is a member of the Institute of Chartered Accountants in England and Wales and received her Bachelor of Law degree from the University of Nottingham in England. She holds a FINRA Series 27 license. Ms. Ordonez is 47 years of age.

**Bruce Ostrover**, Chief Technology Officer

Bruce Ostrover joined OTC Markets Group in 2017 as Chief Technology Officer. Mr. Ostrover has over thirty years of experience in the financial services industry with a focus on software development and project management. Prior to joining OTC Markets Group, he served as Managing Director at Convergenx Group, overseeing strategic project and product development. Before joining Convergenx, he was a founding partner in a consulting firm that provided front, middle and back office solutions for the financial industry which was acquired by Convergenx. Mr. Ostrover has held senior management and professional roles in software development, IT operations and systems administration with industry leaders in the financial services space including Brown Brothers Harriman, Dreyfus Corporation and Swiss Bank Corporation Investment Banking. He received a BS in Mathematics and Computer Science from Binghamton University. Mr. Ostrover is 57 years of age.

**Jason Paltrowitz**, Director, OTC Markets Group International Ltd; Executive Vice President, Corporate Services

In his dual role as Director, OTC Markets Group International Ltd and EVP, Corporate Services, Jason Paltrowitz manages the company's international and domestic Corporate Services business. Prior to joining OTC Markets Group in October 2013, he was Managing Director and Segment Head at JPMorgan Chase responsible for the custody, clearing and collateral management business in the Corporate and Investment Bank division. Mr. Paltrowitz also held multiple senior management positions at BNY Mellon, most notably, as Head of M&A for the Financial Markets and Treasury Services Sector and 11 years as the Head of the Global Capital Markets Group in the Depositary Receipt Division. He currently serves on the Board of Directors of the Crowdfunding Professional Association (CfPA) and also served as a member of the Board of Directors at OTC Markets Group from 2008 to 2011. He received his Bachelor's degree in International Relations from Boston University and his MBA from the NYU Stern School of Business. Mr. Paltrowitz is 47 years of age.

**Daniel Zinn**, General Counsel

Daniel (Dan) Zinn is OTC Markets Group's General Counsel and Corporate Secretary. He leads the Company's regulatory and policy making efforts and is often a speaker on over-the-counter equity markets. Prior to joining OTC Markets Group in 2010, he served as outside counsel to OTC Markets Group beginning in 2007, as a partner at The Nelson Law Firm LLC. Previously, Mr. Zinn worked in the corporate office of AIG. He received his JD from the

Benjamin N. Cardozo School of Law, where he served as Associate Editor of the Cardozo Law Review and received his BS from Pennsylvania State University. He is a member of the American Bar Association. Mr. Zinn is 42 years of age.

**Gary Baddeley**, Director

Gary Baddeley holds an executive position with Ginjan Bros, Inc., a soft beverages business. Previously, Mr. Baddeley was CEO of TDC Entertainment, an independent film and video producer and distributor, and served for two years as Vice President and General Manager of Robbins Entertainment. From 1990 to 1996, Mr. Baddeley was an attorney at Phillips Nizer LLP in New York City, specializing in representation of clients in the music and television industries. Mr. Baddeley received his JD from New York University School of Law and a BS from Kingston University. Mr. Baddeley is 54 years of age.

**Louisa Serene Schneider**, Director

Louisa Serene Schneider currently serves as founder and CEO of Rowan Inc., a direct-to-consumer jewelry manufacturing company. Louisa Serene Schneider served as the Chief Administrative Officer and Head of Investor Relations at Alder Hill Management LP from 2015 through 2017. Prior to Alder Hill, Ms. Serene Schneider was the Senior Director for the Heilbrunn Center for Graham & Dodd Investing at Columbia Business School, responsible for all operational aspects of the school's value investing activities including maintaining and developing new programs and initiatives surrounding the Graham & Dodd tradition at Columbia. She also served as an Industry Advisor to the Heilbrunn Center and taught a Columbia Executive Education course on Value Investing from 2010 through 2019. Prior to her work at Columbia, from 2000 to 2008 Ms. Serene Schneider was employed by Morgan Stanley and JPMorgan in several departments, including Mergers & Acquisitions, Fixed Income Research, and Trading. Ms. Serene Schneider received a BS from Dartmouth College in Political Science and French and an MBA from Columbia Business School. Ms. Serene Schneider is 43 years of age.

**Andrew Wimpfheimer**, Director

Andrew Wimpfheimer has been a private investor since 2005. Mr. Wimpfheimer served as Director of AM Capital LLC from 2002 to 2005. From 1995 to 2001, Mr. Wimpfheimer was Managing Director responsible for OTC-Non-Nasdaq Trading at Knight Securities, L.P. From 1988 to 1995 he was an equity trader for Troster Singer Inc., a division of Spear, Leeds & Kellogg, Inc. From 1985 to 1988, Mr. Wimpfheimer was employed by Spear, Leeds & Kellogg Inc., where his duties included work on the NYSE, AMEX, Futures Market and Arbitrage Department, as well as general back office work. From 1980 to 1985, Mr. Wimpfheimer was a New York Stock Exchange floor clerk, trading desk employee and back office trainee for Herzfeld & Stern LLP. Mr. Wimpfheimer received his BA from Macalester College in St. Paul, Minnesota. Mr. Wimpfheimer is 63 years of age.

**Neal Wolkoff**, Chairman of the Board of Directors

Neal Wolkoff is the Chairman of OTC Markets Group's Board of Directors. Mr. Wolkoff is a former executive of three exchanges and is currently a principal in Health Care Financial Services Inc., which is developing financial products for the healthcare industry. He is also a consultant and attorney focusing on futures and securities markets, exchanges, market regulation, operations and clearinghouses. From 2008 to February 2012, Mr. Wolkoff was the Chief Executive Officer of ELX Futures, L.P. From 2005 to 2008, he served as Chairman and Chief Executive Officer of the American Stock Exchange (AMEX). Prior to the AMEX, Mr. Wolkoff was an executive officer at the New York Mercantile Exchange (NYMEX) from 1981 to 2003, over time serving as Acting President, Chief Operating Officer, and Senior Vice President

for Regulation and Clearing. From 1980 to 1981, Mr. Wolkoff was employed as an Honors Program Trial Attorney in the Division of Enforcement of the Commodity Futures Trading Commission. In addition to his role as a non-executive Chairman of OTC Markets Group, Mr. Wolkoff is a non-executive director of World Gold Trust Services, the sponsor of the Exchange Traded Fund “GLD,” and WGC USA Asset Management Company, LLC, the sponsor of the Exchange Traded Fund “GLDM.” Mr. Wolkoff received a BA from Columbia University and a JD from Boston University School of Law and is a member of the Bar of the State of New York. Mr. Wolkoff is 63 years of age.

### ***Board Memberships and Other Affiliations***

Mr. Baddeley is an officer and director of a New York cooperative corporation and a director of Downtown United Soccer Club, Inc., a New York not-for-profit corporation.

Mr. Coulson is an officer of a small New York cooperative corporation.

Mr. Wolkoff is a non-executive director of World Gold Trust Services and WGC USA Asset Management Company, LLC.

### ***Compensation of Officers and Directors***

Beneficial share ownership of Officers and Directors as of March 1, 2020:

| <b>Name and Business Address*</b> | <b>Position</b>                                           | <b>Shares Beneficially Owned**</b> | <b>Options Outstanding</b> | <b>Vested Options Outstanding</b> | <b>Note</b> |
|-----------------------------------|-----------------------------------------------------------|------------------------------------|----------------------------|-----------------------------------|-------------|
| R. Cromwell Coulson               | President, Chief Executive Officer, and Director          | 3,466,156 Class A                  | -                          | -                                 | (1)         |
| Matthew Fuchs                     | Executive Vice President, Market Data                     | 98,181 Class A                     | -                          | -                                 |             |
| Lisabeth Heese                    | Executive Vice President, Issuer and Information Services | 73,697 Class A                     | -                          | -                                 |             |
| Michael Modeski                   | President, OTC Link LLC                                   | 151,182 Class A                    | 50,000                     | 50,000                            | (2)         |
| Beatrice Ordonez                  | Chief Financial Officer                                   | 16,701 Class A                     | 6,000                      | -                                 | (3)         |
| Bruce Ostrover                    | Chief Technology Officer                                  | 17,967 Class A                     | 24,000                     | 9,600                             | (4)         |
| Jason Paltrowitz                  | Executive Vice President, Corporate Services              | 29,066 Class A                     | -                          | -                                 |             |
| Dan Zinn                          | General Counsel                                           | 64,959 Class A                     | 5,000                      | 5,000                             | (5)         |
| Gary Baddeley                     | Director and Audit Committee Member                       | 141,889 Class A                    | -                          | -                                 |             |
| Louisa Serene Schneider           | Director and Audit Committee Member                       | 29,179 Class A                     | -                          | -                                 |             |
| Andrew Wimpfheimer                | Director and Audit Committee Chairman                     | 241,006 Class A                    | -                          | -                                 | (6)         |
| Neal Wolkoff                      | Director and Chairman of the Board                        | 29,179 Class A                     | -                          | -                                 |             |
| Officers and Directors as a Group |                                                           | 4,359,162 Class A                  | 85,000                     | 64,600                            |             |

\* All officers and directors may be contacted at OTC Markets Group's address.

**\*\*** Beneficial share ownership includes vested options, options scheduled to vest within 60 days of March 1, 2020 and stock owned subject to an RS Agreement.

- (1) Includes 370,000 Class A shares held by Mr. Coulson's wife and 24,800 total Class A shares held equally by two trusts for the benefit of Mr. Coulson's children. Mr. Coulson disclaims beneficial ownership of these securities and this Annual Report shall not be deemed an admission that Mr. Coulson is the beneficial owner of these securities for any purpose. Mr. Coulson's wife and children are beneficiaries of the Cromwell Coulson Family 2012 DE Trust, which owns 687,000 Class A shares of the Company. These shares are not included in the number of shares Mr. Coulson beneficially owns, and Mr. Coulson disclaims beneficial ownership of these securities. This Annual Report shall not be deemed an admission that Mr. Coulson is the beneficial owner of these securities for any purpose. The change in Mr. Coulson's beneficial ownership as of March 1, 2020, reflects the repurchase by the Company on January 29, 2020 of 40,000 Class A shares at a price on \$34.20, as well as the grant of 5,263 shares of restricted stock on January 29, 2020 as part of Mr. Coulson's 2019 incentive compensation.
- (2) Mr. Modeski's outstanding options consist of 50,000 awarded in April 2011, at an exercise price of \$6.28, all of which are vested.
- (3) Ms. Ordenez's outstanding options consist of 6,000 awarded in January 2016, at an exercise price of \$15.15, none of which are vested.
- (4) Mr. Ostrover's outstanding options consist of 24,000 awarded in November 2017, at an exercise price of \$25.00, 9,600 of which are vested.
- (5) Mr. Zinn's outstanding options consist of 5,000 awarded in November 2010, at an exercise price of \$6.88, all of which are vested.
- (6) Includes 209,498 Class A shares held by the Melinda Wimpfheimer 2012 Irrevocable Trust, of which Mr. Wimpfheimer is a beneficiary. The change in Mr. Wimpfheimer's beneficial ownership during the year ended December 31, 2019 reflects sales of 69,549 shares, as well as a grant of 1,006 shares of restricted stock as part of Mr. Wimpfheimer's 2019 compensation as a member of the Company's Board of Directors.

The following tables set forth the aggregate compensation paid by OTC Markets Group for services rendered by its Executive Officers, during the periods indicated:

## OFFICERS

| Name and Position                                                           | Year Ended | Salary     | Cash Bonus | Restricted Stock Awards <sup>(1)(2)</sup> | Option Awards | Restricted Stock Dollar Value | Option Dollar Value |
|-----------------------------------------------------------------------------|------------|------------|------------|-------------------------------------------|---------------|-------------------------------|---------------------|
| R. Cromwell Coulson<br>President, Chief Executive Officer, and Director     | 2019       | \$ 564,940 | \$ 180,005 | 5,263                                     |               | \$ 179,995                    |                     |
|                                                                             | 2018       | \$ 564,940 | \$ 224,012 | 7,529                                     |               | \$ 223,988                    |                     |
| Matthew Fuchs<br>Executive Vice President, Market Data                      | 2019       | \$ 292,000 | \$ 152,502 | 4,459                                     |               | \$ 152,498                    |                     |
|                                                                             | 2018       | \$ 277,500 | \$ 152,502 | 5,126                                     |               | \$ 152,499                    |                     |
| Lisabeth Heese<br>Executive Vice President, Issuer and Information Services | 2019       | \$ 290,000 | \$ 142,001 | 4,152                                     |               | \$ 141,999                    |                     |
|                                                                             | 2018       | \$ 275,000 | \$ 142,003 | 4,773                                     |               | \$ 141,997                    |                     |
| Michael Modeski<br>President, OTC Link LLC                                  | 2019       | \$ 446,000 | \$ 200,032 | 5,847                                     |               | \$ 199,968                    |                     |
|                                                                             | 2018       | \$ 430,000 | \$ 210,025 | 7,058                                     |               | \$ 209,976                    |                     |
| Beatrice Ordonez<br>Chief Financial Officer                                 | 2019       | \$ 305,000 | \$ 160,012 | 4,678                                     |               | \$ 159,988                    |                     |
|                                                                             | 2018       | \$ 290,000 | \$ 160,005 | 5,378                                     |               | \$ 159,996                    |                     |
| Bruce Ostrover<br>Chief Technology Officer                                  | 2019       | \$ 260,000 | \$ 117,001 | 3,421                                     |               | \$ 116,999                    |                     |
|                                                                             | 2018       | \$ 247,500 | \$ 130,022 | 4,369                                     |               | \$ 129,978                    |                     |
| Jason Paltrowitz<br>Executive Vice President, Corporate Services            | 2019       | \$ 335,000 | \$ 210,011 | 6,140                                     |               | \$ 209,989                    |                     |
|                                                                             | 2018       | \$ 308,000 | \$ 200,021 | 6,722                                     |               | \$ 199,980                    |                     |
| Dan Zinn<br>General Counsel                                                 | 2019       | \$ 305,000 | \$ 160,012 | 4,678                                     |               | \$ 159,988                    |                     |
|                                                                             | 2018       | \$ 290,000 | \$ 160,005 | 5,378                                     |               | \$ 159,996                    |                     |

### Notes:

- (1) All restricted stock awards are Class A Common Stock. The 2019 and 2018 restricted stock awards consisted of shares of unvested stock, which vest equally over five years.
- (2) The fair market value of the Class A Common Stock was \$34.20 at grant date for shares related to the year 2019, and \$29.75 at grant date for shares awarded related to the year 2018.



## DIRECTORS

| Name                    | Year Ended | Director's Fees <sup>(1)</sup> | Share Awards <sup>(2)</sup> | Share Value <sup>(3)</sup> |
|-------------------------|------------|--------------------------------|-----------------------------|----------------------------|
| Gary Baddeley           | 2019       | \$ 45,027                      | 1,006                       | \$ 37,474                  |
|                         | 2018       | \$ 45,012                      | 1,258                       | \$ 37,488                  |
| Louisa Serene Schneider | 2019       | \$ 45,027                      | 1,006                       | \$ 37,474                  |
|                         | 2018       | \$ 45,012                      | 1,258                       | \$ 37,488                  |
| Andrew Wimpfheimer      | 2019       | \$ 52,527                      | 1,006                       | \$ 37,474                  |
|                         | 2018       | \$ 52,512                      | 1,258                       | \$ 37,488                  |
| Neal Wolkoff            | 2019       | \$ 77,527                      | 1,006                       | \$ 37,474                  |
|                         | 2018       | \$ 77,512                      | 1,258                       | \$ 37,488                  |

Notes:

- (1) Represents fees of \$9,375 for each of the four regularly scheduled meetings of the Board of Directors during 2019 and 2018. In each of 2019 and 2018, an additional \$7,500 was paid to Mr. Baddeley and Ms. Serene Schneider as members of the audit committee. An additional \$15,000 was paid to Mr. Wimpfheimer as chairman of the audit committee in 2019 and 2018. An additional \$40,000 was paid to Mr. Wolkoff as chairman of the Board of Directors in 2019 and 2018.
- (2) All share awards are of Class A Common Stock that vests in equal quarterly installments over the 12 months immediately subsequent to the date of grant.
- (3) The fair market value of the Class A Common Stock was \$37.25 per share for the 2019 share award and \$29.80 per share for the 2018 share award.

### B. Legal/Disciplinary History

None of the officers, directors, promoters, or control persons of OTC Markets Group has, in the past five years, been the subject of any of the following:

- A conviction in a criminal proceeding or named as a defendant in a pending criminal proceeding (excluding traffic violations and other minor offenses);
- Any bankruptcy petition filed by or against any business of which such person was a general partner, or executive officer either at the time of the bankruptcy or within two years prior to that time;
- The entry of an order, judgment or decree, not subsequently reversed, suspended or vacated, by a court of competent jurisdiction that permanently or temporarily enjoined, barred, suspended, or otherwise limited such person's involvement in any type of business, securities, commodities, or banking activities;
- A finding or judgment by a court of competent jurisdiction (in a civil action), the SEC or the Commodity Futures Trading Commission, or a state securities regulator of a violation of federal or state securities or commodities law, which finding or judgment has not been reversed, suspended, or vacated; or
- The entry of an order by a self-regulatory organization that permanently or temporarily barred, suspended or otherwise limited such person's involvement in any type of business or securities activities.

### C. Disclosure of Family Relationship

None.

#### **D. Disclosure of Related Party Transactions**

None.

#### **E. Disclosure of Conflicts of Interest**

None.

#### **Beneficial Owners**

As of December 31, 2019, the following shareholders beneficially own 5% or more of OTC Markets Group's Common Stock:

| <b>Name and Address of Shareholder</b>       | <b>Membership Class</b> | <b>Shares Beneficially Owned</b> | <b>Ownership Percentage of Class Outstanding</b> | <b>Note</b> |
|----------------------------------------------|-------------------------|----------------------------------|--------------------------------------------------|-------------|
| R. Cromwell Coulson<br>300 Vesey, 12th Floor | Class A                 | 3,500,893                        | 30.0%                                            | (1)         |
| Cromwell Coulson Family 2012 DE Trust        | Class A                 | 687,000                          | 5.9%                                             |             |

- (1) Includes 370,000 Class A shares held by Mr. Coulson's wife and 24,800 total Class A shares held equally by two trusts for the benefit of Mr. Coulson's children. Mr. Coulson disclaims beneficial ownership of these securities and this Annual Report shall not be deemed an admission that Mr. Coulson is the beneficial owner of these securities for any purpose. Mr. Coulson's wife and children are beneficiaries of the Cromwell Coulson Family 2012 DE Trust, which owns 687,000 Class A shares of the Company. These shares are not included in the number of shares Mr. Coulson beneficially owns, and Mr. Coulson disclaims beneficial ownership of these securities. This Annual Report shall not be deemed an admission that Mr. Coulson is the beneficial owner of these securities for any purpose.

OTC Markets Group is not aware of any additional beneficial shareholders owning 5% or more of our Common Stock. It is possible that there are one or more additional beneficial holders of a significant percentage of our Common Stock, however the federal securities laws do not require a beneficial shareholder of 5% or more of our Common Stock to disclose that information publicly or to the Company. The table above is based on the best information available to the Company.

#### **The name, address, telephone number, and email address of each of the following outside providers that advise the issuer on matters relating to operations, business development and disclosure**

- |                        |                                                                                                                                                                                                 |
|------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Investment Banker:  | None                                                                                                                                                                                            |
| 2. Promoters:          | None                                                                                                                                                                                            |
| 3. Disclosure Counsel: | The Nelson Law Firm, LLC<br>445 Hamilton Avenue, Suite 1102<br>White Plains, NY 10601<br>Tel: (914) 220-1900<br>Fax: (914) 610-7456<br>www.thenelsonlawfirm.com<br>Email: sjnelson@nelsonlf.com |

4. Auditor: Deloitte & Touche LLP  
30 Rockefeller Plaza  
New York, NY 10112  
Tel: (212) 492-4000  
Fax: (212) 489-1687  
www.deloitte.com

Preparation of OTC Markets Group's consolidated financial statements is the responsibility of OTC Markets Group management. Deloitte & Touche LLP is responsible for expressing an opinion on the consolidated financial statements for the year ended December 31, 2019, based on their audit. During 2019 and 2018, we incurred audit fees from Deloitte & Touche LLP of \$308 thousand and \$297 thousand, respectively, related to the audits of the financial statements of OTC Markets Group Inc. and OTC Link LLC. During 2019 and 2018, we did not incur any other audit-related or other fees from Deloitte & Touche LLP.

Deloitte & Touche LLP has confirmed to us that the firm is licensed to practice public accounting in the states in which we conduct our business. Deloitte & Touche LLP is registered with the PCAOB.

5. Public Relations Consultant: None  
6. Investor Relations Consultant: None  
7. Corporate Secretary: Daniel Zinn, General Counsel  
8. Any Other Advisor: None

## Selected Financial Data

The selected financial data set forth below should be read in conjunction with our consolidated financial statements, the notes to financial statements, and “*Management’s Discussion and Analysis of Financial Condition and Results of Operations*,” included in this Annual Report.

The statement of income data for the years ended December 31, 2019, 2018, 2017, 2016 and 2015 as well as the balance sheet data at December 31, 2019, 2018, 2017, 2016 and 2015 are derived from our audited consolidated financial statements.

| (in thousands, except per share data)    | Year Ended December 31, |           |           |           |           |
|------------------------------------------|-------------------------|-----------|-----------|-----------|-----------|
|                                          | 2019                    | 2018      | 2017      | 2016      | 2015      |
| OTC Link                                 | \$ 11,676               | \$ 11,175 | \$ 10,075 | \$ 10,573 | \$ 11,796 |
| Market data licensing                    | 24,447                  | 23,383    | 21,922    | 21,054    | 20,609    |
| Corporate services                       | 26,716                  | 24,720    | 22,659    | 19,254    | 17,504    |
| Gross revenues                           | 62,839                  | 59,278    | 54,656    | 50,881    | 49,909    |
| Net revenues                             | 60,350                  | 56,830    | 52,176    | 48,565    | 47,530    |
| Revenues less transaction-based expenses | 59,604                  | 56,455    | 52,176    | 48,565    | 47,530    |
| Total operating expenses                 | 41,722                  | 36,810    | 33,872    | 31,638    | 30,664    |
| Income from operations                   | 17,882                  | 19,645    | 18,304    | 16,927    | 16,866    |
| Net income                               | \$ 14,942               | \$ 16,237 | \$ 12,559 | \$ 10,528 | \$ 10,258 |

|                    |         |         |         |         |         |
|--------------------|---------|---------|---------|---------|---------|
| Earnings per share |         |         |         |         |         |
| Basic              | \$ 1.28 | \$ 1.41 | \$ 1.10 | \$ 0.92 | \$ 0.91 |
| Diluted            | \$ 1.25 | \$ 1.36 | \$ 1.06 | \$ 0.90 | \$ 0.88 |

|                                     |            |            |            |            |            |
|-------------------------------------|------------|------------|------------|------------|------------|
| Weighted-average shares outstanding |            |            |            |            |            |
| Basic                               | 11,364,217 | 11,250,984 | 11,141,161 | 11,092,097 | 11,008,095 |
| Diluted                             | 11,702,863 | 11,622,770 | 11,566,086 | 11,339,603 | 11,289,185 |

| (in thousands)              | December 31, |           |           |           |           |
|-----------------------------|--------------|-----------|-----------|-----------|-----------|
|                             | 2019         | 2018      | 2017      | 2016      | 2015      |
| Cash and cash equivalents   | \$ 28,217    | \$ 28,813 | \$ 23,683 | \$ 25,034 | \$ 23,925 |
| Working capital             | 9,641        | 13,972    | 11,274    | 12,941    | 13,749    |
| Total long-term liabilities | 17,293       | 2,459     | 1,351     | 1,101     | 867       |
| Total stockholders' equity  | \$ 17,673    | \$ 16,409 | \$ 13,791 | \$ 15,506 | \$ 17,547 |

## Management's Discussion and Analysis of Financial Condition and Results of Operations

### Trends in Our Business

Over the past several years, we have made significant progress in our goal of gaining regulatory recognition for our OTCQX and OTCQB markets. As discussed further above under *Recent Regulatory Developments Impacting Our Business*, we are continuing to work with NASAA and individual state regulators to achieve full nationwide Blue Sky recognition for secondary trading activities on our OTCQX and OTCQB markets.

We intend to continue our efforts to gain federal regulatory recognition for our data driven market standards and compliance processes and to advocate for changes that provide issuers on our market with a more efficient public market. For example, we have made some headway in advancing the ESOP Fairness Act (see *Recent Regulatory Developments Impacting Our Business*, above), legislation that would ease restrictions on OTC issuers wishing to offer their employees access to an Employee Stock Option Plan or ESOP, and we are making some progress in advancing regulatory change that would designate certain OTCQX and OTCQB securities as margin eligible. Recognition of our market standards by federal, state and international regulators provides investors with a benchmark against which to measure the quality of information available to them, while providing corporate issuers with a more efficient public market for their shares.

During 2019, we have continued to focus on providing enhanced disclosure and investor engagement tools to corporate issuers on our OTCQX and OTCQB markets. These initiatives include our acquisition of the Virtual Investor Conferences business (see *Recent Business Developments*, above), the expansion of our Research Marketplace, now the Premium Provider Directory, a platform for companies to access the services of equity research firms and other firms who offer services to the issuer community, as well as other visibility initiatives such as our company video and podcast series. We have also expanded the use of the Market Center at our new corporate headquarters, providing our issuers with access to state-of-art facilities for them to meet with investors and a venue for associations and industry groups to host conferences and interact with clients, peers and other market participants.

As a general matter, we believe that private markets will continue to be an important and growing source of capital, especially for small cap issuers and that issuers on our markets can benefit from access to more cost efficient capital raising tools. In October 2019, we announced a strategic alliance with North Capital to provide companies on our markets with access to a technology platform that enables them to cost effectively raise capital online (see *Recent Business Developments*, above). It is not yet possible to determine the extent to which our strategic alliance with North Capital will affect our financial results, however, revenues directly derived from this initiative are not expected to be material.

We have continued to work closely with the Canadian Securities Exchange to jointly market a North American capital markets solution and, during 2020, plan to devote further resources to similar initiatives with other global exchanges. Through our continued selling efforts, joint marketing efforts and enhanced product offerings, we hope to attract additional issuers to our markets and in particular, to grow the number of domestic banks and the number of international issuers on our markets. It is not yet possible to predict the impact these initiatives will have on Corporate Services revenues.

As of December 31, 2019, 442 companies were traded on the OTCQX Best Market, compared to 409 companies as of December 31, 2018. For the 2019 annual subscription period, we achieved a 94% retention rate, representing a 3 percentage point increase versus our retention

rate for the 2018 annual subscription period. This, coupled with continuing strong sales for the year ended December 31, 2019, has contributed to the higher number of companies on the market.

International companies have been a significant driver of the growth in the number of companies on our OTCQX market. For the year ended December 31, 2019, we added 69 international issuers to our OTCQX market. In January 2019, we opened a sales office in London, and we continue to devote resources to our international sales efforts. Companies engaged in cannabis-related sectors, both international and domestic, have also been a growth driver. As of March 1, 2020, there were roughly 68 such companies on the OTCQX market. For the 2020 annual OTCQX subscription period, we achieved a 92% retention rate, down versus the 94% retention rate achieved for the 2019 annual subscription period.

As of December 31, 2019, there were 907 companies on the OTCQB Venture Market, down versus the 934 companies as of December 31, 2018. For the year ended December 31, 2019, we saw a decline in new sales, with 202 companies added, versus 243 new joins in 2018. New sales in 2018 were buoyed by an active cannabis sector. In 2019, we saw sales constrained by a combination of factors, including poor performance in the cannabis sector relative to 2018 and the strengthening of OTCQB eligibility requirements, both of which have reduced the addressable market. The decline in new companies joining the market was the primary driver of the year over year contraction in the number of companies on the OTCQB market.

For the year ended December 31, 2019, the total dollar volume traded in OTCQX, OTCQB and Pink companies was \$329.2 billion, a decline of 12% when compared to the prior year. Approximately 88% of the overall decline was related to trading in securities on the Pink Open Market, due in large part to the significant spike in volumes traded on the Pink market in 2018, with much of that increase related to trading in Foreign Ordinary Shares and American Depositary Receipts. The total dollar volume traded in OTCQX, OTCQB and Pink companies that provide current information to investors was \$325.8 billion, representing 99% of total dollar volume across all of our markets. We have continued to see a decline in the trading volumes attributable to securities that do not provide current information to investors. Our OTC Link ATS had 87 broker-dealer subscribers quoting 10,755 securities as of December 31, 2019, as compared to 91 subscribers quoting 10,465 securities as of December 31, 2018.

We saw significant revenue growth from our OTC Link ECN (see *Financial Results*, below), and this was the primary driver of the 4% year over year increase in revenues, more than offsetting the impact of continued contraction in the broker-dealer industry.

Our objective in launching OTC Link ECN was to provide additional and enhanced functionality to existing subscribers of OTC Link ATS, while also attracting new subscribers. As of December 31, 2019, OTC Link ECN had 53 subscribers, and for the year ended December 31, 2019, generated \$1.5 million in revenues. We expect to continue to attract new subscribers to the platform and to grow our market share. However, the total addressable market is relatively limited, and we expect that in order to capture additional market share we may choose to compete more aggressively on pricing.

In our Market Data Licensing business, we saw a 4% increase in professional users, from 21,487 professional users as at December 31, 2018 to 22,426 professional users as at December 31, 2019. During the same period, the number of professional subscribers to the U.S. Equities Securities Information Processor ("UTP SIP"), which includes information on securities listed on Nasdaq, declined by 3% to 280,781 users. We continue to have a relatively modest share of UTP SIP users at 8.0% of the UTP SIP total as at December 31, 2019, up from 7.4% as at December 31, 2018. This likely reflects the smaller number of financial services firms that participate in the OTC markets versus the listed equities markets.

The number of non-professional users of our market data declined versus the prior year end, with 12,882 non-professional users as at December 31, 2019 as compared to 14,763 non-professional users at the December 31, 2018. In the normal course of business operations, we expect to see, and have historically seen, significant changes in the number of non-professional users, in particular in response to fluctuations in interest and thus trading in “hot sectors”, including in recent years the cryptocurrency and the cannabis sectors. The longer-term trend has been one of growth in the number of non-professional users of our data, with 9,352 non-professional users as at December 31, 2015, 12,839 non-professional users as at December 31, 2016 and 14,801 non-professional users as at December 31, 2017.

We continue to focus resources on developing and enhancing our suite of compliance analytics and compliance data products, including the introduction of our stock promotion and shell risk flags, the launch of a Promotion Data File, our enhanced Compliance Analytics File and a Small Cap Listed Compliance Product, all launched in 2018. In April 2019, we launched Canari, a web-based tool designed to provide users with a comprehensive view of quantitative compliance data for OTCQX, OTCQB, Pink and Grey Market securities (see *Recent Business Developments*, above). As of March 1, 2020, a total of 42 firms subscribe to our Compliance Data or Compliance Analytics products, representing most of the largest banks, custodians and clearing firms in the U.S. equities space. We have devoted significant resources to growing the subscriber base and believe that we have captured much of the total addressable market. Further, consolidation amongst the larger financial services firms, including for example recent high profile acquisitions in the retail broker space, is likely to continue, and could impact the addressable market both for our compliance products and for our enterprise level market data products more generally.

As noted above under *Recent Business Developments*, during the first quarter of 2019, we completed the acquisition of Qaravan Inc. In the second quarter, we launched the Qaravan CECL tool. In October 2019, we incorporated U.S. Bank Call Report data gathered through our Qaravan business into our corporate website. This data set provides critical financial and operating information on the more than 550 U.S. community banks that trade on the OTCQX, OTCQB, and Pink markets as well as on exchange listed banks. In February 2020, we added U.S. bank holding company data to our website, providing additional transparency for investors. Through these products we hope to provide additional services to the private and public banking community and to enrich and enhance our market data offerings. In the short term, we do not anticipate that the acquisition of Qaravan will have a material impact on our financial results.

We evaluate both the current and future period impact of increasing costs related to our personnel, IT infrastructure and expense base more generally. Consistent with other companies in the financial technology sector, compensation and information technology costs make up a very significant proportion of our overall expenses, representing approximately 80% of our total operating expenses in each of the years ended December 31, 2019 and 2018. We recognize the importance of attracting and retaining the talent required to develop our service offerings and manage our infrastructure. We face a competitive hiring environment and have continued to evaluate and, where necessary, adjust our overall compensation packages accordingly. We have added headcount where we believe those additional resources can drive future earnings growth or are necessary to provide reliable services to our clients or to comply with our regulatory obligations. Our headcount increased from 93 as of December 31, 2018 to 99 as of December 31, 2019. This has driven a significant increase in our compensation costs for the year ended December 31, 2019, when compared to the prior year periods. In the year ended December 31, 2019, the growth in our operating expense base has outstripped revenue growth, resulting in a decrease in income generated from operations (see *Financial Results*, below).

We have continued to make investments in the personnel that support our technology infrastructure. We believe such investments are necessary if we are to remain compliant with our regulatory obligations, including our obligations under Regulation SCI. We expect that future investments with respect to our Regulation SCI compliance and related to CAT reporting responsibilities will be material to our financial results.

### **How OTC Markets Group Generates Revenues**

OTC Markets Group generates a majority of its revenues through a subscription model. As a result, a significant proportion of our revenues are subscription-based and recurring in nature. For example, once a broker-dealer decides to trade using OTC Link ATS, that broker-dealer typically continues to subscribe to our services, with variable monthly user and usage levels, until it ceases to be active in trading securities on the OTCQX, OTCQB and Pink markets.

#### *OTC Link*

Our trading services business is operated by our wholly owned subsidiary, OTC Link LLC. OTC Link LLC operates OTC Link ATS and OTC Link ECN.

Broker-dealers pay monthly subscription and connectivity fees to use OTC Link ATS. Our OTC Dealer application provides broker-dealers a user interface into OTC Link ATS. Fees for use of the OTC Dealer application are based on the number of authorized users per subscriber and are discounted in graduated amounts in relation to total users per subscriber.

OTC Link ATS's FINRA member broker-dealer subscribers pay per security usage fees to (i) publish quotes and (ii) communicate and negotiate with counterparties on OTC Link ATS. Monthly OTC Link ATS position fees are based on the number of daily quote positions in Pink securities, with tiered pricing arrangements based on volume. Monthly OTC Link ATS message fees are based on the daily number of securities on OTC Link ATS for which trade messages are sent or received, with tiered pricing arrangements based on volume. The daily quoting and messaging fees allow subscribers to make unlimited quote updates in a single security and to send and receive an unlimited number of trade messages in a security on a given day.

OTC Link ECN generates transactional revenues based on share volume executed on the ECN matching platform. Broker-dealer subscribers pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity. To the extent that OTC Link ECN routes orders to OTC Link ATS, OTC Link ECN may earn fees for those orders which provide liquidity, while paying a fee for those orders that remove liquidity. Fees earned are recognized as transaction-based revenues, while fees paid are recognized as transaction-based expenses.

#### *Market Data Licensing*

We generate Market Data Licensing revenues by providing our subscribers with access to the extensive market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines.

Investors, traders, institutions, accountants, and regulators pay us monthly license fees to access this information. We offer a suite of market data licenses, priced at per enterprise or per subscriber rates, through direct connectivity, extranet connectivity, third-party market data redistributors and OMS providers. Depending on the license type, subscribers may distribute the market data on an internal-only basis, to clients, or to the public. We generate a majority of our market data revenues from sales through market data redistributors. The market data redistributors that offer our market data to their subscribers have historically remained long-term clients.



Certain of our market data license agreements include redistribution fees and rebates, which represented 10% of Market Data Licensing gross revenue in each of the years ended December 31, 2019 and 2018.

Pricing information for each of our market data licenses is publicly available on our website.

We also charge for the right to display advertisements on [www.otcmarkets.com](http://www.otcmarkets.com). Website advertising revenue is included in our Market Data Licensing business line.

### *Corporate Services*

We operate the OTCQX Best Market, the OTCQB Venture Market, and offer a suite of services to companies trading on all of our markets. These services include the OTC Disclosure & News Service for posting financial reports, disclosure documents and news releases; Real-Time Level 2 Quote Display, a service that companies sponsor to provide their investors with access to free real-time level 2 quotes on [www.otcmarkets.com](http://www.otcmarkets.com) and the company's website; and the Blue Sky Monitoring Service for analysis, review, and guidance about a company's compliance with each U.S. state's securities laws.

Companies that choose to have their securities designated as OTCQX securities do so annually, on a calendar year basis, while companies on the OTCQB market renew their services annually or semi-annually on the anniversary of the date on which they joined the market. All companies traded on the OTCQX or OTCQB markets pay a one-time application fee and annual or semi-annual fees. These fees are fixed and do not vary based on outstanding shares, market capitalization, market segment or otherwise. Companies on both markets also receive the OTC Disclosure & News Service, Real-Time Level 2 Quote Display and the Blue Sky Monitoring Service.

Pink companies may subscribe separately to the OTC Disclosure & News Service, Real-Time Level 2 Quote Display, and the Blue Sky Monitoring Service. Companies can choose to subscribe to these services and pay fees on an annual or semi-annual basis.

Each of these services may be accessed through our [www.otciq.com](http://www.otciq.com) secure web portal.

### **Financial Highlights**

For the year ended December 31, 2019, OTC Markets Group reported gross revenues and income from operations of \$62.8 million and \$17.9 million, respectively. This compares to gross revenues and income from operations of \$59.3 million and \$19.6 million, respectively, for the year ended December 31, 2018.

Gross revenues increased \$3.6 million, or 6%, driven by 8% growth in our Corporate Services business line, 5% growth in revenues from our Market Data Licensing business and a 4% increase in revenues from our OTC Link business.

Income from operations decreased \$1.8 million, or 9%, and operating profit margin contracted to 29.6% from 34.6%.

## Financial Results

### Consolidated Results From Operations

#### Year Ended December 31, 2019 Versus Year Ended December 31, 2018

The table below presents comparative information from the Company's consolidated income statements for the years ended December 31, 2019 and 2018.

| (in thousands, except shares and per share data) | Year Ended December 31, |            | % change |
|--------------------------------------------------|-------------------------|------------|----------|
|                                                  | 2019                    | 2018       |          |
| Gross Revenues                                   | \$ 62,839               | \$ 59,278  | 6%       |
| Net revenues                                     | 60,350                  | 56,830     | 6%       |
| Revenues less transaction-based expenses         | 59,604                  | 56,455     | 6%       |
| Operating expenses                               | 41,722                  | 36,810     | 13%      |
| Income from operations                           | 17,882                  | 19,645     | (9%)     |
| Operating profit margin                          | 29.6%                   | 34.6%      |          |
| Income before provision for income taxes         | 17,985                  | 19,761     | (9%)     |
| Net income                                       | \$ 14,942               | \$ 16,237  | (8%)     |
| Diluted earnings per share                       | \$ 1.25                 | \$ 1.36    | (8%)     |
| Weighted-average shares outstanding, diluted     | 11,702,863              | 11,622,770 | 1%       |

### Revenues

The following table presents OTC Markets Group's gross revenue by business line and consolidated revenues less transaction-based expenses for the years ended December 31, 2019 and 2018.

| (in thousands)                           | Year Ended December 31, |           | % change |
|------------------------------------------|-------------------------|-----------|----------|
|                                          | 2019                    | 2018      |          |
| OTC Link                                 | \$ 11,676               | \$ 11,175 | 4%       |
| Market data licensing                    | 24,447                  | 23,383    | 5%       |
| Corporate services                       | 26,716                  | 24,720    | 8%       |
| Gross revenues                           | 62,839                  | 59,278    | 6%       |
| Redistribution fees and rebates          | (2,489)                 | (2,448)   | 2%       |
| Net revenues                             | 60,350                  | 56,830    | 6%       |
| Transaction-based expenses               | (746)                   | (375)     | 99%      |
| Revenues less transaction-based expenses | \$ 59,604               | \$ 56,455 | 6%       |

Gross revenues increased \$3.6 million, or 6%, to \$62.8 million during 2019, compared to the same prior year period.

- OTC Link revenues increased \$501 thousand, or 4%, to \$11.7 million, primarily driven by growth in revenues from our OTC Link ECN, which increased \$619 thousand, or 71%, and growth in revenues from quotes on our OTC Link ATS, which increased \$159 thousand, or 7%. Partially offsetting the increase was a \$127 thousand, or 4%, decrease in revenue from messages and an \$86 thousand, or 16%, decrease in QAP One Statement fees.
- Market Data Licensing revenues increased \$1.1 million, or 5%, to \$24.4 million during 2019. The increase in revenues was largely a result of a \$590 thousand, or 20%, increase in revenues from data license products, driven by strong sales of our

compliance analytics and other compliance data products. Revenue from user license subscriptions, which includes professional and non-professional user licenses, increased \$382 thousand, or 3%, primarily the result of a 4% increase in revenue from professional user licenses. The increase was further impacted by a \$130 thousand, or 6%, increase in broker-dealer license revenue.

- Corporate Services revenues increased \$2.0 million, or 8%, to \$26.7 million during 2019. Revenues from our OTCQX market increased \$1.1 million, or 14%, to \$9.4 million, in line with the higher number of companies on the market. That increase was primarily a result of an improved renewal rate for the 2019 subscription period and continuing strong sales during 2019. OTCQB revenues increased \$657 thousand, or 6%. The revenue impact of the year over year decrease in the number of companies on the market, primarily a result of weaker sales, was offset by an increase in the number of companies electing semi-annual payment plans, which are charged at a premium, and by the full year impact of price increases for renewing subscribers. Our Virtual Investor Conferences business, acquired in January 2019, contributed \$293 thousand in revenue in the current year.
- For the year ended December 31, 2019, transaction-based expenses for OTC Link ECN increased by \$371 thousand, or 99%, representing an increase in payments made to subscribers posting liquidity on the OTC Link ECN and broadly consistent with growth in transactional volume on the OTC Link ECN.

### **Operating Expenses**

The following table presents OTC Markets Group's consolidated operating expenses for 2019 and 2018.

| (in thousands)                             | Year Ended December 31, |                  | % change |
|--------------------------------------------|-------------------------|------------------|----------|
|                                            | 2019                    | 2018             |          |
| Compensation and benefits                  | \$ 26,994               | \$ 23,820        | 13%      |
| IT Infrastructure and information services | 6,383                   | 5,554            | 15%      |
| Professional and consulting fees           | 1,982                   | 2,110            | (6%)     |
| Marketing and advertising                  | 1,117                   | 1,148            | (3%)     |
| Occupancy costs                            | 2,548                   | 2,107            | 21%      |
| Depreciation and amortization              | 1,492                   | 1,042            | 43%      |
| General, administrative and other          | 1,206                   | 1,029            | 17%      |
| Total operating expenses                   | <u>\$ 41,722</u>        | <u>\$ 36,810</u> | 13%      |

Operating expenses increased \$4.9 million, or 13%, to \$41.7 million during 2019, compared to the same prior year period.

- Compensation and benefits costs increased \$3.2 million, or 13%, to \$27.0 million, primarily due to a \$2.2 million, or 12% increase in base salaries and cash bonus awards and a \$441 thousand, or 21% increase in share-based compensation expense, both driven by higher headcount and the impact of annual merit increases. The increase was further impacted by a 29% increase in the year over year cost of providing healthcare coverage. As a percentage of gross revenues, compensation and benefits costs increased from 40% for the year ended December 31, 2018 to 43% for the year ended December 31, 2019.
- IT Infrastructure and information services costs increased \$829 thousand, or 15%, to \$6.4 million, primarily due to a \$462 thousand, or 38%, increase in hosting, support and

development costs incurred largely in connection with our Virtual Investor Conferences business and our OTC Link ECN, as well as increased spend related to system security enhancements. The increase was further impacted by a \$289 thousand, or 30%, increase in data center costs, with approximately \$172 thousand in one-time costs, incurred in relation to our upgrade of the infrastructure at our primary and secondary data centers. Certain product development initiatives related to our Market Data Licensing business drove a \$112 thousand, or 6%, increase in information services costs.

- Professional and consulting fees decreased \$128 thousand, or 6%, to \$2.0 million, primarily due to \$51 thousand, or 14%, decrease in spend on legal advice and a \$37 thousand, or 47%, decrease in spend on recruitment fees.
- Occupancy costs increased \$441 thousand, or 21%, to \$2.5 million during 2019, a result of higher base rent and ancillary occupancy costs related to our new corporate headquarters at 300 Vesey Street.
- General, administrative and other costs increased \$177 thousand, or 17%, to \$1.2 million during 2019, primarily related to one-time project management costs incurred in connection with the move to our new corporate headquarters, as well as higher maintenance costs at the new space.
- Depreciation and amortization expense increased \$450 thousand, or 43%, to \$1.5 million during 2019, primarily related to depreciation expense booked in connection with the significant capital investments made at our new space, capitalized costs incurred in respect of our website re-platform and depreciation of software assets acquired pursuant to our acquisition of Qaravan.

### ***Income from Operations***

| (in thousands)          | Year Ended December 31, |           | % change |
|-------------------------|-------------------------|-----------|----------|
|                         | 2019                    | 2018      |          |
| Income from operations  | \$ 17,882               | \$ 19,645 | (9%)     |
| Operating profit margin | 29.6%                   | 34.6%     | (14%)    |

Income from operations decreased \$1.8 million, or 9%, to \$17.9 million during 2019, and operating profit margin contracted to 29.6%, reflecting the increase in our operating expense which outpaced growth in revenue. Operating expenses in 2019 included \$695 thousand of non-recurring costs incurred in connection with our office move and data center refresh. While operating expenses in 2018 also included \$331 thousand in non-recurring costs related to overlapping rent obligations at our legacy space and at our new corporate headquarters.

### ***Net Income***

| (in thousands, except shares and per share data) | Year Ended December 31, |           | % change |
|--------------------------------------------------|-------------------------|-----------|----------|
|                                                  | 2019                    | 2018      |          |
| Income before provision for income taxes         | \$ 17,985               | \$ 19,761 | (9%)     |
| Provision for income taxes                       | 3,043                   | 3,524     | (14%)    |
| Effective income tax rate                        | 16.9%                   | 17.8%     | (5%)     |
| Net income                                       | \$ 14,942               | \$ 16,237 | (8%)     |

Net income decreased \$1.3 million, or 8%, to \$14.9 million during 2019, primarily due to the decrease in income from operations, partially offset by a decrease in the Company's effective

tax rate. The Company's effective tax rate for 2019 decreased to 16.9%, as compared to 17.8% for 2018, primarily as a result of an increase in excess tax benefits in respect of share-based compensation and an increase in the amount of the U.S. federal research and development credit claimed (see Note 13, *Income Taxes*).

### ***Liquidity and Capital Resources***

Our liquidity is primarily derived from our working capital and cash flows from operations. We require cash to support our current operating levels, fund strategic growth initiatives, develop new services and enhance existing services, make capital expenditures, fund dividends, and pay federal, state and local corporate taxes. We expect that our operations will provide sufficient cash to fund our strategic initiatives. We have no outstanding debt and, as described further below, \$1.5 million available under our Line of Credit.

### ***Cash Available for Operations***

The following table summarizes our cash available for operations, which consists of cash, as of December 31, 2019 and 2018.

| (in thousands)                | December 31, |           | % change |
|-------------------------------|--------------|-----------|----------|
|                               | 2019         | 2018      |          |
| Cash available for operations | \$ 28,217    | \$ 28,813 | (2%)     |

Cash available for operations decreased by \$596 thousand to \$28.2 million as of December 31, 2019. The Company generated \$21.4 million of cash from operations during the year ended December 31, 2019. During 2019, the Company used operating cash flows and cash on hand to fund \$4.9 million investments in leasehold improvements and IT infrastructure enhancements, \$664 thousand to fund our acquisition of Qaravan Inc., \$14.6 million to pay quarterly dividends and a special dividend, and \$1.4 million in respect of repurchases of our Class A Common Stock.

### ***Cash Flow***

The following table presents sources and uses of cash flows during 2019 and 2018.

|                                                     | Year Ended December 31, |           | % change |
|-----------------------------------------------------|-------------------------|-----------|----------|
|                                                     | 2019                    | 2018      |          |
| Net Cash provided by operating activities           | \$ 21,413               | \$ 22,590 | (5%)     |
| Net Cash used in investing activities               | (5,516)                 | (549)     | 905%     |
| Net Cash used in financing activities               | (16,653)                | (15,882)  | 5%       |
| Net Increase (decrease) in cash and restricted cash | \$ (756)                | \$ 6,159  | (112%)   |

### ***Net Cash Provided by Operating Activities***

Net cash provided by operating activities during 2019 was \$21.4 million, as compared to \$22.6 million during 2018. Net cash provided by operating activities for 2019 consisted of net income of 14.9 million, adjusted for non-cash items of \$3.7 million and changes in assets and liabilities of \$2.8 million. The decrease in cash provided by operating activities was primarily a result of the \$1.3 million decrease in income from operating activities as well as a \$1.2 million decrease in cash flows resulting from changes in assets and liabilities. This was partially offset by a \$1.2 million increase in non-cash items.

***Net Cash Used in Investing Activities***

Cash used in investing activities for the year ended December 31, 2019 was \$5.5 million, as compared to \$550 thousand for the year ended December 31, 2018. The cash used in investing activities for 2019 primarily consisted of \$2.9 million in spend related to leasehold improvements and IT infrastructure for our new corporate headquarters, \$664 thousand related to the acquisition of Qaravan Inc., and \$2.0 million in capital spend primarily related to infrastructure upgrades at our primary and secondary data centers.

***Net Cash Used in Financing Activities***

Net cash used in financing activities during 2019 was \$16.7 million, as compared to \$15.9 million during 2018. The cash used in both fiscal years was for dividends paid to holders of our Class A Common Stock, repurchases of our Class A Common Stock via our stock buyback program and federal and state withholding taxes paid related to cashless exercises of options by employees. Cash used for dividends increased \$365 thousand to \$14.6 million during 2019. Repurchases of our common stock amounted to \$1.4 million, an increase of \$300 thousand over 2018. Cash used in respect of withholding taxes related to cashless exercises amounted to \$788 thousand, an increase of \$94 thousand over 2018.

***Capital Resources and Working Capital***

OTC Markets Group's working capital at December 31, 2019 was \$9.6 million, a decrease of \$4.3 million, or 31%, from \$14.0 million at December 31, 2018. Working capital includes certain non-operating assets and liabilities, such as prepaid income taxes and income taxes payable. The decline in working capital during the year ended December 31, 2019 was primarily attributable to a \$3.2 million increase in accrued operating expenses primarily related to the recognition of \$1.9 million in current operating lease liabilities, a \$756 thousand decrease in our year end cash and restricted cash balance, a \$1.0 million decrease in prepaid expenses, partially offset by a decrease of \$372 thousand in accounts payable and a \$255 thousand decrease in deferred revenue.

***Line of Credit***

On July 7, 2012, the Company entered into a line of credit with JPMorgan Chase (the "Line of Credit") that made up to \$1.5 million available for business operations. The effective interest rate of the Line of Credit is benchmarked to the LIBOR. The Line of Credit has been extended through June 26, 2020. We have not drawn funds on the Line of Credit. Under the terms of the Line of Credit, we agreed to fulfill certain affirmative and negative covenants and other specified terms. At December 31, 2019, the Company was in compliance with all of the covenants and other terms of the Line of Credit.

***Operating Leases***

We have entered into operating lease agreements for our offices and recognize rent expense on a straight-line basis over the term of the lease (see *Nature and Extent of the Issuer's Facilities*).

***Off-Balance Sheet Arrangements***

None.

## Part E. Issuance History and Financial Information

### List of securities offerings and shares issued for services in the past two years

#### CLASS A COMMON STOCK AND OPTIONS ISSUED

The following tables set forth information concerning the equity securities issued during the fiscal years 2018 and 2019:

| Month of Issuance | Issuance Type    | Shares Issued | Price at Issuance | Issuance Class                      |
|-------------------|------------------|---------------|-------------------|-------------------------------------|
| <b>2018</b>       |                  |               |                   |                                     |
| January           | Restricted Stock | 95,076        | \$25.98           | Employee                            |
| January           | Option Grant     | 13,250        | \$26.15           | Employee                            |
| February          | Option Grant     | 13,000        | \$24.15           | Employee                            |
| April             | Option Grant     | 22,000        | \$27.56           | Employee                            |
| July              | Option Grant     | 4,500         | \$29.98           | Employee                            |
| August            | Restricted Stock | 5,032         | \$29.80           | Director                            |
| September         | Option Grant     | 6,000         | \$28.75           | Employee                            |
| October           | Option Grant     | 30,500        | \$30.00           | Employee                            |
| December          | Option Grant     | 30,000        | \$29.00           | Employee                            |
| <b>2019</b>       |                  |               |                   |                                     |
| January           | Restricted Stock | 100,772       | \$29.75           | Employee                            |
| January           | Option Grant     | 60,300        | \$29.95           | Employee                            |
| February          | Option Grant     | 9,000         | \$37.30           | Employee                            |
| February          | Restricted Stock | 8,213         | \$33.06           | Transaction Proceeds <sup>(e)</sup> |
| May               | Option Grant     | 22,300        | \$30.50           | Employee                            |
| June              | Option Grant     | 11,000        | \$31.90           | Employee                            |
| July              | Option Grant     | 20,500        | \$34.00           | Employee                            |
| August            | Restricted Stock | 4,024         | \$37.25           | Director                            |
| August            | Option Grant     | 7,000         | \$34.25           | Employee                            |
| September         | Option Grant     | 21,000        | \$35.55           | Employee                            |

#### Notes:

- All awards are of Class A Common Stock.
- All option grants issued pursuant to the Company's 2009 or 2019 Equity Incentive Plan, as applicable. Grants vest 20% each year the employee remains employed with OTC Markets Group.
- Shares issued pursuant to a restricted stock award contain a legend stating that the shares have not been registered under the Securities Act or any state securities laws and setting forth or referring to the restrictions on transferability and sale of the shares under the Securities Act.
- Shares issued to Directors were part of each Director's annual compensation.
- On February 5, 2019, in connection with the Company's acquisition of Qaravan, and as partial consideration for same, the Company issued 8,213 shares of Class A common stock to the seller, Anthony S. Hodson. The shares were issued in a private placement pursuant to Rule 506(b) of the Securities Act. The shares are "restricted securities" within the meaning of Rule 144 and were issued with a restrictive legend indicating that they have not been registered under the Securities Act or any state securities laws.

**Financial information for the issuer's most recent fiscal period and for such part of the two preceding fiscal years as the issuer or its predecessor has been in existence**

Copies of the audited Consolidated Financial Statements of OTC Markets Group as of December 31, 2019 and 2018 and for the years ended December 31, 2019, 2018 and 2017, including the Consolidated Balance Sheets, Consolidated Statements of Income, Consolidated Statements of Stockholders' Equity, Consolidated Statements of Cash Flows, and Notes to the Consolidated Financial Statements, are attached hereto as Exhibit 1.1. The attached Consolidated Financial Statements and the notes thereto are hereby incorporated by reference into this Annual Report.

**Part F. Exhibits**

**1 Consolidated Financial Statements**

- 1.1 Financial information for the years ended December 31, 2019, December 31, 2018 and December 31, 2017

**2 Issuer's Certifications**

- 2.1 Certification of principal executive officer
- 2.2 Certification of principal financial officer

**3 Material Contracts**

- 3.3 Lease Agreement by and between OTC Markets Group Inc. and NW 100 M Street LLC for space at NW 100 M Street, Washington, D.C. (incorporated by reference to Exhibit 3.5 to the 2010 Annual Report filed on March 31, 2011)
- 3.4 Employment Agreement dated as of May 1, 2011, and amended as of May 5, 2014 and May 5, 2015, May 2, 2017, and August 6, 2019 by and between OTC Markets Group Inc. and R. Cromwell Coulson (Chief Executive Officer);
- 3.5 "Key Man" Life Insurance Policy for R. Cromwell Coulson (incorporated herein by reference to Exhibit 3.5 to the Initial Disclosure Statement filed on September 15, 2009)
- 3.9 Sublease Agreement for offices at 300 Vesey Street, New York, NY (incorporated herein by reference to Exhibit 3.9 to the Quarterly Report filed on November 11, 2018)
- 3.10 Form of Senior Management Employment and Change in Control Agreement, by and between OTC Markets Group Inc. and each of Matthew Fuchs, Kristie Harkins, Lisabeth Heese, Michael Modeski, Beatrice Ordonez, Bruce Ostrover, Jason Paltrowitz and Dan Zinn (incorporated herein by reference to Exhibit 3.10 to the Annual Report filed on March 6, 2019)

**4 Customer Contracts**

*The following documents may be found on our website at [www.otcmarkets.com](http://www.otcmarkets.com):*

- 4.1 OTC Link Broker-Dealer Subscriber Agreement
- 4.2 OTC Link ECN Subscription Agreement
- 4.3 Market Data Distribution Agreement



- 4.4 Market Data Subscription Agreement
- 4.5 OTCQX Application for U.S. Companies
- 4.6 OTCQX Company Agreement
- 4.7 OTCQX Application for U.S. Banks
- 4.8 OTCQX Application for International Companies
- 4.9 OTCQB Application and Agreement
- 4.10 OTCIQ Order Form
- 4.11 OTCIQ Agreement
- 4.12 Application to Serve as an OTCQX Sponsor
- 4.13 Agreement to Serve as an OTCQX Sponsor

## **5 Certificate of Incorporation and By-laws**

- 5.1 Certificate of Incorporation (incorporated herein by reference to Exhibit 5.1 to the Initial Disclosure Statement filed on September 15, 2009)
- 5.2 By-laws (incorporated herein by reference to Exhibit 5.1 to the Initial Disclosure Statement filed on September 15, 2009)

## **6 Equity Incentive Plans**

- 6.1 2019 Equity Incentive Plan, adopted by the Board of Directors on May 7, 2019 and approved by shareholder vote on December 19, 2019

## **INDEPENDENT AUDITORS' REPORT**

To the Board of Directors and Stockholders of OTC Markets Group Inc.

We have audited the accompanying consolidated balance sheets of OTC Markets Group Inc. and its subsidiary (the "Company") as of December 31, 2019 and 2018, the related consolidated statements of income, changes in stockholders' equity, and cash flows, for each of the three years in the period ended, and the related notes (collectively referred to as the "consolidated financial statements").

### **Management's Responsibility for the Consolidated Financial Statements**

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

### **Auditors' Responsibility**

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Company's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

### **Change in Accounting Principle**

As discussed in Note 2 to the financial statements, effective January 1, 2019, the Company adopted Financial Accounting Standards Board (FASB) Accounting Standards Update ("ASC") Topic 842, *Leases*, using the modified retrospective approach.

### **Opinion**

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of the Company as of December 31, 2019 and 2018, and the results of their operations and their cash flows for the three years in the period then ended in accordance with accounting principles generally accepted in the United States of America.



March 4, 2020

**EXHIBIT 1.1**

**OTC MARKETS GROUP INC.**  
**CONSOLIDATED BALANCE SHEETS**  
(in thousands, except share information)

|                                                                                              | December 31,     |                  |
|----------------------------------------------------------------------------------------------|------------------|------------------|
|                                                                                              | 2019             | 2018             |
| <b>Assets</b>                                                                                |                  |                  |
| Current assets                                                                               |                  |                  |
| Cash and cash equivalents                                                                    | \$ 28,217        | \$ 28,813        |
| Short-term restricted cash                                                                   | -                | 160              |
| Accounts receivable, net of allowance for doubtful accounts of \$168 and \$169               | 5,157            | 4,942            |
| Prepaid income taxes                                                                         | 318              | 478              |
| Prepaid expenses and other current assets                                                    | 1,338            | 2,360            |
| <b>Total current assets</b>                                                                  | 35,030           | 36,753           |
| Property and equipment, net                                                                  | 6,418            | 1,980            |
| Operating lease right-of-use assets                                                          | 16,018           | -                |
| Deferred tax assets, net                                                                     | 771              | 1,043            |
| Goodwill                                                                                     | 251              | 251              |
| Intangible assets, net                                                                       | 40               | 61               |
| Long-term restricted cash                                                                    | 1,561            | 1,561            |
| Other assets                                                                                 | 266              | -                |
| <b>Total Assets</b>                                                                          | <b>\$ 60,355</b> | <b>\$ 41,649</b> |
| <b>Liabilities and stockholders' equity</b>                                                  |                  |                  |
| Current liabilities                                                                          |                  |                  |
| Accounts payable                                                                             | \$ 321           | \$ 693           |
| Income taxes payable                                                                         | 99               | -                |
| Accrued expenses and other current liabilities                                               | 9,154            | 6,018            |
| Deferred revenue                                                                             | 15,815           | 16,070           |
| <b>Total current liabilities</b>                                                             | 25,389           | 22,781           |
| Deferred rent                                                                                | -                | 1,001            |
| Income tax reserve                                                                           | 1,764            | 1,458            |
| Operating lease liabilities                                                                  | 15,529           | -                |
| <b>Total Liabilities</b>                                                                     | 42,682           | 25,240           |
| <b>Commitments and contingencies</b>                                                         |                  |                  |
| <b>Stockholders' equity</b>                                                                  |                  |                  |
| Common stock - par value \$0.01 per share                                                    |                  |                  |
| Class A - 14,000,000 authorized, 12,189,022 issued, 11,655,326 outstanding at                |                  |                  |
| December 31, 2019; 12,035,941 issued, 11,548,956 outstanding at December 31, 2018            | 122              | 120              |
| Additional paid-in capital                                                                   | 18,042           | 15,772           |
| Retained earnings                                                                            | 8,106            | 7,724            |
| Treasury stock - 533,696 shares at December 31, 2019 and 486,985 shares at December 31, 2018 | (8,597)          | (7,207)          |
| <b>Total Stockholders' Equity</b>                                                            | 17,673           | 16,409           |
| <b>Total Liabilities and Stockholders' Equity</b>                                            | <b>\$ 60,355</b> | <b>\$ 41,649</b> |

See accompanying notes to consolidated financial statements

**OTC MARKETS GROUP INC.**  
**CONSOLIDATED STATEMENTS OF INCOME**  
(in thousands, except earnings per share)

|                                                 | Year Ended December 31, |           |           |
|-------------------------------------------------|-------------------------|-----------|-----------|
|                                                 | 2019                    | 2018      | 2017      |
| <b>Gross Revenues</b>                           | \$ 62,839               | \$ 59,278 | \$ 54,656 |
| Redistribution fees and rebates                 | (2,489)                 | (2,448)   | (2,480)   |
| <b>Net revenues</b>                             | 60,350                  | 56,830    | 52,176    |
| Transaction-based expenses                      | (746)                   | (375)     | -         |
| <b>Revenues less transaction-based expenses</b> | 59,604                  | 56,455    | 52,176    |
| <b>Operating expenses</b>                       |                         |           |           |
| Compensation and benefits                       | 26,994                  | 23,820    | 21,481    |
| IT Infrastructure and information services      | 6,383                   | 5,554     | 5,895     |
| Professional and consulting fees                | 1,982                   | 2,110     | 1,732     |
| Marketing and advertising                       | 1,117                   | 1,148     | 902       |
| Occupancy costs                                 | 2,548                   | 2,107     | 1,776     |
| Depreciation and amortization                   | 1,492                   | 1,042     | 1,361     |
| General, administrative and other               | 1,206                   | 1,029     | 725       |
| <b>Total operating expenses</b>                 | 41,722                  | 36,810    | 33,872    |
| <b>Income from operations</b>                   | 17,882                  | 19,645    | 18,304    |
| <b>Other income (expense)</b>                   |                         |           |           |
| Interest income                                 | 109                     | 76        | 21        |
| Other (expense) income                          | (6)                     | 40        | 26        |
| <b>Income before provision for income taxes</b> | 17,985                  | 19,761    | 18,351    |
| Provision for income taxes                      | 3,043                   | 3,524     | 5,792     |
| <b>Net Income</b>                               | \$ 14,942               | \$ 16,237 | \$ 12,559 |
| <b>Earnings per share</b>                       |                         |           |           |
| Basic                                           | \$ 1.28                 | \$ 1.41   | \$ 1.10   |
| Diluted                                         | \$ 1.25                 | \$ 1.36   | \$ 1.06   |

See accompanying notes to consolidated financial statements

**OTC MARKETS GROUP INC.**  
**CONSOLIDATED STATEMENTS OF CHANGES IN STOCKHOLDERS' EQUITY**  
(in thousands)

|                                                         |                  | Par Value - \$0.01 |             | Additional         | Retained        | Treasury          |
|---------------------------------------------------------|------------------|--------------------|-------------|--------------------|-----------------|-------------------|
|                                                         | Total            | Class A            | Class C     | paid-in<br>capital | Earnings        | Stock             |
| <b>Balance, January 1, 2017</b>                         | <u>\$ 15,506</u> | <u>\$ 116</u>      | <u>\$ 1</u> | <u>\$ 12,988</u>   | <u>\$ 6,385</u> | <u>\$ (3,984)</u> |
| <b>Comprehensive income:</b>                            |                  |                    |             |                    |                 |                   |
| Net income                                              | 12,559           | -                  | -           | -                  | 12,559          | -                 |
| <b>Total comprehensive income</b>                       | 12,559           |                    |             |                    |                 |                   |
| Stock-based compensation                                | 1,913            | -                  | -           | 1,913              | -               | -                 |
| Issuance of restricted and common shares, net           | (749)            | 2                  | -           | (751)              | -               | -                 |
| Conversion of Class C shares to Class A shares          | -                | 1                  | (1)         | -                  | -               | -                 |
| Dividends                                               | (13,262)         | -                  | -           | -                  | (13,262)        | -                 |
| Repurchase of common stock for treasury stock           | (2,176)          | -                  | -           | -                  | -               | (2,176)           |
| <b>Balance, December 31, 2017</b>                       | <u>13,791</u>    | <u>119</u>         | <u>-</u>    | <u>14,150</u>      | <u>5,682</u>    | <u>(6,160)</u>    |
| <b>Comprehensive income:</b>                            |                  |                    |             |                    |                 |                   |
| Net income                                              | 16,237           | -                  | -           | -                  | 16,237          | -                 |
| <b>Total comprehensive income</b>                       | 16,237           |                    |             |                    |                 |                   |
| Stock-based compensation                                | 2,263            | -                  | -           | 2,263              | -               | -                 |
| Issuance of restricted and common shares, net           | (640)            | 1                  | -           | (641)              | -               | -                 |
| Dividends                                               | (14,195)         | -                  | -           | -                  | (14,195)        | -                 |
| Repurchase of common stock for treasury stock           | (1,047)          | -                  | -           | -                  | -               | (1,047)           |
| <b>Balance, December 31, 2018</b>                       | <u>16,409</u>    | <u>120</u>         | <u>-</u>    | <u>15,772</u>      | <u>7,724</u>    | <u>(7,207)</u>    |
| <b>Comprehensive income:</b>                            |                  |                    |             |                    |                 |                   |
| Net income                                              | 14,942           | -                  | -           | -                  | 14,942          | -                 |
| <b>Total comprehensive income</b>                       | 14,942           |                    |             |                    |                 |                   |
| Stock-based compensation                                | 2,703            | -                  | -           | 2,703              | -               | -                 |
| Issuance of restricted and common shares, net           | (703)            | 2                  | -           | (705)              | -               | -                 |
| Issuance of common stock for the acquisition of Qaravan | 272              |                    |             | 272                |                 |                   |
| Dividends                                               | (14,560)         | -                  | -           | -                  | (14,560)        | -                 |
| Repurchase of common stock for treasury stock           | (1,390)          | -                  | -           | -                  | -               | (1,390)           |
| <b>Balance, December 31, 2019</b>                       | <u>\$ 17,673</u> | <u>\$ 122</u>      | <u>\$ -</u> | <u>\$ 18,042</u>   | <u>\$ 8,106</u> | <u>\$ (8,597)</u> |

See accompanying notes to consolidated financial statements

**OTC MARKETS GROUP INC.**  
**CONSOLIDATED STATEMENTS OF CASH FLOWS**  
(in thousands)

|                                                                                  | Year Ended December 31, |                  |                  |
|----------------------------------------------------------------------------------|-------------------------|------------------|------------------|
|                                                                                  | 2019                    | 2018             | 2017             |
| <b>Cash flows from operating activities</b>                                      |                         |                  |                  |
| Net income                                                                       | \$ 14,942               | \$ 16,237        | \$ 12,559        |
| Adjustments to reconcile net income to net cash provided by operating activities |                         |                  |                  |
| Depreciation and amortization                                                    | 1,492                   | 1,042            | 1,361            |
| Provision for bad debts                                                          | 108                     | 126              | 38               |
| Stock-based compensation                                                         | 2,703                   | 2,263            | 1,913            |
| Excess tax benefits related to stock-based compensation                          | (744)                   | (668)            | (1,089)          |
| Deferred income taxes                                                            | 129                     | (247)            | 90               |
| Loss on disposal of fixed assets                                                 | 15                      | 11               | 7                |
| Changes in assets and liabilities:                                               |                         |                  |                  |
| Accounts receivable                                                              | (323)                   | 1,382            | (226)            |
| Prepaid expenses and other current assets                                        | 1,022                   | (1,057)          | (57)             |
| Prepaid income taxes                                                             | 160                     | 535              | (578)            |
| Accounts payable                                                                 | (372)                   | (83)             | 268              |
| Accrued expenses and other current liabilities                                   | 1,204                   | 814              | 175              |
| Income tax payable                                                               | 843                     | 668              | 986              |
| Income tax reserve                                                               | 306                     | 353              | 191              |
| Deferred revenue                                                                 | (255)                   | 539              | 867              |
| Net change in other assets and liabilities                                       | 183                     | 675              | (22)             |
| <b>Net Cash provided by operating activities</b>                                 | <b>21,413</b>           | <b>22,590</b>    | <b>16,483</b>    |
| <b>Cash flows from investing activities</b>                                      |                         |                  |                  |
| Purchases of property and equipment                                              | (4,852)                 | (549)            | (1,065)          |
| Purchase of intangible assets                                                    | -                       | -                | (100)            |
| Acquisition of Qaravan assets                                                    | (664)                   | -                | -                |
| <b>Net Cash used in investing activities</b>                                     | <b>(5,516)</b>          | <b>(549)</b>     | <b>(1,165)</b>   |
| <b>Cash flows from financing activities</b>                                      |                         |                  |                  |
| Dividends paid                                                                   | (14,560)                | (14,195)         | (13,262)         |
| Proceeds from the exercise of stock options                                      | 85                      | 54               | 98               |
| Withholding taxes paid related to cashless exercise of stock options             | (788)                   | (694)            | (847)            |
| Purchase of treasury stock                                                       | (1,390)                 | (1,047)          | (2,176)          |
| <b>Net Cash used in financing activities</b>                                     | <b>(16,653)</b>         | <b>(15,882)</b>  | <b>(16,187)</b>  |
| Net (decrease) increase in cash, cash equivalents and restricted cash            | (756)                   | 6,159            | (869)            |
| Cash, cash equivalents and restricted cash at beginning of year                  | 30,534                  | 24,375           | 25,244           |
| Cash, cash equivalents and restricted cash at end of year                        | <u>\$ 29,778</u>        | <u>\$ 30,534</u> | <u>\$ 24,375</u> |
| <b>Reconciliation of cash and restricted cash:</b>                               |                         |                  |                  |
| Cash and cash equivalents                                                        | \$ 28,217               | \$ 28,813        | \$ 23,683        |
| Short-term restricted cash                                                       | -                       | 160              | -                |
| Long-term restricted cash                                                        | 1,561                   | 1,561            | 692              |
| Total cash, cash equivalents and restricted cash                                 | <u>\$ 29,778</u>        | <u>\$ 30,534</u> | <u>\$ 24,375</u> |
| <b>Supplemental Disclosure of Cash Flow Information:</b>                         |                         |                  |                  |
| Income taxes, net of refunds                                                     | \$ 2,344                | \$ 2,883         | \$ 6,192         |
| Non-cash investing and financing activities:                                     |                         |                  |                  |
| Property and equipment included in accounts payable and accrued expenses         | 427                     | 434              | 17               |
| Common stock issued for the acquisition of Qaravan                               | 272                     | -                | -                |

See accompanying notes to consolidated financial statements

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements**  
(in thousands, except per share information)

**Note 1. Description of Business**

*Overview*

OTC Markets Group Inc. (“OTC Markets Group” or the “Company”) (OTCQX: OTCM) operates the OTCQX® Best Market; the OTCQB® Venture Market; and the Pink® Open Market for approximately 10,000 U.S. and global securities. Through OTC Link® ATS and OTC Link ECN, each a Securities and Exchange Commission (“SEC”) registered Alternative Trading System (“ATS”) operated by the Company’s wholly-owned subsidiary OTC Link LLC, a Financial Industry Regulatory Authority, Inc. (“FINRA”) and SEC registered broker-dealer, the Company enables investors to easily trade through the broker of their choice and empowers companies to improve the quality and availability of information for their investors.

The Company has three business lines: OTC Link, Market Data Licensing and Corporate Services.

- OTC Link – OTC Link LLC operates two ATSS, OTC Link ATS and OTC Link ECN, which provide trading services to FINRA member broker-dealer subscribers.
- Market Data Licensing – OTC Markets Group provides real-time data, delayed and historical market data, company financial data, security master data, corporate reference data and compliance data for securities traded on the OTCQX, OTCQB and Pink markets. The Market Data Licensing business line provides investors, traders, institutions and regulators with a suite of enterprise and user market data licenses, offered via direct or extranet connectivity, through third party market data redistributors or Order Management Systems (“OMS”).
- Corporate Services – OTC Markets Group operates the OTCQX Best Market and the OTCQB Venture Market and offers companies access to a suite of services that are designed to create a better informational experience for investors by facilitating public disclosure and communication with investors, promoting greater transparency and allowing companies to demonstrate regulatory compliance and mitigate market risk. These services include the OTC Disclosure & News Service, Real-Time Level 2 Quote Display and Blue Sky Monitoring Service.

Corporate Form

OTC Markets Group Inc. is a Delaware corporation. The Company is a “C” Corporation for federal, state, and local income tax purposes.

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
(in thousands, except per share information)

**Note 2. Summary of Significant Accounting Policies**

*Basis of Presentation*

The accompanying consolidated financial statements are prepared in accordance with generally accepted accounting principles in the United States of America ("U.S. GAAP") and include the accounts of the Company and its wholly owned subsidiary, OTC Link LLC. All intercompany transactions have been eliminated in consolidation. Management assessed the segment reporting standards, analyzed how the chief operating decision maker (the Chief Executive Officer) manages the businesses and the availability of discrete financial information, and concluded that the Company's three business lines aggregate to one reportable segment.

*Use of Estimates*

The preparation of these consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities as of the date of the consolidated financial statements, and the reported amounts of revenue and expenses during the reporting periods. Estimates included in the consolidated financial statements include allowance for doubtful accounts, certain accrued expenses, stock-based compensation expense, the incremental borrowing rate used to calculate the present value of the operating lease liabilities, income tax reserve and provision for income taxes. Actual results could differ from those estimates.

*Revenue Recognition*

We recognize revenues when we transfer control of promised goods or services to our customers in an amount that reflects the consideration to which we expect to be entitled to in exchange for those goods or services (see Note 3, *Revenue Recognition*).

*Cash and Cash Equivalents*

The Company considers all highly liquid investments with original maturities of three months or less when purchased to be cash equivalents, the carrying amount of which approximates fair value. The Company maintains cash in bank deposit accounts which, at times, may exceed federally insured limits.

*Short-Term and Long-Term Restricted Cash*

The Company considers all cash deposits that are held for a specific purpose and therefore not available for general business use as restricted cash. Restricted cash is comprised of cash set aside as security deposits on the Company's office leases and cash held at clearing organizations as collateral against obligations of the Company arising from clearing agreements in place to support the Company's OTC Link business.

*Allowance for Doubtful Accounts*

The allowance for doubtful accounts is maintained at a level that management believes to be sufficient to absorb probable losses among all subscribers across all business lines. The allowance is based on several factors, including a continuous assessment of the collectability of subscriber accounts. When it is known that a specific customer will not meet its financial obligations, management will reduce the receivable balance to the amount that is expected to be collected.

*Property and Equipment, net*

Property and equipment are stated at cost and depreciated over the estimated useful lives of the assets (generally ranging from two to eleven years) utilizing the straight-line method.



**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
(in thousands, except per share information)

Leasehold improvements are amortized using the straight-line method over the term of the lease or the estimated useful lives of the assets, whichever is shorter. Computer software is included in property and equipment and consist of purchased software and capitalized website development costs. Capitalized website development costs consist primarily of external direct costs in developing the Company's website.

Expenditures for maintenance, repairs, and renewals are expensed as incurred, unless they add to the value of the property or appreciably extend its useful life. Gains or losses are recorded from a sale or retirement of property and equipment at the time of disposal.

*Long-lived Asset Impairments*

The Company reviews long-lived assets, including property, plant and equipment and amortizable intangible assets, for impairment whenever events or changes in business circumstances indicate that the carrying amount of the asset may not be fully recoverable. An impairment loss is recognized when the estimated discounted future cash flows expected to be generated from the use of the asset, including disposition, is less than the carrying amount of the assets.

*Goodwill and Indefinite-Lived Intangible Asset Impairment*

The Company reviews the carrying amounts of both goodwill and indefinite-lived intangible assets for impairment annually and more frequently if events or changes in circumstances indicate that the carrying amount may be impaired. When testing for impairment, the Company first assesses qualitative factors, such as operating results, business plans, anticipated future cash flows, industry data, and other potential risks to the projected financial results, to determine whether it is more likely than not that the fair value of the asset is less than the carrying amount. The more-likely-than-not threshold is defined as having a likelihood of more than 50 percent. Quantitative testing, consisting of a determination of implied fair value of the goodwill, is only performed if the qualitative assessment concludes it is more likely than not that the fair value of the asset is less than its carrying amount. If the implied fair value of the goodwill is less than the carrying amount, an impairment is recorded in the amount of the difference.

For indefinite-lived intangible assets an impairment is recorded for any excess of carrying amount over the estimated fair value.

There are inherent uncertainties related to these impairment tests which require management's judgment in applying them including the evaluation of qualitative factors and estimates of future business results.

*Leases*

The Company determines if an arrangement is a lease at inception, and records operating lease right-of-use ("ROU") assets and liabilities on the commencement date based on the present value of future lease payments over the lease term. The Company has operating leases in respect of its office space. ROU assets include an adjustment for any prepaid rent and lease incentives. When the rate implicit in the operating lease is not readily determinable, the Company uses its incremental borrowing rate as the discount rate to determine its lease assets and the present value of its lease liabilities. The incremental borrowing rate approximates the rate the Company would pay to borrow on a collateralized basis for the weighted-average life of the lease. ROU assets and liabilities are included on our Consolidated Balance Sheet beginning

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
(in thousands, except per share information)

January 1, 2019. The current portion of our operating lease liabilities is included in accrued expenses and other current liabilities and the long-term portion is included in operating lease liabilities.

The Company's lease agreements generally contain lease and non-lease components. Payments under lease arrangements are primarily fixed. Non-lease components are primarily comprised of payments due for maintenance and utilities. The Company has elected to account for fixed lease payments and non-lease components as a single lease component that increases the amount of our operating lease assets and liabilities. Any changes in payments due to changes in inflation rates are recognized as variable lease expenses as they are incurred.

Operating lease expense is recognized on a straight-line basis over the lease term (see Note 10, *Leases*).

*Stock-based Compensation*

The Company measures share-based awards given to employees at the grant-day fair value of the equity award and records stock-based compensation expense over the related service period. OTC Markets Group estimates an expected forfeiture rate while recognizing the expense associated with these awards (see Note 8, *Stock-based Compensation*).

*Fair Value Measurement*

The Company accounts for certain financial instruments at fair value, in accordance with the provisions of the standard for fair value measurement, which utilizes a three-tier hierarchy to determine the fair value of financial assets and liabilities based on the quality of observable inputs and enhances disclosure requirements for fair value measurement. The three tiers are:

- Level 1 – Quoted prices (unadjusted) for identical assets or liabilities in an active market;
- Level 2 – Other inputs that are directly or indirectly observable in the market; and
- Level 3 – Unobservable inputs that are supported by little or no market activity.

The fair value of a financial instrument is the amount that would be received to sell the asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date and in the principal or most advantageous market for that asset or liability.

Assets and liabilities on the Consolidated Balance Sheets that are measured at carrying value, which approximates fair value due to the short-term nature of these balances, include prepaid expenses, accrued expenses and other current liabilities and deferred revenue. These balances are classified as Level 1 and Level 2 in the fair value hierarchy.

*Income Taxes*

The Company accounts for income taxes under the provisions of Accounting Standards Codification ("ASC") Topic 740, *Income Taxes*, which generally requires the recognition of deferred tax assets and liabilities for the expected future tax benefits or consequences of events that have been included in the consolidated financial statements or tax returns. Under this method, deferred tax assets and liabilities are determined based on differences between the financial reporting carrying values and the tax basis of assets and liabilities and are measured by applying enacted tax rates and laws for the taxable years in which those differences are expected to reverse.

**OTC MARKETS GROUP INC.**

**Notes to Consolidated Financial Statements (continued)**

(in thousands, except per share information)

The Company recognizes the financial statement benefit of a tax position only after determining that the relevant tax authority would more likely than not sustain the position upon examination, including resolution of any related appeals or litigation processes, based on the technical merits of the position. For tax positions meeting the more-likely-than-not threshold, the amount recognized in the consolidated financial statements is the largest benefit that has a greater than 50 percent likelihood of being realized upon settlement with the relevant tax authority, and is net of a valuation allowance to the extent that the Company determines that it is more likely than not that some portion or all of the recorded deferred tax assets will not be realized in future periods.

***Recently Adopted Accounting Standards***

In August 2015, the Financial Accounting Standards Board (“FASB”) issued Accounting Standards Update (“ASU”) 2015-14, *Revenue from Contracts with Customers*, which defers the effective date of FASB ASU 2014-09, *Revenue from Contracts with Customers*, by one year for all entities and permits early adoption on a limited basis. ASU 2014-09 became effective for annual reporting periods beginning after December 15, 2017. On January 1, 2018, the Company adopted ASU 2014-09, using the modified retrospective method in respect of those contracts which were not completed as of January 1, 2018. Results for reporting periods beginning after the adoption date are presented under ASC Topic 606 (“Topic 606”), while prior periods amounts are appropriately not adjusted and continue to be reported in accordance with the revenue recognition standard that existed under ASC Topic 605. Since the Company generates a majority of its revenue through contracts based on a subscription model, recognizing revenue ratably over subscription periods that are one year or less, the adoption of ASU 2014-09 had no material impact on our consolidated financial statements.

In February 2016, the FASB issued ASU 2016-02, *Leases (Topic 842)*, which supersedes the existing guidance in respect of lease accounting (Topic 840). ASU 2016-02 requires lessees to recognize lease liabilities arising from operating leases and corresponding right-of-use assets and modifies accounting and disclosure requirements for both lessors and lessees. ASU 2016-02 requires a modified retrospective approach for all leases existing at, or entered into, after the date of initial application, with an option to elect to adopt certain practical expedients during the transition. ASU 2016-02 is effective for interim and annual periods beginning after December 15, 2018, with early adoption permitted. On January 1, 2019, the Company adopted the standard using the modified retrospective method and elected not to recast comparative prior year periods. We have also elected the package of practical expedients permitted under transition guidance that allows the Company to not reassess its existing lease classification, initial direct cost, and whether or not an existing contract contains a lease. Based on lease contracts in existence as of December 31, 2018, upon adoption of ASU 2016-02, the Company recognized approximately \$17.1 million in right-to-use assets and corresponding lease liabilities of approximately \$17.9 million on our Consolidated Balance Sheets as of January 1, 2019. The adoption had no material impact on our Consolidated Statements of Income or Consolidated Statements of Cash Flows (see Note 10, *Leases*).

***Recently Issued Accounting Standards Not Yet Adopted***

In August 2018, the FASB issued ASU 2018-13, *Fair Value Measurement (Topic 820): Disclosure Framework—Changes to the Disclosure Requirements for Fair Value Measurement*, which amends Topic 820 to modify, remove, and add certain fair value measurement disclosure requirements. ASU 2018-13 is effective for interim and annual periods beginning after December 15, 2019, with early adoption permitted. The Company is in the process of evaluating

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
(in thousands, except per share information)

the impact of adoption of this ASU but does not expect it to have a material impact on the consolidated financial statements.

In June 2016, the FASB issued ASU 2016-13, *Measurement of Credit Losses on Financial Instruments*, which amends previously issued guidance regarding the impairment of financial instruments by creating an impairment model that is based on expected losses rather than incurred losses. ASU 2016-13 is effective for annual periods beginning after December 15, 2019, with early adoption permitted. The Company is in the process of evaluating the impact of adoption of this ASU and plans to adopt on January 1, 2020 using the modified retrospective approach required by the standard. The Company does not expect adoption of the ASU will have a material impact on the consolidated financial statements.

In August 2018, the FASB issued ASU 2018-15, *Intangibles—Goodwill and Other—Internal-Use Software (Subtopic 350-40): Customer's Accounting for Implementation Costs Incurred in a Cloud Computing Arrangement That Is a Service Contract*, which clarifies the accounting for implementation costs in cloud computing arrangements. ASU 2018-15 requires a customer in a cloud computing arrangement that is a service contract to follow the internal-use software guidance under Subtopic 350-40 to determine which implementation costs to capitalize as assets. ASU 2018-15 is effective for interim and annual periods beginning after December 15, 2019, with early adoption permitted. The Company is in the process of evaluating the impact of adoption of this ASU but does not expect it to have a material impact on the consolidated financial statements.

### **Note 3. Revenue Recognition**

On January 1, 2018, the Company adopted Topic 606 using the modified retrospective method. The adoption of Topic 606 did not have a material impact on our consolidated financial statements and did not impact revenue and expense recognition for any of our three business lines, either at the time of adoption or in any prior reporting period. Substantially all of our revenues are derived from contracts with customers. Revenues are recognized when control of the promised goods or services is transferred to our customers in an amount that reflects the consideration we expect to be entitled to in exchange for those goods or services. In accordance with Topic 606, we evaluate our contracts with customers based on a five-step methodology. We: (1) Identify the contract with the customer; (2) Identify the performance obligations under the contract; (3) Determine the transaction price; (4) Allocate the transaction price to the separate performance obligations; and (5) Recognize revenue when each performance obligation is satisfied. Certain of our ancillary Market Data Licensing and Corporate Services offerings, including news release and advertising services, are usage-based and are delivered at a point in time. Accordingly, we recognize revenue upon delivery of the service in line with the contractual agreement. Neither represent a material source of revenues.

#### **OTC Link**

OTC Link LLC operates two ATSS, OTC Link ATS and OTC Link ECN. Broker-dealers pay monthly subscription fees that permit access to the trading system, including the OTC Dealer® application and related support and updates, if applicable, during the contract term. Fees for such access are based on the number of authorized users per subscriber and are calculated based on a tiered pricing arrangement. These fees are invoiced monthly and in advance of the monthly service period. The Company satisfies its performance obligations over the contract term and records revenue from these fees ratably over the month, with the unrealized portion recorded as deferred revenue on the Company's Balance Sheet. The Company pays rebates to

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
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certain resellers of OTC Link ATS services. These are invoiced monthly based on the fixed rate specified in the applicable contract and recorded as a reduction of gross revenues.

In addition to the aforementioned monthly access fees, broker-dealer subscribers to OTC Link ATS pay usage-based fees to publish quotes and deliver trade messages electronically to counterparties. Those fees are recognized at the point in time when the performance obligation, the publication of the quote or delivery of the message, is satisfied. OTC Link ECN generates revenues based on share volume executed on the ECN matching platform. Broker-dealer counterparties pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity. To the extent that OTC Link ECN routes orders to OTC Link ATS, OTC Link ECN may earn fees for those orders which provide liquidity, while paying a fee for those orders that remove liquidity. Fees earned are recognized as transaction-based revenues, while fees paid are recognized as transaction-based expenses. These fees are invoiced monthly, in arrears and are due upon receipt. The Company recognizes transactional based revenue earned upon the execution of a trade, when the Company's obligations are substantially met. Similarly, payments made to subscribers providing liquidity are recognized upon execution and are recorded as transaction-based expenses within the Consolidated Statements of Income.

*Market Data Licensing*

Market Data Licensing generates revenues by providing our subscribers with continuous access to the market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines. Subscribers pay monthly fees to access this information priced at per enterprise or per subscriber rates. Market data revenues are recognized ratably over the term of the contract period, beginning on the date on which the data is made available to the customer, as our continuing performance obligations are met.

The majority of Market Data Licensing revenues result from sales through redistributors, some of whom earn redistribution fees based on a contractual fixed rate. These fees are invoiced monthly based on the contractual period and are recognized as a reduction of gross revenues. The vast majority of our redistribution fees and rebates are related to these arrangements with market data redistributors.

*Corporate Services*

Corporate Services generates revenues from the OTCQX Best Market and OTCQB Venture Market and from a suite of other services. Issuers pay annual or semi-annual subscription fees upfront to have their securities traded on the OTCQX or OTCQB markets and to subscribe to our various other services. We recognize these revenues ratably over time based on the subscription period as the performance obligations are met and the transfer of services occurs. Issuers pay one-time non-refundable application fees. These fees are not related to distinct performance obligations and are recognized ratably over the contractual service period, which is one year or shorter.

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**Notes to Consolidated Financial Statements (continued)**  
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The following tables present our revenues disaggregated by timing of revenue recognition:

|                                          | Year Ended December 31, |                  |                  |                 |                  |                  |
|------------------------------------------|-------------------------|------------------|------------------|-----------------|------------------|------------------|
|                                          | 2019                    |                  |                  | 2018            |                  |                  |
|                                          | Point in Time           | Over Time        | Total            | Point in Time   | Over Time        | Total            |
| OTC Link                                 | \$ 7,674                | \$ 4,002         | \$ 11,676        | \$ 7,119        | \$ 4,056         | \$ 11,175        |
| Market data licensing                    | 207                     | 24,240           | 24,447           | 321             | 23,062           | 23,383           |
| Corporate services                       | 216                     | 26,500           | 26,716           | 235             | 24,485           | 24,720           |
| Gross revenues                           | 8,097                   | 54,742           | 62,839           | 7,675           | 51,603           | 59,278           |
| Redistribution fees and rebates          | (80)                    | (2,409)          | (2,489)          | (82)            | (2,366)          | (2,448)          |
| Net revenues                             | 8,017                   | 52,333           | 60,350           | 7,593           | 49,237           | 56,830           |
| Transaction-based expenses               | (746)                   | -                | (746)            | (375)           | -                | (375)            |
| Revenues less transaction-based expenses | <u>\$ 7,271</u>         | <u>\$ 52,333</u> | <u>\$ 59,604</u> | <u>\$ 7,218</u> | <u>\$ 49,237</u> | <u>\$ 56,455</u> |

The following tables present our revenues disaggregated by geography:

|                                          | Year Ended December 31, |                  |                  |                  |                  |                  |
|------------------------------------------|-------------------------|------------------|------------------|------------------|------------------|------------------|
|                                          | 2019                    |                  |                  | 2018             |                  |                  |
|                                          | U.S                     | International    | Total            | U.S              | International    | Total            |
| OTC Link                                 | \$ 11,676               | \$ -             | \$ 11,676        | \$ 11,175        | \$ -             | \$ 11,175        |
| Market data licensing                    | 20,281                  | 4,166            | 24,447           | 19,439           | 3,944            | 23,383           |
| Corporate services                       | 14,829                  | 11,887           | 26,716           | 14,274           | 10,446           | 24,720           |
| Gross revenues                           | 46,786                  | 16,053           | 62,839           | 44,888           | 14,390           | 59,278           |
| Redistribution fees and rebates          | (2,286)                 | (203)            | (2,489)          | (2,309)          | (139)            | (2,448)          |
| Net revenues                             | 44,500                  | 15,850           | 60,350           | 42,579           | 14,251           | 56,830           |
| Transaction-based expenses               | (746)                   | -                | (746)            | (375)            | -                | (375)            |
| Revenues less transaction-based expenses | <u>\$ 43,754</u>        | <u>\$ 15,850</u> | <u>\$ 59,604</u> | <u>\$ 42,204</u> | <u>\$ 14,251</u> | <u>\$ 56,455</u> |

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
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*Accounts Receivable, net*

As of December 31, 2019 and 2018, accounts receivable net of allowance for doubtful accounts, were \$5.2 million and \$4.9 million, respectively. The allowance for doubtful accounts reflects our best estimate of probable losses inherent in the accounts receivable balance. The Company determines the allowance based on historical experience, the age of the accounts receivable balances, specific account information and other currently available information that may affect our customers' ability to pay.

*Deferred Revenue*

Deferred revenue primarily represents our contractual performance obligations related to annual and semi-annual Corporate Services subscription fees, as well as monthly Market Data Licensing and OTC Link license subscription fees. The following table presents the changes in deferred revenue during the year ended December 31, 2019 and 2018:

|                                | Year Ended December 31, |           |
|--------------------------------|-------------------------|-----------|
|                                | 2019                    | 2018      |
| Balance at beginning of period | \$ 16,070               | \$ 15,531 |
| Net changes                    | (255)                   | 539       |
| Balance at end of period       | \$ 15,815               | \$ 16,070 |

During the year ended December 31, 2019 and 2018, we recognized \$16.0 million and \$15.5 million of revenue, respectively, that were included in the balance of our deferred revenue at the beginning of each year.

*Payment Terms*

Our payment terms vary by business line and the products or services offered and range from due upon receipt to net 45 days. For certain products and services, we require payment before services are rendered.

**Note 4. Concentrations and Uncertainties**

During the years ended December 31, 2019, 2018 and 2017, Market Data Licensing revenues earned through one market data distributor amounted to approximately 10%, 10% and 11% of the Company's gross revenues, respectively. Additionally, at December 31, 2019 and 2018, accounts receivable from that same distributor amounted to 24% and 20%, respectively, of the Company's accounts receivable.

**Note 5. Property and Equipment, net**

Property and equipment consisted of the following:

| (in thousands)                            | December 31,    |                 | Estimated useful life<br>(years) |
|-------------------------------------------|-----------------|-----------------|----------------------------------|
|                                           | 2019            | 2018            |                                  |
| Computer software                         | \$ 2,499        | \$ 1,476        | 2 - 3                            |
| Computer equipment                        | 5,309           | 5,386           | 3 - 5                            |
| Furniture and fixtures                    | 691             | 1,307           | 5 - 7                            |
| Leasehold improvements                    | 2,804           | 4,880           | Term of lease                    |
| Total property and equipment              | 11,303          | 13,049          |                                  |
| Accumulated depreciation and amortization | (4,885)         | (11,069)        |                                  |
| <b>Total property and equipment, net</b>  | <b>\$ 6,418</b> | <b>\$ 1,980</b> |                                  |

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
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Depreciation and amortization on property and equipment, included in the consolidated statements of income, amounted to \$1,471, \$992 and \$1,332 for the years ended December 31, 2019, 2018 and 2017, respectively. During the year ended December 31, 2019, the Company recorded a reduction of \$7,695 to gross book value and \$7,680 to accumulated depreciation resulting from the decommissioning of Leasehold Improvements and Furniture and Fixtures at 304 Hudson Street office space as well as computer software and computer equipment from our data center refresh.

Computer software includes approximately \$236, \$439 and \$443 in unamortized website development costs, as of December 31, 2019, 2018 and 2017, respectively.

**Note 6. Goodwill and Intangible Assets**

Intangible assets consisted of the following:

| (in thousands)                | December 31, |              | Estimated useful life<br>(years) |
|-------------------------------|--------------|--------------|----------------------------------|
|                               | 2019         | 2018         |                                  |
| Goodwill                      | \$ 251       | \$ 251       | Indefinite                       |
| <b>Intangible assets:</b>     |              |              |                                  |
| Website                       | 100          | 100          | 2                                |
| Subscription services         | 150          | 150          | 8-15                             |
| Distributor relations         | 27           | 27           | 15                               |
| Intellectual property         | 40           | 40           | Indefinite                       |
| Total intangible assets       | 317          | 317          |                                  |
| Accumulated amortization      | (277)        | (256)        |                                  |
| <b>Intangible assets, net</b> | <b>\$ 40</b> | <b>\$ 61</b> |                                  |

Amortization expense for finite-lived intangible assets was \$21, \$50 and \$29 for years ended December 2019, 2018 and 2017, respectively. The decrease in amortization expense in 2019 compared with prior years was due to certain intangible assets being fully amortized. No impairment charges were recorded to goodwill or intangible assets for the years ended December 31, 2019, 2018 and 2017.

**Note 7. Accrued Expenses and Other Current Liabilities**

Accrued expenses and other current liabilities consisted of the following:

| (in thousands)                          | December 31,    |                 |
|-----------------------------------------|-----------------|-----------------|
|                                         | 2019            | 2018            |
| Payroll and employee withholdings       | \$ 5,506        | \$ 4,976        |
| Accrued operating expenses              | 1,709           | 1,042           |
| Current operating lease liabilities     | 1,939           | -               |
| <b>Total accrued expenses and other</b> | <b>\$ 9,154</b> | <b>\$ 6,018</b> |

Payroll and employee withholdings primarily consisted of accrued discretionary bonus, discretionary employer 401(k) contribution, vacation and sales commission.

**Note 8. Stock-Based Compensation**

OTC Markets Group grants stock options and restricted stock awards ("RSAs") to employees. The grant date fair value of each stock option is estimated using the Black-Scholes option pricing model and is then amortized into compensation expense on a straight-line basis over the



**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
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requisite service period, which is generally the vesting period. The grant date fair value of each RSA is based on the closing stock price on the day prior to the grant date. These charges are included in compensation and benefits expense and, in respect of compensation for directors on our board, professional and consulting fees on the Consolidated Statements of Income.

A summary of the Company's option activity for the year ended December 31, 2019 is as follows:

| (in thousands, except W/A exercise price) | Stock<br>options | Weighted-<br>average exercise<br>price | Aggregate<br>intrinsic value | Remaining<br>contractual<br>term (years) |
|-------------------------------------------|------------------|----------------------------------------|------------------------------|------------------------------------------|
| Outstanding, January 1, 2019              | 681              | \$ 17.31                               | \$ 8,031                     | 6.71                                     |
| Granted                                   | 151              | 32.14                                  | 100                          |                                          |
| Exercised                                 | (126)            | 13.79                                  | 2,435                        |                                          |
| Forfeited                                 | (44)             | 20.15                                  | 558                          |                                          |
| Outstanding, December 31, 2019            | 662              | \$ 21.17                               | \$ 9,186                     | 6.56                                     |
| Exercisable, December 31, 2019            | 310              | \$ 14.17                               | \$ 6,451                     | 4.54                                     |

The Company recognized compensation expense related to stock options, net of estimated forfeitures of \$628, \$549 and \$503 for the years ended December 31, 2019, 2018 and 2017, respectively. During 2019, management estimated forfeiture rates of 5% for stock options granted to management and 23% for stock options granted to other employees. Such charges are included in compensation and benefits expense on the Consolidated Statements of Income.

At December 31, 2019, unrecognized compensation cost related to non-vested options awards totaled \$1,382, which will be recognized over approximately 3.7 years.

The weighted-average assumptions used in the Black-Scholes option pricing model for 2019, 2018 and 2017 are as follows:

|                                                | Year ended December 31, |         |         |
|------------------------------------------------|-------------------------|---------|---------|
|                                                | 2019                    | 2018    | 2017    |
| Risk free interest rate                        | 2.11%                   | 2.79%   | 2.11%   |
| Expected life in years                         | 6.50                    | 6.50    | 6.50    |
| Expected volatility                            | 23%                     | 23%     | 24%     |
| Expected annual dividend per share             | 1.85%                   | 2.06%   | 2.22%   |
| Weighted average fair value of options granted | \$ 6.73                 | \$ 6.11 | \$ 5.19 |

A summary of the Company's non-vested stock option activity for the year ended December 31, 2019 is as follows:

| (in thousands, except W/A fair value)   | Number of<br>options | Weighted-<br>average fair value |
|-----------------------------------------|----------------------|---------------------------------|
| Non-vested balance at January 1, 2019   | 369                  | \$ 4.95                         |
| Granted                                 | 151                  | 6.73                            |
| Vested                                  | (125)                | 4.67                            |
| Forfeited                               | (43)                 | 4.37                            |
| Non-vested options at December 31, 2019 | 352                  | \$ 5.89                         |

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**Notes to Consolidated Financial Statements (continued)**  
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A summary of the Company's RSA activity for the year ended December 31, 2019 is as follows:

| (in thousands, except W/A fair value) | Restricted<br>stock | Weighted-<br>average fair value | Aggregate<br>intrinsic value |
|---------------------------------------|---------------------|---------------------------------|------------------------------|
| Outstanding, January 1, 2019          | 282                 | \$ 20.15                        | \$ 8,185                     |
| Granted                               | 105                 | 30.04                           | 3,156                        |
| Vested                                | (99)                | 17.91                           | 2,961                        |
| Forfeited                             | (12)                | 23.14                           | 392                          |
| Outstanding, December 31, 2019        | 276                 | \$ 24.57                        | \$ 9,669                     |

The Company recognized compensation expense related to RSAs, net of estimated forfeitures, of \$1,925, \$1,563 and \$1,261 for the years ended December 31, 2019, 2018 and 2017, respectively. During 2019, management estimated forfeiture rates of 8% for RSAs granted to management and 13% for RSAs granted to other employees. In addition, the Company also recognized professional fees of \$150, \$151 and \$148 for the years ended December 31, 2019, 2018 and 2017, respectively, related to the issuance of RSAs to the Board of Directors.

A summary of the Company's non-vested RSA activity for the year ended December 31, 2019 is as follows:

| (in thousands, except W/A fair value) | Number of RSAs | Weighted-<br>average fair value |
|---------------------------------------|----------------|---------------------------------|
| Non-vested balance at January 1, 2019 | 282            | \$ 20.15                        |
| Granted                               | 105            | 30.04                           |
| Vested                                | (99)           | 17.91                           |
| Forfeited                             | (12)           | 23.14                           |
| Non-vested RSAs at December 31, 2019  | 276            | \$ 24.57                        |

At December 31, 2019, unrecognized compensation cost related to non-vested awards totaled \$4,447, which will be recognized over approximately 3.2 years.

## **Note 9. Debt**

OTC Markets Group maintains a commercial banking relationship with JPMorgan Chase. On July 7, 2012, the Company entered into a line of credit agreement with JPMorgan Chase (the "Line of Credit"). Pursuant to various extensions, the Line of Credit makes up to \$1.5 million available for business operations through June 28, 2020. Since inception, we have not drawn funds on the Line of Credit. Under the terms of the Line of Credit, we agreed to fulfill certain affirmative and negative covenants and other specified terms.

## **Note 10. Leases**

The Company has two non-cancelable operating leases. One is for office space at 300 Vesey Street, New York, NY that was executed in October 2018 and expires on December 30, 2031. The other is for office space at 100 M Street SE, Washington, D.C. that was amended in May 2016 and expires on June 30, 2021. These operating leases are recorded as operating lease right-of-use assets on the Company's Consolidated Balance Sheet as of December 31, 2019, and represent the Company's right to use of the underlying asset during the lease term. The Company's obligation in respect of future payments due under the leases is included in accrued expenses, other current liabilities and in the operating lease liabilities section on the Company's Consolidated Balance Sheet as of December 31, 2019.

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**Notes to Consolidated Financial Statements (continued)**  
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On January 1, 2019, pursuant to the Company's adoption of ASC 842, the Company recognized approximately \$17.1 million in right-of-use assets and \$17.9 million in lease liabilities, based on the present value of lease payments over the remaining terms of the existing operating leases. When the rate implicit in the operating lease is not readily determinable, the Company uses its incremental borrowing rate as the discount rate to determine its right-of-use assets and the present value of its lease liabilities. The incremental borrowing rates approximate the rate the Company would pay to borrow on a collateralized basis for the weighted-average life of the lease. Operating right-of-use assets include prepaid lease payments and lease incentives. The Company elected not to record short-term operating leases with an initial term of twelve months or less on the its Consolidated Balance Sheet. The Company also elected to account for the fixed payments for the lease and non-lease components (such as common-area maintenance and utility charges) as a single lease component that increases the amount of our lease assets and liabilities

All operating lease expense is recognized on a straight-line basis over the lease term. Any change in payments due to changes in inflation rates are recognized as variable lease expenses as they are incurred. For the year ended December 31, 2019, the Company recognized \$2,265 in total operating lease costs, which consisted of \$1,988 in operating lease costs for right-of-use assets and \$277 in short-term lease costs related to short-term operating leases.

Supplemental cash flow information related to leases was as follows:

|                                                                          | December 31<br>2019 |
|--------------------------------------------------------------------------|---------------------|
| Cash Paid for operating lease liabilities                                | \$ 1,308            |
| Right-of-use assets obtained in exchange for operating lease obligations | -                   |

Supplemental balance sheet information related to leases was as follows:

|                                       | December 31<br>2019 |
|---------------------------------------|---------------------|
| Operating lease right-of use assets   | \$ 16,018           |
| Other current liabilities             | 1,939               |
| Operating lease liabilities           | 15,529              |
| Total operating lease liabilities     | 17,468              |
| Weighted-average remaining lease term | 12 Years            |
| Weighted-average discount rate        | 4.8%                |

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
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Maturities of lease liabilities were as follows:

|                       |    |           |
|-----------------------|----|-----------|
| 2020                  | \$ | 1,988     |
| 2021                  |    | 1,875     |
| 2022                  |    | 1,759     |
| 2023                  |    | 1,759     |
| 2024                  |    | 1,875     |
| Thereafter            |    | 13,920    |
| Total lease payments  |    | 23,176    |
| Less imputed interest |    | ( 5,708 ) |
| Total                 | \$ | 17,468    |

As of December 31, 2018, prior to the adoption of ASC 842, future minimum lease payments under non-cancelable operating leases are as follows:

| Fiscal year  | Payments due     |
|--------------|------------------|
| 2019         | 1,455            |
| 2020         | 1,988            |
| 2021         | 1,875            |
| 2022         | 1,759            |
| Thereafter   | 17,553           |
| <b>Total</b> | <b>\$ 24,630</b> |

Occupancy expense included in the consolidated statements of income was \$2,548, \$2,107 and \$1,776 for the years ended December 31, 2019, 2018 and 2017, respectively.

## **Note 11. Commitments and Contingencies**

### *Partial Self-Insurance Reserves*

Effective January 1, 2018, the Company switched from a fully insured employee health insurance policy to a partially self-insured plan. Under the new plan, the Company contracted a third-party administrator ("TPA") to access healthcare carriers, process claims, and facilitate the provision of specific and aggregate stop-loss coverage to limit our total exposure under the program. Accordingly, we record the TPA's administrative fees, insurance carrier fees, and stop-loss coverage premiums, as well as expected claims costs, on a straight-line basis over the annual coverage period. The Company's cost of claims recorded represents 90% of the Company's maximum liability for claims based on coverage provided under our specific and aggregate stop-loss policies. As claims are reported and paid, the liability is relieved. As of December 31, 2019 and 2018, the estimated claims, fees and premiums accrued were lower than the premiums and fees paid to the TPA by \$62 and \$66, respectively. These amounts were recorded as a current asset in the prepaid expenses and other current assets section on our Consolidated Balance Sheet.

### *Legal Matters*

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on its business, financial condition or operations. OTC Markets Group is not a party to any past or pending trading suspensions by a securities regulator.

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
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*Letters of Credit*

As of December 31, 2019, the Company had two open letters of credit of approximately \$1,059 which secure its lease obligations in connection with its New York City and Washington D.C. office space operating leases. The letters of credit are collateralized by a money market balance.

**Note 12. Acquisitions**

In February 2019, the Company acquired 100% of the outstanding equity of Qaravan® Inc. ("Qaravan"), a provider of software, and risk and performance analytics for the banking and finance industry. The Qaravan suite of products provides a portfolio of research, reporting, metrics and analytics that are relevant across the entire banking ecosystem. Our acquisition of Qaravan has enhanced the breadth and depth of our market data product offerings and allows us to further strengthen our relationships with the private and public banking industry.

The purchase price was \$851, comprised of \$579 in cash, \$272 in the form of 8,213 shares of Class A common stock, plus contingent consideration. The Company determined that substantially all of the fair value of the gross assets acquired is concentrated in a group of similar, identifiable assets and based on this determination, and in accordance with ASC 805, accounted for the acquisition as an asset purchase. The purchase price of \$851, \$85 of transaction-related expenses and \$137 of acquisition tax basis difference have been allocated to Computer Software. The amount of any contingent consideration payable will be based on the Qaravan suite of products generating annual recurring revenues above certain defined targets as of the end of the second anniversary of the acquisition.

**Note 13. Employee Benefit Plan**

The Company has a 401(k) Plan for all eligible employees. Subject to federal contribution limits, the Plan permits each participant to contribute up to 15% of the participant's annual compensation and allows the Company to make discretionary contributions. In 2008, the Company established an "Employer Non-Elective Discretionary Contribution" feature for its 401(k) Plan. The Company elected to contribute \$429, \$390 and \$353 for the annual periods ended December 31, 2019, 2018 and 2017, respectively.

**Note 14. Stockholders' Equity**

*Common Stock*

The Company has one class of shares, Class A common stock, outstanding. Holders of Class A Common Stock, which include holders of unvested RSAs, are entitled to receive such dividends and other distributions in cash, stock of any corporation or property of the Company as may be authorized and declared by the Board of Directors from time to time out of the assets or funds of the Company legally available for the payment of dividends ("Dividend Rights"). Upon the voluntary or involuntary liquidation, dissolution or winding up of the Company, holders of Class A Common Stock are entitled to a pro rata share of the net assets of the Company available for distribution in proportion to the number of shares of Class A Common Stock held by each.

The Company is authorized to issue 14,000,000 shares of Common Stock at \$0.01 par value. As of December 31, 2019 there were a total of 12,189,022 shares issued and 11,655,326

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
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shares outstanding. As of December 31, 2018 there were a total of 12,035,941 shares issued and 11,548,956 shares outstanding.

*Treasury Stock*

In August 2011, the Board of Directors authorized the Company to repurchase up to 300,000 shares of Class A Common Stock in compliance with Rule 10b-18 under the Securities Exchange Act of 1934 (the “Exchange Act”). In March 2019 and 2018, the Board of Directors refreshed the Company’s stock repurchase program, authorizing the repurchase of up to 300,000 shares of Class A Common Stock.

During the year ended December 31, 2019, the Company repurchased 46,711 shares of Class A Common Stock at average price of \$29.75 per share for a total of \$1,390. During the year ended December 31, 2018, the Company repurchased 40,325 shares of Class A Common Stock at an average price of \$25.99 per share for a total of \$1,048. All repurchased shares are held in treasury.

*Dividends*

The Company paid quarterly cash dividends on its Class A Common Stock of \$0.15 per share during 2019 and the third and fourth quarter of 2018, \$0.14 per share during the first and second quarter of 2018. The Company also paid special dividends of \$0.65 per share of Class A Common Stock during the fourth quarter of 2019 and 2018.

*Equity Incentive Plan*

The Company’s Equity Incentive Plan (the “Plan”), as adopted by the Board of Directors on May 7, 2019 and approved by a vote of the Company’s shareholders on December 19, 2019, provides for the grant of incentive stock options, non-statutory stock options, restricted stock, restricted stock units, stock appreciation rights, performance units and performance shares, and governs options awarded (see Note 8, *Stock-Based Compensation*). In each of November 2019 and 2018, the Board of Directors authorized the increase in the number of shares available for issuance under the Plan by 200,000 shares.

**Note 15. Income Taxes**

The components of the provision for income taxes consist of the following:

| (in thousands)                    | Year Ended December 31, |                 |                 |
|-----------------------------------|-------------------------|-----------------|-----------------|
|                                   | 2019                    | 2018            | 2017            |
| <b>Current:</b>                   |                         |                 |                 |
| Federal                           | \$ 1,794                | \$ 2,512        | \$ 4,753        |
| State and local                   | 1,114                   | 1,259           | 949             |
| <b>Total current</b>              | <b>\$ 2,908</b>         | <b>\$ 3,771</b> | <b>\$ 5,702</b> |
| <b>Deferred:</b>                  |                         |                 |                 |
| Federal                           | 176                     | (227)           | 80              |
| State and local                   | (41)                    | (20)            | 10              |
| <b>Total deferred</b>             | <b>\$ 135</b>           | <b>\$ (247)</b> | <b>\$ 90</b>    |
| <b>Provision for income taxes</b> | <b>\$ 3,043</b>         | <b>\$ 3,524</b> | <b>\$ 5,792</b> |

**OTC MARKETS GROUP INC.**  
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The Tax Cuts and Jobs Act (“the Act”) was enacted on December 22, 2017 and introduced significant changes to U.S. income tax law. For tax years beginning after December 31, 2017, the Act reduces the U.S. statutory tax rate from 35% to 21%. Due to the timing of the enactment and the complexity involved in applying the provisions of the Act, we made reasonable estimates of the effects and remeasured our deferred taxes as of December 31, 2017 to reflect the reduced effective tax rate that would apply in future periods. The additional tax expense recognized in the fourth quarter of 2017 related to the remeasurement of net deferred tax assets and amounted to \$378. As of December 31, 2018, we completed our accounting for the tax impact of the Act and concluded no further adjustments are needed in connection with the remeasurement of deferred tax assets.

The reconciliation of federal statutory income tax rate to our effective income tax rate is as follows:

|                                   | Year Ended December 31, |              |              |
|-----------------------------------|-------------------------|--------------|--------------|
|                                   | 2019                    | 2018         | 2017         |
| Federal Statutory rate            | 21.0%                   | 21.0%        | 35.0%        |
| State and local income taxes, net | 3.4%                    | 3.5%         | 2.5%         |
| R&D tax credits                   | (3.4%)                  | (3.3%)       | (1.7%)       |
| Tax Cuts and Jobs Act rate change | -                       | -            | 2.1%         |
| Stock-based compensation          | (3.4%)                  | (2.8%)       | (4.9%)       |
| Other                             | (0.7%)                  | (0.6%)       | (1.5%)       |
|                                   | <u>16.9%</u>            | <u>17.8%</u> | <u>31.6%</u> |

The Company’s effective income tax rates for fiscal years 2019, 2018 and 2017 were 16.9%, 17.8% and 31.6%, respectively.

The decrease in our effective tax rate for 2019 is a result of an increase in the amount of excess tax benefits from share-based compensation and U.S. federal research and development credit claimed.

The significant components of the Company’s deferred tax assets and liabilities are as follows:

| (in thousands)                             | Year Ended December 31, |                 |
|--------------------------------------------|-------------------------|-----------------|
|                                            | 2019                    | 2018            |
| <b>Deferred tax assets:</b>                |                         |                 |
| Allowance for doubtful accounts            | \$ 46                   | \$ 43           |
| Operating leases liability                 | 4,409                   | -               |
| Share-based compensation                   | 623                     | 529             |
| Deferred tax asset on income tax reserve   | 353                     | 290             |
| Net operating loss carryforward            | 58                      | -               |
| Other reserves                             | 3                       | 257             |
| <b>Deferred tax assets</b>                 | <u>5,492</u>            | <u>1,119</u>    |
| <b>Deferred tax liabilities:</b>           |                         |                 |
| Right-of-use assets                        | (4,044)                 | -               |
| Property and equipment                     | (518)                   | (66)            |
| Basis difference in acquisition of Qaravan | (143)                   | -               |
| Other reserves                             | (16)                    | (10)            |
| <b>Deferred tax liabilities</b>            | <u>(4,721)</u>          | <u>(76)</u>     |
| <b>Net deferred tax assets</b>             | <u>\$ 771</u>           | <u>\$ 1,043</u> |

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
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The Company recognizes the financial statement benefit of a tax position only after determining that the relevant tax authority would more likely than not sustain the position following an audit. For tax positions meeting the more-likely-than-not threshold, the amount recognized in the financial statements is the largest benefit that has a greater than 50 percent likelihood of being realized upon settlement with the relevant tax authority. In connection with the assessment of certain tax positions, a reconciliation of the gross unrecognized tax liabilities for the years ended December 31, 2019 and 2018 is as follows:

| (in thousands)                                                   | Year Ended December 31, |                 |
|------------------------------------------------------------------|-------------------------|-----------------|
|                                                                  | 2019                    | 2018            |
| <b>Beginning balance</b>                                         | \$ 1,169                | \$ 883          |
| Increase for tax positions taken during the current period       | 211                     | 239             |
| increase(Decrease) for tax positions taken during a prior period | 2                       | 47              |
| <b>Ending balance</b>                                            | <u>\$ 1,382</u>         | <u>\$ 1,169</u> |

It is not reasonably possible that any unrecognized tax benefits related to state nexus will reverse within the next twelve months due to expected settlements with taxing authorities. The total amount of uncertain tax positions, that if recognized would impact the Company's effective tax rate as of December 31, 2019 and 2018, is \$1,382 and \$1,168, respectively.

The Company recognizes interest and penalties related to unrecognized tax benefits as a component of tax expense. The Company increased the amount of interest and penalties due on income tax reserves by \$92, \$68 and \$46 during the years ended December 31, 2019, 2018 and 2017, respectively. As of December 31, 2019 and 2018, the Company had \$382 and \$290 of interest and penalties accrued, respectively.

The Company is subject to income taxes in the U.S. federal jurisdiction and various state jurisdictions. Tax regulations within each jurisdiction are subject to interpretation of the related tax laws and regulations and require significant judgment to apply. Tax years from 2013 through 2018 remain subject to examination by the U.S. federal and various state taxing authorities. The Company is not currently under audit in any tax jurisdictions and does not believe that the outcome of any examination will have a material impact on its consolidated financial statements.

#### **Note 16. Earnings Per Share**

The Company calculates earnings per share using the two-class method, which is an earnings allocation formula that determines earnings per share for common stock and participating securities according to dividends declared and participation rights in undistributed earnings. Under this method, all earnings (distributed and undistributed) are allocated to common shares and participating securities based on their respective rights to receive dividends. RSAs granted to employees (see Note 8, *Stock-Based Compensation*) participate in dividends on the same basis as common shares and such dividends are nonforfeitable by the holder. As a result, these RSAs meet the definition of a participating security.



**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
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The tables below present the calculations of earnings per share using the two-class method:

***Basic Earnings per common share***

| (in thousands, except shares and per share data)        | Year Ended December 31, |                   |                   |
|---------------------------------------------------------|-------------------------|-------------------|-------------------|
|                                                         | 2019                    | 2018              | 2017              |
| Net income available to common shareholders             | \$ 14,942               | \$ 16,237         | \$ 12,559         |
| Less: Undistributed earnings allocated to unvested RSAs | (9)                     | (50)              | 18                |
| Less: Dividend equivalents on unvested RSAs             | (345)                   | (347)             | (335)             |
| Net Income allocated to common shareholders             | <u>\$ 14,588</u>        | <u>\$ 15,840</u>  | <u>\$ 12,242</u>  |
| Shares of common stock and common stock equivalents     |                         |                   |                   |
| Weighted-average common shares outstanding              | <u>11,364,217</u>       | <u>11,250,984</u> | <u>11,141,161</u> |
| Basic earnings per share                                | \$ 1.28                 | \$ 1.41           | \$ 1.10           |

***Diluted Earnings per common share***

| (in thousands, except shares and per share data)                     | Year Ended December 31, |                   |                   |
|----------------------------------------------------------------------|-------------------------|-------------------|-------------------|
|                                                                      | 2019                    | 2018              | 2017              |
| Net income available to common shareholders                          | \$ 14,942               | \$ 16,237         | \$ 12,559         |
| Less: Undistributed earnings allocated to unvested RSAs              | (9)                     | (48)              | 17                |
| Less: Dividend equivalents on unvested RSAs                          | (345)                   | (347)             | (335)             |
| Net Income allocated to common shareholders                          | <u>\$ 14,588</u>        | <u>\$ 15,842</u>  | <u>\$ 12,241</u>  |
| Shares of common stock and common stock equivalents                  |                         |                   |                   |
| Weighted-average common shares outstanding                           | 11,364,217              | 11,250,984        | 11,141,161        |
| Dilutive effect of employee stock options and restricted stock units | 338,646                 | 371,786           | 424,925           |
| Weighted-average shares used in diluted computation                  | <u>11,702,863</u>       | <u>11,622,770</u> | <u>11,566,086</u> |
| Diluted earnings per share                                           | \$ 1.25                 | \$ 1.36           | \$ 1.06           |

As of December 31, 2019, 2018 and 2017, 276, 282 and 289 RSAs, respectively, and stock options to purchase 662, 681 and 708 shares of Class A Common Stock, respectively, were outstanding. For the years ended December 31, 2019, 2018 and 2017, 15, 11 and 9 awards, respectively, were excluded from the diluted earnings per share computation because their effect would have been anti-dilutive.

**Note 17. Quarterly Financial Data (unaudited)**

The following represents OTC Markets Group's unaudited quarterly results for the years ended December 31, 2019 and 2018. These quarterly results were prepared in accordance with U.S. GAAP and reflect all adjustments that are, in the opinion of management, necessary for a fair statement of the results. These adjustments are of a normal recurring nature.

**OTC MARKETS GROUP INC.**  
**Notes to Consolidated Financial Statements (continued)**  
(in thousands, except per share information)

|                                          | 1st Quarter | 2nd Quarter | 3rd Quarter | 4th Quarter |
|------------------------------------------|-------------|-------------|-------------|-------------|
| <b>2019</b>                              |             |             |             |             |
| Revenues less transaction-based expenses | \$ 14,590   | \$ 14,861   | \$ 14,935   | \$ 15,218   |
| Operating Income                         | 4,022       | 4,427       | 4,724       | 4,709       |
| Net Income                               | 3,547       | 3,567       | 4,020       | 3,808       |
| Basic earnings per share                 | \$ 0.30     | \$ 0.31     | \$ 0.35     | \$ 0.33     |
| Diluted earnings per share               | \$ 0.30     | \$ 0.30     | \$ 0.33     | \$ 0.32     |
| <b>2018</b>                              |             |             |             |             |
| Revenues less transaction-based expenses | \$ 13,713   | \$ 14,056   | \$ 14,036   | \$ 14,650   |
| Operating Income                         | 4,550       | 4,996       | 5,291       | 4,808       |
| Net Income                               | 3,747       | 3,987       | 4,385       | 4,118       |
| Basic earnings per share                 | \$ 0.33     | \$ 0.35     | \$ 0.37     | \$ 0.36     |
| Diluted earnings per share               | \$ 0.31     | \$ 0.34     | \$ 0.37     | \$ 0.34     |

**Note 18. Regulatory Authorities**

OTC Link LLC is a U.S. registered broker-dealer and is subject to the net capital requirements of Rule 15c3-1 under the Exchange Act. Rule 15c3-1 requires the maintenance of net capital, as defined, which shall be the greater of \$5 or 6⅔% of aggregate indebtedness, as defined. OTC Link LLC's regulatory net capital as of December 31, 2019 and 2018 was \$3,095 and \$3,305, respectively, which exceeded the minimum net capital requirement by \$2,944 and \$3,153, respectively.

**Note 19. Subsequent Events**

For purposes of disclosure in the consolidated financial statements, the Company has evaluated subsequent events through March 4, 2020, the date the consolidated financial statements were available to be issued.

In January 2020, the Company granted approximately 92 RSAs to certain employees subject to the terms of Restricted Stock Agreements between the Company and each employee.

On March 4, 2020, the Board of Directors authorized and approved a quarterly cash dividend of \$0.15 per share of Class A Common Stock. The quarterly cash dividend is payable on March 26, 2020 to stockholders of record on March 17, 2020. The ex-dividend date is March 16, 2020.

On March 4, 2020, the Board of Directors refreshed the Company's stock repurchase program, giving the Company authorization to repurchase up to 300,000 shares of the Company's Class A Common Stock.

## **EXHIBIT 2.1**

### **CERTIFICATION OF PRINCIPAL EXECUTIVE**

I, R. Cromwell Coulson, Chief Executive Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Annual Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Annual Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Annual Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Annual Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Annual Report.

/s/ R. Cromwell Coulson  
R. Cromwell Coulson  
Chief Executive Officer

March 4, 2020  
Date

## **EXHIBIT 2.2**

### **CERTIFICATION OF PRINCIPAL FINANCIAL OFFICER**

I, Beatrice Ordonez, Chief Financial Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Annual Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Annual Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Annual Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Annual Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Annual Report.

/s/ Beatrice Ordonez  
Beatrice Ordonez  
Chief Financial Officer

March 4, 2020  
Date